



JUNE 17, 2025

Policy Number: 16 SBA AV70DV

Policy Holder Name: Foxglove Works Corp

Enclosed please find information pertaining to your policy. Please contact us if you have any questions or concerns.

Thank you for selecting The Hartford for your business insurance needs.

Sincerely,
The Hartford

HOW TO REACH US

If you have questions, you can reach The Hartford the following ways:

ONLINE BY VISITING

<https://agency.thehartford.com>

POLICY QUESTIONS

1-866-467-8730,
Monday - Friday
7 a.m. - 7 p.m. CT

24 HOUR CLAIMS HOTLINE

1-800-327-3636, always open



JUNE 17, 2025

Your insurance policy is scheduled to renew on 07/27/2025 with PATRIOTIC INS GROUP BROKERAGE INC. Inside you'll find the documents you need to review for your new policy. In some cases, you may have paperwork that requires your special attention. If so, you'll see those documents packaged together right after this letter.

WHAT HAPPENS NEXT

As we get closer to your renewal date, we'll send your insurance bill. We may also reach out to you about whether you need to do your yearly premium audit. If so, we'll follow up with more information on how to get started.

SEE WHAT YOU CAN DO ONLINE

We've made it easy for you to manage your account digitally. Visit <https://agency.thehartford.com> and click on "My Account" to log in or register. Once you do, you can:

- Pay your bill, view payment history and enroll in Auto Pay
- Request certificates of insurance
- View billing and policy documents, and sign up for paperless delivery

THANK YOU FOR YOUR BUSINESS

On behalf of PATRIOTIC INS GROUP BROKERAGE INC and The Hartford, we want to thank you again for choosing us. We look forward to serving your business insurance needs for the upcoming term, too.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



IMPORTANT NOTICE TO POLICYHOLDERS

Thank you for renewing your policy with The Hartford. With this notice we are providing you only with the declarations page, which outlines your coverages, and with those policy forms, notices, and brochures which are different from those which we provided with your previous policy. You should retain all of these documents and those provided with your previous policy indefinitely so that you will have a complete set of policy forms at all times for your reference.

If you have questions, or if at any time you need copies of any of the forms listed on your policy you may access them by registering for access to the customer service portal at business.TheHartford.com. You may also request them by calling your Hartford agent or broker, or the office of The Hartford identified on your policy, as appropriate.



NYS Department of State

OFFICE OF FIRE PREVENTION & CONTROL

HAZARDOUS MATERIALS REPORT FORM (GENERAL MUNICIPAL LAW, § 209-u)

The information entered herein is essential to your local fire chief for the protection of your employees, the firefighters and citizens in the immediate area, and to reduce damage to your property in the event of a fire or an emergency.

Every fire insurance policyholder, engaged in commerce in this state, is required by law to report the presence of hazardous materials at their business address.

Failure to file in accordance with the provisions of section 209-u of the General Municipal Law could result in a fine.

A separate report is required annually for each business address.

WHEN COMPLETED, THIS FORM MUST BE SENT TO YOUR LOCAL FIRE DEPARTMENT.

Hazardous Materials Location*	
Firm Name: _____	Street Add. Only _____
Bus. Add. _____	Bldg. Name/# _____
City/State/Zip _____	City/State/Zip _____
Tel. No. _____	Policy Anniv. Date _____
Name _____	
Emergency Contact _____	Bus. Tel. _____ Home Tel. _____

(Signature and Title of Person Completing Form)

*It is suggested that a separate form be filled out for each building that contains hazardous materials.

EXEMPTIONS

Requests for exemptions from this law must be made in writing, attached to this form, and filed annually with your local fire department not later than the anniversary date of your policy.

All exemptions approved shall expire on the next policy anniversary date.

Exemptions denied shall require that the insured file a completed hazardous materials form within 15 days of denial.

FOR FIRE DEPARTMENT USE ONLY

Exemptions: Approved _____ Denied _____ Additional Information Needed _____

(Date)

(Signature of Fire Chief)

(Fire Dept. Name & Address)

(Print Name of Fire Chief)

V Hazardous Materials listing (attach additional Sheets if necessary)

Note: Definitions of symbols are on the second page of instruction sheet.

Identifying Symbol	Material Description & Proper Shipping Name	Total Amount	Identifying Symbol	Material Description & Proper Shipping Name	Total Amount
					
					
					
					
					
					
					

VI Special Considerations/Remarks:

Instructions for Hazardous Material Listing

Identifying Symbol: This area identifies different classes of hazardous material. Most material will fall within one of these classes. If a particular material falls within two or more classes, it should be listed in each applicable class.

Two additional boxes are provided for material that does not fall within any class. These boxes may also be used if additional space is needed to further identify previously listed categories.

Amounts to be reported are shown in Table 1 below.

NOTE: SHIPPING AND PACKAGING LABELS MAY BE OF ASSISTANCE IN IDENTIFYING THE CLASS OF MATERIAL.

Hazardous Material Description and Proper Shipping Name

This area is reserved for the description and name of any hazardous material within a given class. If there is more than one material within a certain class, at a given location, then the most prevalent or most common should be used (indicate "most common").

Total Amount

List the total amount of reportable material within the given class. If the amounts vary from day to day, then the average amount should be listed.

Identifying Symbol	Hazardous Material Description and Proper Shipping Name	Total Amount
	Ethyl Chloride	60 gals.
	(most common)	

Special Considerations/Remarks

This area is reserved for the policyholder and the fire chief for making any notes or comments they feel are pertinent. Several examples are listed below:

1. Building has a sprinkler system.
2. Adjacent building is a school.
3. Guard dogs are on the premises from 6:00 p.m. to 6:00 a.m.
4. Hazardous material amounts may vary greatly from day to day.
5. Poor water supply.
6. Access to the building is poor.
7. Flammable liquid is stored in the same building as oxidizer.

Table 1

Amounts to be Reported

- | | |
|---|---|
| 1. Explosives and Blasting Agents - any amount | 8. Oxidizer - over 50 pounds |
| 2. Poison Gas - any amount | 9. Organic Peroxide - over 10 pounds |
| 3. Poison and Irritant - any amount | 10. Combustible Liquid - over 25 gallons inside a building and over 60 gallons outside a building |
| 4. Flammable Liquid - over 5 gallons inside a building and over 10 gallons outside a building | 11. Radioactive Material - any amount |
| 5. Flammable Solid - any amount | 12. Corrosive Material - over 55 gallons |
| 6. Flammable Gas - over 2,000 cubic feet at normal temperature | 13. Dangerous When Wet Material - any amount |
| 7. Nonflammable Gas - over 6,000 cubic feet at normal temperature | 14. Etiologic Material - any amount |

(OVER)

Hazardous Material Definitions

The following definitions have been abstracted from the Code of Federal Regulations, Title 49- Transportation, Parts 100 to 199. Refer to the referenced sections for complete details.

NOTE: Rulemaking proposals are outstanding or are contemplated concerning some of these definitions.

Hazardous Material - Means a substance or material which has been determined by the Secretary of Transportation to be capable of posing an unreasonable risk to health, safety and property, when transported in commerce, and which has been so designated. (Sec. 171.8)

Multiple Hazards - A material meeting the definitions of more than one hazard class is classed according to the sequence given in Sec. 173.2.

HAZARD CLASS	DEFINITIONS
EXPLOSIVES	An Explosive - Any chemical compound, mixture or device, the primary or common purpose of which is to function by explosion, i.e., with substantially instantaneous release of gas and heat, unless such compound, mixture or device is otherwise specifically classified in Parts 170-189. (Sec. 173.50)
CLASS A EXPLOSIVE	Detonating or otherwise of maximum hazard. The nine types of Class A explosives are defined in Sec. 173.53.
CLASS B EXPLOSIVE	In general, function by rapid combustion rather than detonation and include some explosive devices such as special fireworks, flash powders, etc. Flammable hazard. (Sec. 173.88)
CLASS C EXPLOSIVE	Certain types of manufactured articles containing Class A or Class B explosives, or both, as components but in restricted quantities, and certain types of fireworks. Minimum hazard. (Sec. 173.100)
BLASTING AGENTS	A material designed for blasting which has been tested in accordance with Sec. 173.114a(b) and found to be so insensitive that there is very little probability of accidental initiation to explosion or of transition from deflagration to detonation (Sec. 173.114a(a))
COMBUSTIBLE LIQUID	Any liquid having a flash point above 100°F. and below 200°F. as determined by tests listed in Sec. 173.115(d). Exceptions to this are found in Sec. 173.115(b).
CORROSIVE MATERIAL	Any liquid or solid that causes visible destruction of human skin tissue or a liquid that has a severe corrosion rate on steel. See Sec. 173.240(a) and (b) for details.
FLAMMABLE LIQUID	Any liquid having a flash point below 100°F. as determined by tests listed in Sec. 173.115(d). Exceptions are listed in Sec. 173.115(a).
COMPRESSED GAS	Compressed Gas - Any material or mixture having in the container a pressure exceeding 40 psia at 70°F., or a pressure exceeding 104 psia at 130°F.; or any liquid flammable material having a vapor pressure exceeding 40 psia at 100°F. (Sec. 173.300(a))
FLAMMABLE GAS	Any compressed gas meeting the requirements for lower flammability limit, flammability limit range, flame projection, or flame propagation criteria as specified in Sec. 173.300(b).
NONFLAMMABLE GAS	Any compressed gas other than a flammable compressed gas.
FLAMMABLE SOLID	Any solid material, other than an explosive, which is liable to cause fires through friction, retained heat from manufacturing or processing, or which can be ignited readily and when ignited burns so vigorously and persistently as to create a serious transportation hazard. (Sec. 173.150)
ORGANIC PEROXIDE	An organic compound containing the bivalent -O-O structure and which may be considered a derivative of hydrogen peroxide where one or more of the hydrogen atoms have been replaced by organic radicals must be classed as an organic peroxide unless... (See Sec. 173.151(a) for details)
OXIDIZER	A substance such as chlorate, permanganate, inorganic peroxide, or a nitrate, that yields oxygen readily to stimulate the combustion of organic matter. (See Sec. 173.151)
POISON A (Poison Gas)	Extremely Dangerous Poisons - Poisonous gases or liquids of such nature that a very small amount of the gas, or vapor of the liquid, mixed with air is dangerous to life. (Sec. 173.326)
POISON B (Poison)	Less Dangerous Poisons - Substances, liquids, or solids (including pastes and semi-solids), other than Class A or irritating materials, which are known to be so toxic to man as to afford a hazard to health during transportation; or which, in the absence of adequate data on human toxicity, are presumed to be toxic to man. (Sec. 173.343)
IRRITATING MATERIAL	A liquid or solid substance which upon contact with fire or when exposed to air gives off dangerous or intensely irritating fumes, but not including any poisonous material, Class A. (Sec. 173.381)
ETIOLOGIC AGENT	An "etiologic agent" means a viable micro-organism, or its toxin which causes or may cause human disease. (Sec. 173.386) (Refer to the Department of Health, Education and Welfare Regulations, Title 42, CFR, Sec. 72.25(c) for details.)
RADIOACTIVE MATERIAL	Any material, or combination of materials, that spontaneously emits ionizing radiation, and having a specific activity greater than 0.002 microcuries per gram. (Sec. 173.389) NOTE: See Sec. 173.389(a) through (1) for details.
WATER REACTIVE MATERIAL (SOLID)	Means any solid substance (including sludges and pastes) which, by interaction with water, is likely to become spontaneously flammable or to give off flammable or toxic gases in dangerous quantities.



CERTIFICATE OF LIABILITY INSURANCE

DATE (MM/DD/YYYY)
06/17/2025

THIS CERTIFICATE IS ISSUED AS A MATTER OF INFORMATION ONLY AND CONFERS NO RIGHTS UPON THE CERTIFICATE HOLDER. THIS CERTIFICATE DOES NOT AFFIRMATIVELY OR NEGATIVELY AMEND, EXTEND OR ALTER THE COVERAGE AFFORDED BY THE POLICIES BELOW. THIS CERTIFICATE OF INSURANCE DOES NOT CONSTITUTE A CONTRACT BETWEEN THE ISSUING INSURER(S), AUTHORIZED REPRESENTATIVE OR PRODUCER, AND THE CERTIFICATE HOLDER.

IMPORTANT: If the certificate holder is an ADDITIONAL INSURED, the policy(ies) must be endorsed. If SUBROGATION IS WAIVED, subject to the terms and conditions of the policy, certain policies may require an endorsement. A statement on this certificate does not confer rights to the certificate holder in lieu of such endorsement(s).

PRODUCER PATRIOTIC INS GROUP BROKERAGE INC 16163710 159 NY 28 INLET NY 13360	CONTACT NAME:		
	PHONE (866) 467-8730 (A/C, No, Ext):	FAX (888) 443-6112 (A/C, No):	
	E-MAIL ADDRESS:		
	INSURER(S) AFFORDING COVERAGE NAIC#		
INSURED Foxglove Works Corp PO BOX 1155 OLD FORGE NY 13420-1	INSURER A :	Hartford Underwriters Insurance Company	30104
	INSURER B :		
	INSURER C :		
	INSURER D :		
	INSURER E :		
	INSURER F :		

COVERAGES

CERTIFICATE NUMBER:

REVISION NUMBER:

THIS IS TO CERTIFY THAT THE POLICIES OF INSURANCE LISTED BELOW HAVE BEEN ISSUED TO THE INSURED NAMED ABOVE FOR THE POLICY PERIOD INDICATED. NOTWITHSTANDING ANY REQUIREMENT, TERM OR CONDITION OF ANY CONTRACT OR OTHER DOCUMENT WITH RESPECT TO WHICH THIS CERTIFICATE MAY BE ISSUED OR MAY PERTAIN, THE INSURANCE AFFORDED BY THE POLICIES DESCRIBED HEREIN IS SUBJECT TO ALL THE TERMS, EXCLUSIONS AND CONDITIONS OF SUCH POLICIES. LIMITS SHOWN MAY HAVE BEEN REDUCED BY PAID CLAIMS.

INSR LTR	TYPE OF INSURANCE	ADDL INSR	SUBR WVD	POLICY NUMBER	POLICY EFF (MM/DD/YYYY)	POLICY EXP (MM/DD/Y YY)	LIMITS		
A	COMMERCIAL GENERAL LIABILITY			16 SBA AV70DV	07/27/2025	07/27/2026	EACH OCCURRENCE	\$1,000,000	
	☐ CLAIMS-MADE ☒ OCCUR						DAMAGE TO RENTED PREMISES (Ea occurrence)	\$1,000,000	
	☒ General Liability						MED EXP (Any one person)	\$10,000	
							PERSONAL & ADV INJURY	\$1,000,000	
	GEN'L AGGREGATE LIMIT APPLIES PER:							GENERAL AGGREGATE	\$2,000,000
	☒ POLICY ☐ PRO-JECT ☐ LOC						PRODUCTS - COMP/OP AGG	\$2,000,000	
	OTHER:								
	AUTOMOBILE LIABILITY						COMBINED SINGLE LIMIT (Ea accident)		
	ANY AUTO						BODILY INJURY (Per person)		
	ALL OWNED AUTOS						BODILY INJURY (Per accident)		
	HIRED AUTOS						PROPERTY DAMAGE (Per accident)		
	SCHEDULED AUTOS								
	NON-OWNED AUTOS								
	UMBRELLA LIAB EXCESS LIAB						EACH OCCURRENCE		
	☐ OCCUR ☐ CLAIMS-MADE						AGGREGATE		
	DED RETENTION \$								
	WORKERS COMPENSATION AND EMPLOYERS' LIABILITY						PER STATUTE	OTH-ER	
	ANY PROPRIETOR/PARTNER/EXECUTIVE OFFICER/MEMBER EXCLUDED? (Mandatory in NH)						E.L. EACH ACCIDENT		
	If yes, describe under DESCRIPTION OF OPERATIONS below						E.L. DISEASE -EA EMPLOYEE		
							E.L. DISEASE - POLICY LIMIT		
A	Employment Practices Liability Insurance			16 SBA AV70DV	07/27/2025	07/27/2026	Each Claim Limit	\$500,000	
							Annual Aggregate Limit	\$500,000	

DESCRIPTION OF OPERATIONS / LOCATIONS / VEHICLES (ACORD 101, Additional Remarks Schedule, may be attached if more space is required)

The Business Liability Coverage Part includes a Blanket Additional Insured By Contract Endorsement, Form SL 30 32.

CERTIFICATE HOLDER

CANCELLATION

SHOULD ANY OF THE ABOVE DESCRIBED POLICIES BE CANCELLED BEFORE THE EXPIRATION DATE THEREOF, NOTICE WILL BE DELIVERED IN ACCORDANCE WITH THE POLICY PROVISIONS.

AUTHORIZED REPRESENTATIVE

Susan L. Castaneda

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IMPORTANT NOTICE TO POLICYHOLDERS THE HARTFORD CYBER CENTER WEBSITE ACCESS

Thank you for choosing The Hartford for your business insurance needs.

You are receiving this Notice because you purchased a business owner's policy from The Hartford, (your Policy was issued by The Hartford writing company identified on your policy Declarations page) which includes access to The Hartford Cyber Center. This portal was created because we recognize that businesses face a variety of cyber-related exposures and need help managing the related risks. These exposures include data breaches, computer virus attacks and cyber extortion threats.

Through The Hartford Cyber Center, you have access to:

1. A panel of third party incident response service providers
2. Third party cybersecurity pre-incident service providers and a list of approved services to help protect your business before a cyber-threat occurs
3. Risk management tools, including self-assessments, best practice guides, templates, sample incident response plans, and data breach cost calculators
4. White papers, blogs and webinars from leading privacy and security practitioners
5. Up-to-date cyber-related news and events, including examples of privacy and security related events

Accessing The Hartford Cyber Center is easy

1. Visit www.thehartford.com/cybercenter
2. Enter policyholder information
3. Access code: 952689
4. Login to The Hartford Cyber Center

This Notice does not amend or otherwise affect the provisions of your business owner's policy.

Coverage Options:

The Hartford offers a variety of endorsements to your business owner's policy that can help protect your business from a broad range of cyber-related threats. Please review your coverage with your insurance agent or broker to determine the most appropriate cyber coverages and limits for your business.

Claims Reporting:

If you have a claim, you can report it by calling The Hartford's toll-free claims line at **1-800-327-3636**.

Should you have any questions, please contact your insurance agent, broker or you may contact us directly.

We appreciate your business and look forward to being of continued service to you.

Please be aware that:

1. The Hartford Cyber Center is a proprietary web portal exclusively provided to customers of The Hartford. Please do not share the access code with anyone outside your organization.
2. Registration is required to access the Cyber Center. You may register as many users as necessary.
3. Contacting a service provider about any issue does not constitute providing The Hartford notice of a claim as required under your insurance policy. Read your insurance policy and discuss any questions with your agent or broker.

The Hartford Cyber Center provides third party service provider references and materials for educational purposes only. The Hartford does not specifically endorse any such service provider within The Hartford Cyber Center and hereby disclaims all liability with respect to use of or reliance on such service providers. All service providers are independent contractors and not agents of The Hartford. The Hartford does not warrant the performance of the service providers, even if such services are covered under your Business Owners Policy. We strongly encourage you to conduct your own assessments of the service providers' services and the fitness or adequacy of such services for your particular needs.



BUSINESS OWNER'S POLICY



Declarations: Business Owner's Policy

Policy Number: 16 SBA AV70DV

Policy Period: 07/27/2025 to 07/27/2026, 12:01 a.m., Standard time at your mailing address shown here. Exception: 12 noon in New Hampshire.

Insurer:

Hartford Underwriters Insurance Company, a property and casualty company of The Hartford.

One Hartford Plaza, Hartford, CT 06155

Named Insured and Mailing Address:

Foxglove Works Corp
PO BOX 1155
OLD FORGE, NY 13420-1

Type of Business: Accounting & Auditing Services

Name of Agency/Broker:

PATRIOTIC INS GROUP
BROKERAGE INC
159 NY 28
INLET, NY 13360

Code: 16163710

Previous Policy Number:

16 SBA AV70DV

Organization Type: Corporation

Audit Period: Non-Auditable

Insurance Provided: In return for the payment of the premium and subject to all of the terms of this policy, we agree with you to provide insurance as stated in this policy.

TOTAL PREMIUM:

\$1,621*

*Total Premium includes the premium for all Coverage Parts issued to you in this policy, as well as any companion policies delivered with this policy. Total Premium includes any applicable fees and surcharges. Total Premium may change based on coverage changes made through endorsement or if your policy is subject to Premium Audit.

Countersigned by: *Susan L. Castaneda*

06/17/2025

Authorized Representative

Date

A Business Owner's Policy typically covers property and business liability risks. Generally, Property insurance pays you if a covered cause of loss damages property that you own, rent or lease. Business liability insurance pays in certain cases where something you do or something you own causes injury or damage to someone

This Spectrum® Business Owner's Policy consists of the Declarations, Coverage Forms, Coverage Parts, Common Policy Conditions and any other Forms and endorsements issued to be a part of the Policy. The Hartford® is Hartford Fire Insurance Company and its affiliated property and casualty insurance companies.



Declarations: Business Owner's Policy

else, or someone else's property. Please see the coverages and limits described in your Declarations for details regarding the insurance you purchased.



Glossary of Terms*

TERM	DEFINITION
Audit Period	Your Policy period, which may be auditable or non-auditable. If your Policy is auditable, we will examine your business records to determine actual exposures for final premium calculation.
Base Coverage Form	Each Coverage Part has a form that explains, generally, what is and is not covered. This is the first building block of the Coverage Part. All other forms directly or indirectly modify the Base Coverage Form and are attached to it.
Coverage Part	A section of the Policy for a particular coverage. Unless otherwise stated in a specific Coverage Part, a Coverage Part consists of a Declarations page, a Base Coverage Form, all forms that modify the Base Coverage Form, and other forms applicable to the Coverage Part or the entire Policy.
Declarations	The part of the insurance contract that specifies the named insured, address, policy period, covered locations, limits of insurance and other key information such as forms applicable to the Coverage Part.
Policy	A contract between you and us to provide you with certain insurance coverages. Your Spectrum Business Owner's Policy consists of all Coverage Parts and forms common to some or all Coverage Parts.

*The terms and definitions contained in the Glossary of Terms are provided to help you better understand your Business Owners Policy and how it is constructed. These terms and definitions are not definitions that apply to any Coverage Part or Policy you have purchased and should not be construed as such. Please refer to the applicable provisions in your coverage parts or policies for complete details of the defined terms, including but not limited to the applicable Definitions section of such Coverage Part or Policy.



Declarations: Locations and Location-Based Coverages

Here's how your Business Owner's insurance coverage and limits apply to your business locations (LOC). If you have more than one location or building (BLDG), we break out your coverage and limits separately for each LOC.

LOC 1, BLDG 1

Class: Accounting & Auditing Services

Location: 2955 STATE ROUTE 28 STE 5 OLD FORGE,NY 13420-7865

Construction Type: Frame

Year Built: 1998

Property Deductible: \$250

Valuation

Business Personal Property (BPP):

Replacement Cost

LOC 1, BLDG 1: LOCATION-BASED COVERAGES AND FEATURES	LIMIT OF INSURANCE
Covered Property (Form Number SP 00 00 10 18)	
Business Personal Property, includes: • Tenant's Improvements and Betterments • Personal Property of Others	\$21,000
Business Personal Property (BPP) - Business Personal Property Limit - Additional Seasonal Increase %	25% - Included
Building	\$0



Declarations:

Property Coverage Part

The coverages listed below apply to the location(s) for which you purchased property coverage. The limits in the right-hand column show the maximum amount we'll pay. Read the entire Coverage Part to determine your rights, duties and what is and is not covered under the coverages listed below.

FORM NUMBER	FORM NAME	LIMIT OF INSURANCE
SP 30 23 10 18	ACCOUNTS RECEIVABLE	\$25,000
SP 30 18 10 18	ARSON AND THEFT REWARD	\$10,000
SP 30 13 10 18	BUSINESS INCOME AND EXTRA EXPENSE	
	Extended Business Income	45 days
	Limit Type	Actual Loss Sustained
	Period of Restoration	12 months
	Waiting Period	None
SP 30 19 10 18	BUSINESS INCOME FOR CIVIL AUTHORITY ORDERS	
	Duration of Coverage	30 days
	Waiting Period	None
SP 30 14 10 18	BUSINESS INCOME FROM DEPENDENT PROPERTIES	
	Limit	\$5,000
	Period of Restoration	12 months
	Waiting Period	None
SP 30 00 10 18	COLLAPSE	Included ²
SP 31 53 09 24	CYBER VIRUS AND MALWARE COVERAGE	
	Business Income & Extra Expense Waiting Period	12 hours
	Business Income Period of Restoration	12 months
	Digital Ransom and Extortion Threats - Sublimit	\$10,000
	Policy Year Limit	\$25,000
SP 30 01 10 18	DEBRIS REMOVAL	25% of amount paid for covered loss
	Additional Limit	\$15,000
SP 30 29 09 24	ELECTRONIC DATA	
	Policy Year Limit	\$10,000
SP 30 02 10 18	EQUIPMENT BREAKDOWN	Included ²
	Deductible	Property Deductible
	Defense	Included
	Expediting Expenses	\$50,000
	Hazardous Substances	\$50,000
	Supplementary Payments	Included
SP 30 03 10 18	FIRE DEPARTMENT SERVICE CHARGE	\$25,000
SP 30 04 10 18	FIRE EXTINGUISHER RECHARGE	Included ²
SP 30 16 12 19	FORGERY COVERAGE (INCLUDING CREDIT CARDS, CURRENCY AND MONEY ORDERS)	\$5,000



Declarations: Property Coverage Part

CONTINUED

FORM NUMBER	FORM NAME	LIMIT OF INSURANCE
SP 30 05 10 18	GARAGES, STORAGE BUILDINGS, AND OTHER APPURTENANT STRUCTURES	\$50,000
SP 30 06 10 18	GLASS EXPENSE	Included ²
SP 30 22 10 18	IDENTITY RECOVERY FOR BUSINESSOWNERS AND EMPLOYEES	
	Deductible	\$250
	Limit	\$15,000
	Lost Wages and Child and Elder Care Expense	\$250 per day, \$5,000 per policy year
	Mental Health Sublimit	\$1,500
SP 30 30 09 24	INTERRUPTION OF COMPUTER OPERATIONS	
	Period of Restoration	12 months
	Policy Year Limit	\$10,000
	Waiting Period	12 hours
SP 30 07 10 18	LEASE ASSESSMENT	\$2,500
SP 30 54 10 18	LEASEHOLD IMPROVEMENTS	\$25,000
SP 30 08 10 18	LOCK AND KEY REPLACEMENT	\$1,000
SP 30 28 10 18	MONEY AND SECURITIES COVERAGE	
	Inside the Premises Limit	\$10,000
	Outside the Premises Limit	\$5,000
SP 30 24 12 21	NEWLY ACQUIRED OR CONSTRUCTED PROPERTY	
	Newly Acquired or Constructed BI/EE Limit	\$100,000
	Newly Acquired or Constructed BPP Limit	\$250,000
SP 02 05 12 19	ORDINANCE OR LAW COVERAGE - NEW YORK	
	Increased Cost of Construction & Demolition Costs Limit	\$25,000
	Undamaged Part Limit	\$25,000
SP 30 25 12 21	OUTDOOR PROPERTY	\$10,000
SP 30 09 10 18	PERSONAL EFFECTS	\$10,000
SP 30 20 10 18	POLLUTANTS AND CONTAMINANTS CLEAN UP AND REMOVAL	\$15,000
SP 30 10 10 18	PRESERVATION OF PROPERTY	45 days
SP 30 26 10 18	PROPERTY OFF-PREMISES	\$5,000
SP 30 44 10 18	THEFT DAMAGE TO BUILDING	Included ²
SP 30 12 10 18	VALUABLE PAPERS AND RECORDS	\$25,000
SP 30 27 10 18	WATER DAMAGE, OTHER LIQUID, POWDER OR MOLTEN MATERIAL DAMAGE	Included ²

²Included within Covered Property Limit(s) (Building and/or Business Personal Property)



Declarations: Property Coverage Part

CONTINUED

ALL OTHER PROPERTY FORMS	
Form Number	Form Name
SP 01 31 07 22	NEW YORK CHANGES - SPECIAL PROPERTY COVERAGE FORM
SP 20 08 10 18	PERILS SPECIFICALLY EXCEPTED
SP 00 00 10 18	SPECIAL PROPERTY COVERAGE FORM

PROPERTY COVERAGE PREMIUM:

\$42*

* Price is subject to fees and surcharges. For more details, refer to Page 9



Declarations: Business Liability Coverage Part

Your policy includes the liability coverages listed below. The limits in the right-hand column show the maximum amount we'll pay.

FORM NUMBER	FORM NAME	LIMIT OF INSURANCE
SL 00 00 10 18	BUSINESS LIABILITY COVERAGE FORM	
	Damage To Premises Rented To You Limit	\$1,000,000
	General Aggregate Limit	\$2,000,000
	Liability and Medical Expenses Limit	\$1,000,000
	Medical Expenses Limit	\$10,000
	Personal and Advertising Injury Limit	\$1,000,000
	Products-Completed Operations Aggregate Limit	\$2,000,000
	Property Damage Liability Deductible	No Deductible
ADDITIONAL BUSINESS LIABILITY COVERAGES		
SL 30 43 10 18	ADDITIONAL INSURED - MANAGERS OR LESSORS OF PREMISES	
SL 30 32 06 21	BLANKET ADDITIONAL INSURED BY CONTRACT	Included ¹

¹Included in Business Liability Limit(s)

ADDITIONAL INSURED SCHEDULES			
Form Number	Form Name	Additional Insured Name and Address	Location
SL 30 43 10 18	ADDITIONAL INSURED - MANAGERS OR LESSORS OF PREMISES	SKY CREEK LLC PO BOX 497, HOLLAND PATENT, NY 13354	001

ALL OTHER BUSINESS LIABILITY FORMS	
Form Number	Form Name
SL 20 06 10 18	EXCLUSION - NUCLEAR ENERGY LIABILITY
SL 21 15 09 22	EXCLUSION - PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)
SL 02 34 10 18	EXCLUSION - SILICA (NEW YORK) - BUSINESS LIABILITY COVERAGE FORM
SL 01 31 10 18	NEW YORK CHANGES - BUSINESS LIABILITY COVERAGE FORM

BUSINESS LIABILITY COVERAGE PREMIUM:	\$41*
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* Price is subject to fees and surcharges. For more details, refer to Page 9



Declarations: Other Liability Coverages

Your policy also includes the following additional liability Coverage Parts or policies. Please see the applicable Declaration form for details.

DECLARATION FORM NUMBER	COVERAGE NAME	PREMIUM
SL 55 77 10 18	Employment Practices Liability Insurance	\$1,200



Declarations: Common Forms

Your policy includes the Common Forms listed below. These forms apply to all Coverage Parts on your policy.

FORM NUMBER	FORM NAME
SC 00 00 10 18	COMMON POLICY CONDITIONS
SC 00 01 10 18	DECLARATIONS: BUSINESS OWNER'S POLICY
SC 70 00 12 20	DISCLOSURE - CAP ON LOSSES - TERRORISM RISK INSURANCE ACT
G-4190-0	FRAUD NOTICE
DOS03471202	HAZARDOUS MATERIALS REPORT FORM - DOS-0347
SC 50 64 06 20	IMPORTANT NOTICE TO POLICYHOLDER'S
SC 50 46 10 18	IMPORTANT NOTICE TO POLICYHOLDERS
G-3027	IMPORTANT NOTICE TO POLICYHOLDERS - DISCOUNTS APPLIED TO YOUR POLICY PREMIUM
SC 90 04 10 18	IMPORTANT NOTICE TO POLICYHOLDERS THE HARTFORD CYBER CENTER WEBSITE ACCESS
100722	INSURANCE POLICY BILLING INFORMATION
SC 01 31 10 18	NEW YORK CHANGES - COMMON POLICY CONDITIONS
SC 50 31 10 18	PRODUCER COMPENSATION NOTICE
SC 00 12 10 18	SPECTRUM BUSINESS OWNER'S POLICY JACKET
SC 90 16 10 18	TRADE OR ECONOMIC SANCTIONS ENDORSEMENT
SC 90 15 10 18	US DEPARTMENT OF THE TREASURY, OFFICE OF FOREIGN ASSETS CONTROL (OFAC) ADVISORY NOTICE TO POLICYHOLDERS



Declarations: Other Charges

States laws and regulations may require you to pay taxes, fees, surcharges or other costs. We've listed those charges below

DESCRIPTION	COST
Other Premiums	
Policy Base Premium	\$302
Terrorism Premium	\$32
Fees, Surcharges and Taxes	
New York Fire Fee	\$4



IMPORTANT NOTICE TO POLICYHOLDERS

Discounts Applied to Your Policy Premium

Thank you for choosing The Hartford for your business insurance needs.

You are receiving this Notice because you purchased a business owner's policy from The Hartford, your Policy was issued by The Hartford writing company identified on your policy Declarations page.

The following credits and discounts have been applied to your policy.

- o In recognition of the multiple policies you have with The Hartford, an account credit has been applied.



Declarations: Employment Practices Liability Coverage Part – New York

THE INSURANCE AFFORDED BY THIS COVERAGE PART IS CLAIMS MADE COVERAGE. PLEASE READ ALL PROVISIONS AND CONTACT YOUR AGENT IF YOU HAVE ANY QUESTIONS. EXCEPT AS PROVIDED HEREIN, THIS COVERAGE PART IS LIMITED TO THOSE CLAIMS THAT ARE FIRST MADE DURING THE POLICY PERIOD OR ANY APPLICABLE EXTENDED REPORTING PERIOD. UPON TERMINATION OF COVERAGE, A SIXTY (60) DAY BASIC EXTENDED REPORTING PERIOD WILL BE PROVIDED AND AN OPTIONAL EXTENDED REPORTING PERIOD WILL BE AVAILABLE FOR AN ADDITIONAL PREMIUM CHARGE. THIS COVERAGE PART CONTAINS PROVISIONS THAT REDUCE AND MAY EXHAUST THE LIMITS OF LIABILITY STATED IN THE DECLARATIONS. WE SHALL NOT BE LIABLE FOR CLAIMS EXPENSES OR JUDGMENTS OR SETTLEMENTS AFTER EXHAUSTION OF THE LIABILITY LIMIT. THE DEDUCTIBLE IS APPLICABLE TO CLAIM EXPENSES AND DAMAGES. THE DEDUCTIBLE MAY BE COMPLETELY EXHAUSTED BY CLAIM EXPENSES.

This Declarations Page, with Common Policy Conditions, Employment Practices Liability Coverage Form and Endorsements, if any, shall together constitute this Employment Practices Liability Coverage Part, which in turn forms a part of the Policy Number shown below.

The Nuclear Energy Liability Exclusion (Form SL 20 06) of the Policy to which this Coverage Part is attached also applies to this Coverage Part.

Policy Number: 16 SBA AV70DV

Policy Period

Effective date: 07/27/2025

Expiration date: 07/27/2026

12:01 A.M., Standard time at the address of the named insured as stated herein.

Insurer:

Hartford Underwriters Insurance Company
One Hartford Plaza, Hartford, CT 06155

Named Insured and Mailing Address:

Foxglove Works Corp
PO BOX 1155
OLD FORGE, NY 13420-1

PREMIUM:

\$1,200

This Spectrum® Business Owner's Policy consists of the Declarations, Coverage Forms, Coverage Parts, Common Policy Conditions and any other Forms and endorsements issued to be a part of the Policy. The Hartford® is Hartford Fire Insurance Company and its affiliated property and casualty insurance companies.





Declarations: Employment Practices Liability Coverage Part – New York

POLICY PERIOD

12:01 A.M., Standard time at the address of the named insured as stated herein.

EFFECTIVE DATE: 07/27/2025**EXPIRATION DATE:** 07/27/2026**LIMITS OF LIABILITY****EACH CLAIM LIMIT:** \$500,000**ANNUAL AGGREGATE LIMIT:** \$500,000**RETROACTIVE DATE:** 07/27/2007

If no date is entered, the Retroactive Date is the same as the effective date of this Coverage Part.

DEDUCTIBLE: \$5,000 Each claim**Form Numbers of Forms and Endorsements that apply:**

FORM NUMBER	FORM NAME
SL 55 00 10 18	ADDENDUM TO THE DECLARATIONS AND APPLICATION - EMPLOYMENT PRACTICES LIABILITY - NEW YORK
SL 55 24 10 18	EMPLOYMENT PRACTICES LIABILITY COVERAGE FORM - NEW YORK (CLAIMS MADE)
SL 55 77 10 18	DECLARATIONS - EMPLOYMENT PRACTICES LIABILITY COVERAGE PART - NEW YORK

Countersigned by:*Susan L. Castaneda*

06/17/2025

Authorized Representative

Date





IMPORTANT NOTICE TO POLICYHOLDERS

To help your insurance keep pace with increasing costs, we have increased your amount of insurance . . . giving you better protection in case of either a partial, or total loss to your property.

If you feel the new amount is not the proper one, please contact your agent or broker.



SPECIAL PROPERTY COVERAGE FORM

SPECIAL PROPERTY COVERAGE FORM READ YOUR POLICY CAREFULLY

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SPECIAL PROPERTY COVERAGE FORM

Various provisions in this Policy restrict coverage. Read the entire Policy carefully to determine rights, duties, and what is and is not covered.

Throughout this Coverage Part the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we," "us" and "our" refer to the Company providing this insurance.

"Policy period", as used in this Coverage Part, means the period from the effective date of this Coverage Part to the expiration date of the Coverage Part as stated in the Declarations or the date of cancellation, whichever is earlier.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **G., PROPERTY DEFINITIONS**.

A. COVERAGE

We will pay for direct physical loss of or direct physical damage to Covered Property at the premises described in the Declarations (also called "scheduled premises" in this Coverage Part) caused by or resulting from a Covered Cause of Loss.

1. Covered Property

Covered Property as used in this Coverage Part, means the following types of property for which a Limit of Insurance is shown in the Declarations:

- a. **Buildings**, meaning the building(s) and structure(s) described in the Declarations, including:
 - (1) Completed additions;
 - (2) Fixtures, including outdoor fixtures;
 - (3) Permanently installed:
 - (a) Machinery; and
 - (b) Equipment;
 - (4) Your personal property in apartments, rooms or common areas furnished by you as landlord;
 - (5) Building Glass, meaning glass that is part of a building or structure;
 - (6) Personal property owned by you that is used to maintain or service the buildings or structures on the premises, including:
 - (a) Fire extinguishing equipment;
 - (b) Outdoor furniture;
 - (c) Floor coverings; and
 - (d) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;
 - (7) If not covered by other insurance:
 - (a) Additions under construction, alterations and repairs to the buildings or structures;
 - (b) Materials, equipment, supplies and temporary structures, on or within 1,000 feet of the "scheduled premises", used for making additions, alterations or repairs to the buildings or structures.
- b. **Business Personal Property** located in or on the building(s) or structure(s) described in the Declarations at the "scheduled premises" or in the open (or in a vehicle) within 1,000 feet of the building(s) or structure(s) or within 1,000 feet of the "scheduled premises", whichever distance is greater, including:
 - (1) Property you own that is used in your business;
 - (2) Tools and equipment owned by your "employees", which are used in your business "operations";
 - (3) Property of others that is in your care, custody or control;
 - (4) "Tenant improvements and betterments";
 - (5) Leased personal property for which you have contractual responsibility to insure, unless otherwise provided for under this Coverage Part; and



- (6) Exterior building glass, if you are a tenant and no Limit of Insurance is shown in the Declarations for Building property. The glass must be owned by you or in your care, custody or control and for which the lease holds you responsible.

2. Property Not Covered

Covered Property does not include:

- a. Aircraft (including "unmanned aircraft", other than "unmanned aircraft" held for sale);
- b. Automobiles, motortrucks and other vehicles subject to motor vehicle registration;
- c. Automobiles held for sale;
- d. Trailers or semi-trailers except as otherwise provided for in this Coverage Part;
- e. "Money", bank notes and "securities", except as otherwise provided in this Coverage Part;
- f. Contraband, or property in the course of illegal transportation or trade;
- g. Land, whether or not resurfaced with stone, gravel or similar layer or a paved surface, (including land on which the property is located), land improvements, water (including water that is natural, metered water that is purchased from a utility company or other supplier, water that is located within a swimming pool, and/or bulk containerized water which is used for a fire suppression system. This does not include containerized water that is "stock"), growing crops, standing timber or lawns (other than lawns which are part of a vegetated roof);
- h. Outdoor fences, radio or television antennas (including satellite dishes), including their lead-in wiring, masts or towers, signs (other than signs attached to buildings), trees, shrubs or plants (other than "stock" of trees, shrubs or plants or trees, shrubs or plants which are sold but not delivered or which are part of a vegetated roof), except as otherwise provided for in this Coverage Part;
- i. Watercraft (including motors, equipment and accessories) while afloat;
- j. "Valuable papers and records" (including the cost to research, replace or restore the information on "valuable papers and records"), except as otherwise provided for in this Coverage Part;
- k. "Electronic data" (including the cost to research, replace or restore "electronic data") except as otherwise provided for in this Coverage Part. This Paragraph k. does not apply to your "stock" of prepackaged software;
- l. Accounts, bills, food stamps, other evidences of debt or accounts receivable, except as otherwise provided for in this Coverage Part;
- m. "Computer(s)" which are permanently installed in aircraft, watercraft, motor truck, or other vehicles subject to motor vehicle registration;
- n. Live eggs, embryos and cells;
- o. Animals, unless owned by others and boarded by you, or if owned by you, only as "stock" while inside of buildings, except as otherwise provided for in this Coverage Part; and
- p. Property that is more specifically covered, insured or described elsewhere within this Coverage Part or in any other policy, except for the excess of the amount due (whether you can collect on it or not) from other insurance.

3. Covered Causes of Loss

Covered Cause of Loss means direct physical loss or direct physical damage unless the loss or damage is excluded or limited in this Coverage Part.

4. Limitations

- a. We will not pay for loss of or damage to:
 - (1) Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property;
 - (2) Property that has been transferred to a person or to a place outside the "scheduled premises" on the basis of unauthorized instructions, except as otherwise provided for in this Coverage Part; or
 - (3) The interior of any building or structure, or to personal property in the building or structure, caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:



- (a) The building or structure first sustains physical damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or
 - (b) The loss or damage is caused by or results from thawing of snow, sleet, or ice on the building or structure.
- b. Pets and animals are covered only if they are:
 - (1) Stolen; or
 - (2) Their destruction is made necessary by or are killed by a "specified cause of loss".
- c. For direct physical loss or direct physical damage by theft, the following types of property are covered only up to the limits shown:
 - (1) \$2,500 for furs, fur garments and garments trimmed with fur;
 - (2) \$5,000 for jewelry, watches, watch movements, jewels, pearls, precious and semi-precious stones, bullion, gold, silver, platinum and other precious alloys or metals. This limit does not apply to jewelry and watches worth \$500 or less per item;
 - (3) \$2,500 for patterns, dies, molds and forms; and
 - (4) \$500 for stamps, lottery tickets held for sale and letters of credit.
- d. We will not pay for loss or damage to lawns, trees, shrubs or plants which are part of a vegetated roof, caused by or resulting from:
 - (1) Dampness or dryness of atmosphere or of soil supporting the vegetation;
 - (2) Changes in or extremes of temperature;
 - (3) Frost or hail; or
 - (4) Rain, snow, ice or sleet.
- e. The most we will pay for direct physical loss or direct physical damage to outdoor signs attached to buildings is \$5,000 per sign in any one occurrence.

5. Additional Coverages

Additional Coverages may be attached to this Coverage Part by endorsement and would be shown in the Declarations. Unless otherwise stated, the Limits of Insurance available under these Additional Coverages are subject to and not in addition to the Limits of Insurance in this Coverage Form.

6. Coverage Extensions

Coverage Extensions may be attached to this Coverage Part by endorsement and would be shown in the Declarations. Unless otherwise stated, the Limits of Insurance available under these Coverage Extensions are in addition to the Limits of Insurance in this Coverage Form.

B. EXCLUSIONS

- 1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.
 - a. **Earth Movement**
 - (1) Earthquake, meaning a shaking or trembling of the earth's crust, including tremors and aftershocks, resulting in breaking, shifting, rising, settling, sinking or lateral movement;
 - (2) Landslide, including any earth sinking, rising or shifting related to such event;
 - (3) Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
 - (4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil, and the action of water under the ground surface;



But if Earth Movement, as described in Paragraphs **(1)** through **(4)** above, results in fire or explosion damage to Covered Property, we will pay for the physical loss or physical damage to Covered Property caused by that fire or explosion.

- (5)** Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire or volcanic action damage to Covered Property, we will pay for the physical loss or physical damage caused by that fire or volcanic action.

Volcanic action means direct physical loss or direct physical damage resulting from the eruption of a volcano when the direct physical loss or direct physical damage is caused by:

- (a)** Airborne volcanic blast or airborne shock waves;
- (b)** Ash, dust, or particulate matter; or
- (c)** Lava flow.

With respect to coverage for volcanic action as set forth in **5(a)** through **5(c)** above, all volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

Volcanic action does not include the cost to remove ash, dust, or particulate matter that does not cause direct physical loss or direct physical damage to Covered Property.

This Exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5)**, is caused by weather, an act of nature or by an artificial, man-made or other cause.

b. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for direct physical loss or direct physical damage to Covered Property caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this Coverage Part.

c. Nuclear Hazard

- (1)** Nuclear reaction, nuclear radiation or radioactive contamination, however caused, whether intentional or unintentional. This includes, but is not limited to, the release, dispersal or application of radioactive material, or the use of a nuclear weapon or device that involves or produces a nuclear reaction, nuclear radiation or radioactive contamination or radioactive force.

- (2)** When state standard fire policy law requires that we cover any resulting fire damage, we will pay only for the resulting damage to Covered Property caused by that resulting fire, if the fire would be covered under this Coverage Part. We will pay only the actual cash value for the damaged property. Therefore, we will not pay for any indirect or related loss(es), such as Business Income, Extra Expense, legal liability, or leasehold interest loss(es).

d. Utility Services

The failure of "communication supply services", "power supply services", "wastewater removal services", "water supply services" or other utility service supplied to the "scheduled premises", however caused, if the failure:

- (1)** Originates away from the "scheduled premises"; or
- (2)** Originates at the "scheduled premises" but only if such failure involves equipment used to supply the utility service to the "scheduled premises" from a source away from the "scheduled premises".

Failure of any utility service includes lack of sufficient capacity and reduction in supply necessary to maintain normal "operations".

But if physical loss or physical damage to Covered Property by a Covered Cause of Loss results, we will pay for that resulting physical loss or physical damage.

e. War and Military Action

- (1)** War, including undeclared or civil war;
- (2)** Hostile or warlike action, in time of peace or war, including action in hindering, combating or defending against an actual or expected attack, by any of the following:

- (a) Government or sovereign power (including quasi and de facto forms), or by any authority maintaining or using military, naval or air forces;
 - (b) Military, naval or air forces; or
 - (c) An agent of such government, power, authority or forces.
- (3) Invasion, insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering, combating or defending against such actual or expected event by any government, power, authority, forces or agents described in Paragraphs (2)(a) through (2)(c) above.

f. Water

- (1) Flood, surface water, waves (including tidal waves and tsunami), tides, tidal water, overflow of streams or any other natural or man-made bodies of water, or spray from any of these, all whether or not driven by wind (including storm surge);
- (2) Mudslide or mudflow;
- (3) Water or sewage that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment;
- (4) Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings;
- (5) Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs (1), (3) or (4), or material carried or otherwise moved by mudslide or mudflow.

But if any of the above in Paragraphs (1) through (5), results in fire, explosion or sprinkler leakage damage to Covered Property, we will pay for the direct physical loss or direct physical damage caused by that fire, explosion or sprinkler leakage.

- (6) Water damage caused by or resulting from earthquake or volcanic eruption as described in Exclusion 1.a., **Earth Movement**.

This Exclusion applies regardless of whether any of the above, in Paragraphs (1) through (6), is caused by an act of nature or by an artificial, man-made or other cause.

g. “Fungi”, Wet Rot or Dry Rot

Presence, growth, proliferation, spread or any activity of “fungi”, wet rot or dry rot.

But if “fungi”, wet rot or dry rot results in a “specified cause of loss” to Covered Property, we will pay for the loss or damage caused by the “specified cause of loss”.

This exclusion does not apply when “fungi”, wet rot or dry rot results from fire or lightning.

h. Virus or Bacteria

- (1) Any virus, bacterium or other microorganism that induces or is capable of inducing physical distress, illness or disease.
- (2) With respect to any loss or damage subject to the exclusion in Paragraph (1) above, such exclusion supersedes any exclusion relating to “pollutants and contaminants”.

i. Ordinance Or Law

- (1) The enforcement of or compliance with any ordinance or law:
 - (a) Regulating the construction, use or repair of any property; or
 - (b) Requiring the tearing down of any property, including the cost of removing its debris.
- (2) This exclusion applies whether the loss results from:
 - (a) An ordinance or law that is enforced even if the property has not been damaged; or
 - (b) The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property or removal of its debris, following a physical loss to that property.

j. Electronic Vandalism or Corruption of “Electronic Data” or Corruption of “Computer(s)”

- (1) Destruction or corruption of “electronic data” caused by virus, malicious code or similar instruction introduced into or enacted on a “computer” system (including “electronic data”) or a network to which it is connected, designed to destroy or corrupt “electronic data”;
- (2) Unauthorized viewing, copying or use of “electronic data” (or any proprietary or confidential information or intellectual property in any form) by any person, even if such activity is characterized as theft;
- (3) Manipulation of your “computer” system including “electronic data” by any person(s), for the purpose of diverting or destroying “electronic data” or causing fraudulent or illegal transfer of any property;
- (4) Interruption in normal “computer” function on network service or function due to insufficient capacity to process transactions or to an overload of activity on the system or network;
- (5) Unexplained or indeterminable failure, malfunction or slowdown of a “computer” system, including “electronic data” or the inability to access or properly manipulate the “electronic data”;
- (6) Complete or substantial failure, disablement or shutdown of the internet, regardless of cause;
- (7) The inability of a “computer” system to correctly recognize, process, distinguish, interpret or accept one or more dates or times.

But if direct physical loss or direct physical damage occurs to Covered Property from a resulting Covered Cause of Loss, we will pay for that resulting direct physical loss or direct physical damage. Mere loss of use or loss of functionality of any property is not considered physical loss or physical damage

2. We will not pay for loss or damage caused by or resulting from:

a. Electrical Apparatus

- (1) Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:
 - (a) Electrical or electronic wire, device, appliance, system or network; or
 - (b) Device, appliance, system or network utilizing cellular or satellite technology.
- (2) For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:
 - (a) Electrical current, including arcing;
 - (b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
 - (c) Pulse of electromagnetic energy; or
 - (d) Electromagnetic waves or microwaves.

But if fire damage to Covered Property results, we will pay for the direct physical loss or direct physical damage caused by fire.

- (3) We will pay for loss or damage to “computer(s)” due to artificially generated electrical, magnetic or electromagnetic energy if such loss or damage is caused by or results from:
 - (a) An occurrence that took place within 1,000 feet of the “scheduled premises”; or
 - (b) Interruption of electric power supply, power surge, blackout or brownout if the cause of such occurrence took place within 1,000 feet of the “scheduled premises”.

b. Consequential Losses

Delay, loss of use or loss of market.

c. Smoke, Vapor, Gas

Smoke, vapor or gas from agricultural smudging or industrial operations.

d. Steam Apparatus

Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control. But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion damage to Covered Property, we will pay for the direct physical loss or direct physical damage caused by that fire or combustion explosion. We will also pay for direct physical loss or direct physical damage to Covered Property caused by or resulting from the explosion of gases or fuel



within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

e. Other Types of Loss

- (1) Wear and tear;
- (2) Rust, corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself;
- (3) Smog;
- (4) Settling, cracking, shrinking or expansion;
- (5) Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents, mold, spore or other animals;
- (6) Mechanical breakdown, including rupture or bursting caused by centrifugal force.
This exclusion does not apply with respect to the breakdown of "computer(s)";
- (7) The following causes of loss to personal property:
 - (a) Dampness or dryness of atmosphere;
 - (b) Changes in or extremes of temperature; or
 - (c) Marring or scratching.

But if direct physical loss or direct physical damage to Covered Property by a "specified cause of loss" or building glass breakage results, we will pay for that resulting direct physical loss or direct physical damage.

f. Frozen Plumbing

Water, other liquids, powder or molten material that leaks or flows from plumbing, heating, air conditioning or other equipment (except fire protective systems) caused by or resulting from freezing, unless:

- (1) You use all reasonable means to maintain heat in the building or structure; or
- (2) You drain the equipment and shut off the supply if the heat is not maintained.

g. Dishonesty

Dishonest or criminal act (including theft) by you, anyone else with an interest in the property, any of your or their partners, "members", officers, "managers", "employees", directors, trustees, authorized representatives or anyone to whom you entrust the property for any purpose whether acting alone or in collusion with any other party.

This exclusion:

- (1) Applies whether or not an act occurs during your normal hours of "operation";
- (2) Does not apply to acts of destruction by your "employees" or authorized representatives; but theft by your "employees" or authorized representatives is not covered.

With respect to accounts receivable and "valuable papers and records", this exclusion does not apply to carriers for hire.

h. False Pretense

Voluntary parting with any property by you or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.

i. Exposed Property

Rain, snow, ice or sleet to personal property in the open.

j. Collapse

- (1) Collapse, including any of the following conditions of property or any part of the property:
 - (a) An abrupt falling down or caving in;
 - (b) Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or
 - (c) Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to Paragraph (1)(a) or (1)(b) above.



But if collapse results in direct physical loss or direct physical damage to Covered Property caused by a Covered Cause of Loss at the "scheduled premises", we will pay for the direct physical loss or direct physical damage caused by that Covered Cause of Loss.

(2) This exclusion does not apply to collapse caused by one or more of the following:

- (a) A "specified cause of loss";
- (b) Breakage of building glass;
- (c) Weight of rain that collects on a roof; or
- (d) Weight of people or personal property.

k. Pathogenic or Poisonous Biological or Chemical Materials

The deliberate or intentional dispersal or application of any pathogenic or poisonous biological or chemical materials.

But if direct physical loss or direct physical damage to Covered Property by fire results, we will pay for the resulting direct physical loss or direct physical damage caused by that fire.

l. Pollution

We will not pay for loss or damage caused by or resulting from the discharge, dispersal, seepage, migration, release or escape of "pollutants and contaminants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any "specified cause of loss." But if the discharge, dispersal, seepage, migration, release or escape of "pollutants and contaminants" results in damage to Covered Property caused by a "specified cause of loss", we will pay for the physical loss or physical damage caused by that "specified cause of loss."

m. Neglect

Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.

n. Errors, Omissions, or Deficiency in Design

Errors, omissions, or deficiency in design in:

- (1) Programming, processing or storing data, as described under "electronic data" or in any "computer" operations; or
- (2) Processing or copying "valuable papers and records".

However, we will pay for direct physical loss or direct physical damage to Covered Property caused by resulting fire, explosion or sprinkler leakage.

o. Electrical Disturbance

Electrical or magnetic injury, disturbance or erasure of "electronic data".

However, we will pay for direct physical loss or direct physical damage to Covered Property caused by lightning.

p. Installation, Testing, Repair

Errors, omissions, or deficiency in design, installation, testing, maintenance, modification or repair of your "computer" system including "electronic data".

However, we will pay for direct physical loss or direct physical damage to Covered Property caused by resulting fire, explosion, or sprinkler leakage.

q. Continuous Or Repeated Seepage Or Leakage Of Water

Continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.

- 3. We will not pay for loss or damage caused by or resulting from any of the following. But if direct physical loss or direct physical damage to Covered Property by a Covered Cause of Loss results, we will pay for that resulting direct physical loss or direct physical damage.

a. Weather Conditions

Weather conditions. This exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Paragraph **B.1.** above to produce the physical loss or physical damage.

b. Acts or Decisions

Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.

c. Negligent Work

Faulty, inadequate or defective:

- (1) Planning, zoning, development, surveying, siting;
- (2) Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;
- (3) Materials used in repair, construction, renovation or remodeling; or
- (4) Maintenance

of part or all of any property on or off the "scheduled premises".

4. Loss Or Damage To Products

We will not pay for loss or damage to any merchandise, goods or other product caused by or resulting from error or omission by any person or entity (including those having possession under an arrangement where work or a portion of the work is outsourced) in any stage of the development, production or use of the product, including planning, testing, processing, packaging, installation, maintenance or repair. This exclusion applies to any effect that compromises the form, substance or quality of the product. But if such error or omission results in direct physical loss or direct physical damage to Covered Property by a Covered Cause of Loss, we will pay for the direct physical loss or direct physical damage caused by that Covered Cause of Loss.

5. Testing of Certain Types of Property

We will not pay for loss or damage caused by or resulting from any of the following tests:

- (a) A hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel; or
- (b) An insulation breakdown test of any type of electrical equipment.

But if direct physical loss or direct physical damage to Covered Property by a "specified cause of loss" results, we will pay for the resulting direct physical loss or direct physical damage caused by that "specified cause of loss."

C. LIMITS OF INSURANCE

- 1. The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance shown in the Declarations.

2. Building Limit - Automatic Increase

- a. If covered loss or damage to Building property at a "scheduled premises" exceeds the Limit of Insurance stated in the Declarations, the Limit of Insurance available for the covered loss or damage to Building property in that occurrence will automatically increase by up to 8%.

- b. The amount of increase will be:

- (1) The Limit of Insurance for Buildings that applied on the most recent of the:

- (a) Coverage Part inception date
- (b) Coverage Part anniversary date; or
- (c) The date of any other Coverage Part change amending the Building Limit,

multiplied by

- (2) The 8% annualized percentage of Automatic Increase, expressed as a decimal (.08), multiplied by
- (3) The number of days since the beginning of the current policy period or the effective date of the most recent Coverage Part change amending the Limit of Insurance for Buildings, divided by 365.



Example:

The applicable Limit of Insurance for Buildings is \$100,000. The Automatic Increase percentage is 8%. The number of days since the beginning of the policy period (or last Coverage Part change) is 146.

The amount of the increase is:

$(\$100,000 \times .08 \times 146) \text{ divided by } 365 = \$3,200$

3. Business Personal Property Limit - Seasonal Increase

- a. If covered loss or damage to Business Personal Property exceeds the Limit of Insurance stated in the Declarations, the Limit of Insurance for Business Personal Property will automatically increase by the percentage shown in the Declarations to provide for seasonal variations.
- b. This increase will apply only if all Limits of Insurance shown in the Declarations for Business Personal Property at the "scheduled premises" is at least 100% of your average monthly values during the lesser of:
 - (1) The 12 months immediately preceding the date the physical loss or physical damage occurs; or
 - (2) The period of time you have been in business as of the date the physical loss or physical damage occurs.

D. DEDUCTIBLES

1. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Coverage Part Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Coverage Part Deductible up to the applicable Limit of Insurance.
2. Unless a separate Deductible is indicated, the Deductible applicable to the Additional Coverages and Coverage Extensions is the Coverage Part Deductible.
3. Each Deductible applicable to this Coverage Part shall be applied separately but only to the coverage specified, and the total Deductible for all losses in any one occurrence shall be the highest Deductible amount that applies to the occurrence.

E. PROPERTY LOSS CONDITIONS

1. Abandonment

There can be no abandonment of any property to us.

2. Appraisal

If we and you disagree on the amount of loss, either may make written demand for an appraisal of the loss. In that event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If the appraisers cannot agree on an umpire, we or you, after providing notice to the other party, may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of loss.

If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

3. Duties In The Event Of Loss Or Damage

- a. You must see that the following are done in the event of loss of or damage to Covered Property:
 - (1) Notify the police if a law may have been broken.
 - (2) Give us prompt notice of the loss or damage. Include a description of the property involved.
 - (3) As soon as possible, give us description of how, when and where the loss or damage occurred.
 - (4) Take all reasonable steps to protect the Covered Property from further damage. If feasible, set the damaged property aside in the best possible order for examination. Also, keep a record of your expenses for emergency and temporary repairs, for consideration in the settlement of the claim.

This will not increase the Limits of Insurance.



However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss.

- (5) At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.
- (6) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

- (7) Send us a signed, sworn statement of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
- (8) Cooperate with us in the investigation or settlement of the claim.
- (9) Resume part or all of your "operations" as quickly as possible.

- b. We may examine any insured under oath, while not in the presence of any other insured or "employee", at such times as may be reasonably required about any matter relating to this insurance or your claim, including an insured's books and records. At our option and expense, any examination under oath may be video or audio taped as well as being recorded by stenographic record. If a written transcript is prepared of the testimony, then at our request, your answers under oath must be signed under penalty of perjury.

4. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

- a. There has been full compliance with all of the terms of this insurance; and
- b. The action is brought within 2 years after the date on which the direct physical loss or direct physical damage occurred.

5. Loss Payment

In the event of loss or damage covered by this Coverage Part:

- a. At our option we will either:
 - (1) Pay the value of lost or damaged property;
 - (2) Pay the cost of repairing or replacing the lost or damaged property;
 - (3) Take all or any part of the property at an agreed or appraised value; or
 - (4) Repair, rebuild or replace the property with other property of like kind and quality.
- b. We will give notice of our intentions within 30 days after we receive the sworn statement of loss.
- c. We will not pay you more than your financial interest in the Covered Property.
- d. We will determine the value of Covered Property as follows:
 - (1) At replacement cost (without deduction for depreciation), except as provided in (2) through (10) below.
 - (a) You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim on a replacement cost basis if you notify us of your intent to do so within 180 days after the physical loss or physical damage.
 - (b) We will not pay on a replacement cost basis for any loss or damage:
 - (i) Until the lost or damaged property is actually repaired or replaced; and
 - (ii) Unless the repairs or replacement are made as soon as reasonably possible after the loss or physical damage.

However, if the cost to repair or replace the damaged property is \$2,500 or less, we will settle the loss according to the provisions of Paragraph d.(1)(a) above whether or not the actual repair or replacement is complete.

- (c) We will not pay more for loss or damage on a replacement cost basis than the least of:

- (i) The cost to replace, on the same premises, the lost or damaged property with other property of comparable material and quality and which is used for the same purpose; or
 - (ii) The amount you actually spend that is necessary to repair or replace the lost or damaged property.
- (2) If the **Actual Cash Value - Buildings** option applies, as shown in the Declarations, Paragraph (1) above does not apply to Buildings. Instead, we will determine the value of Buildings at actual cash value.
- (3) The following property at actual cash value:
 - (a) Manuscripts;
 - (b) Works of art, antiques or rare articles, including etchings, pictures, statuary, objects of marble, bronzes, porcelains and bric-a-brac;
 - (c) Household contents, except personal property in apartments or rooms furnished by you as landlord;
 - (d) Used or secondhand merchandise held in storage or for sale; and
 - (e) Property of others. However, if an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lesser of the replacement cost of the property or the applicable Limit of Insurance.
- (4) Glass at the cost of replacement with safety glazing material if required by law.
- (5) "Tenant improvements and betterments" at:
 - (a) Replacement cost if you make repairs promptly.
 - (b) A proportion of your original cost if you do not make repairs promptly. We will determine the proportionate value as follows:
 - (i) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (ii) Divide the amount determined in (i) above by the number of days from the installation of improvements to the expiration of the lease.

Example:

The original cost of the "tenant improvements and betterments" was \$100,000. The number of days between the date the damage occurred and the expiration of the lease is 200. The number of days between the installation of the "tenant improvements and betterments" and the expiration of the lease is 500.

The proportionate value is:

$(\$100,000 \times 200) \text{ divided by } 500 = \$40,000$

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.
 - (c) Nothing, if others pay for repairs or replacement.
- (6) "Valuable papers and records", at your incurred cost of:
 - (a) Blank materials for reproducing the records (including blank prepackaged programs when replaced); and
 - (b) Labor to transcribe or copy the records and to research, replace or restore the lost information, including research and development documentation.

To the extent "valuable papers and records" are not replaced or restored, the loss will be valued at the cost of replacement of the media on which the "valuable papers and records" were stored, with blank media of substantially identical type.
- (7) "Money" and "securities":
 - (a) "Money" at its face value; and
 - (b) "Securities" at their value at the close of business on the day the loss is discovered.



(8) The value of United States Government Internal Revenue taxes and custom duties and refundable state and local taxes paid or fully determined on the following property held for sale will not be considered in determining the value of Covered Property:

- (a) Distilled spirits;
- (b) Wines;
- (c) Rectified products; or
- (d) Beer.

(9) "Stock" you have sold but not delivered at the selling price less discounts and expenses you otherwise would have had.

(10) Applicable to accounts receivable:

(a) If you cannot accurately establish the amount of the accounts receivable outstanding as of the time of physical loss or physical damage the following method will be used:

- (i) Determine the total of the average monthly value of accounts receivable for 12 months immediately preceding the month in which the direct physical loss or physical damage occurred; and
- (ii) Adjust the total determined in paragraph (i) above for any normal fluctuations in the value of accounts receivable for the month in which the direct physical loss or physical damage occurred for any demonstrated variance from the average of that month.

(b) The following will be deducted from the total value of accounts receivable, however that value is established:

- (i) The value of the accounts for which there is no physical loss or physical damage;
- (ii) The value of the accounts that you are able to re-establish or collect;
- (iii) A value to allow for probable bad debts that you are normally unable to collect; and
- (iv) All unearned interest and services charged.

e. Our payment for physical loss of or physical damage to personal property of others will only be for the account of the owners of the property. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payment will satisfy your claims against us for the owners' property.

We will not pay the owners more than their financial interest in the Covered Property.

f. We may elect to defend you against "suits" arising from claims of owners of property. We will do this at our expense.

g. We will pay for covered loss or damage within 30 days after we receive the sworn statement of loss, if you have complied with all the terms of this Policy, and:

- (1) We have reached agreement with you on the amount of loss, or
- (2) An appraisal award has been made.

h. A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable Policy provisions including Limits of Insurance and all other provisions of this Loss Payment Condition. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of Paragraph F.6., **Transfer Of Rights of Recovery Against Others To Us.**

6. Recovered Property

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, you may retain the property. But then you must return to us the amount we paid to you for the property.



We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limits of Insurance.

7. Salvage

In the event we pay to replace Covered Property or any component thereof, we retain our right to salvage such property.

8. Vacancy

a. Description of Terms

(1) As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in Paragraphs (a) and (b) below:

(a) When this Coverage Part is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough Business Personal Property to conduct customary operations.

(b) When this Coverage Part is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:

(i) Rented to a lessee or sub-lessee and used by the lessee or sub-lessee to conduct its customary operations; and/or

(ii) Used by the building owner to conduct customary operations.

(2) Buildings under construction or renovation are not considered vacant.

b. Vacancy Provisions

If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:

(1) We will not pay for any loss or damage caused by any of the following even if they are Covered Causes of Loss:

(a) Vandalism;

(b) Sprinkler leakage, unless you had protected the system against freezing;

(c) Building glass breakage;

(d) Water;

(e) Theft; or

(f) Attempted theft.

(2) With respect to Covered Causes of Loss other than those listed in **b.(1)(a)** through **b.(1)(f)** above, we will reduce the amount we would otherwise pay for the physical loss or physical damage by 15%.

F. PROPERTY GENERAL CONDITIONS

1. Control of Property

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Form at one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

2. Mortgageholders

a. The term mortgageholder includes trustee.

b. We will pay for covered loss of or damage to buildings or structures to each mortgageholder shown in the Declarations in their order of precedence, as interests may appear.

c. The mortgageholder has the right to receive loss payment even if the mortgageholder has started foreclosure or similar action on the building or structure.

d. If we deny your claim because of your acts or because you have failed to comply with the terms of this Policy, the mortgageholder will still have the right to receive loss payment if the mortgageholder:

(1) Pays any premium due under this Policy at our request if you have failed to do so;



(2) Submits a signed, sworn statement of loss within 60 days after receiving notice from us of your failure to do so; and

(3) Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgageholder.

All of the terms of this Policy will then apply directly to the mortgageholder.

e. If we pay the mortgageholder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Policy:

(1) The mortgageholder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

(2) The mortgageholder's rights to recover the full amount of the mortgageholder's claim will not be impaired.

At our option, we may pay to the mortgageholder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

f. If we cancel this Policy, we will give written notice to the mortgageholder at least:

(1) 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

(2) 30 days before the effective date of cancellation if we cancel for any other reason.

g. If we elect not to renew this Policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this Policy.

3. No Benefit to Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

4. Other Insurance

If there is other insurance covering the same loss or damage, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

5. Policy Period, Coverage Territory

a. We cover loss or damage commencing:

(1) During the policy period shown in the Declarations; and

(2) Within the coverage territory or, with respect to property in transit, while it is between points in the coverage territory.

b. The coverage territory is:

(1) The United States of America (including its territories and possessions);

(2) Puerto Rico; and

(3) Canada.

6. Transfer Of Rights of Recovery Against Others To Us

a. If any person or organization to or for whom we make payment under this Policy has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:

(1) Prior to a loss to your Covered Property; or

(2) After a loss to your Covered Property only if, at time of loss, that party is one of the following:

(a) Someone insured by this insurance;

(b) A business firm:

(i) Owned or controlled by you; or

(ii) That owns or controls you; or

(c) Your tenant.

You may also accept the usual bills of lading or shipping receipts limiting the liability of carriers.

This will not restrict your insurance.

- b. Any recovery from subrogation proceedings, less costs incurred by us in such proceedings, will be payable to you in the proportion that the amount of:
 - (1) Any applicable deductible; and/or
 - (2) Any provable uninsured loss,
 bears to the entire provable loss amount.

G. PROPERTY DEFINITIONS

1. "Communication supply services" means property, including overhead transmission lines, supplying communication services, including telephone, radio, microwave or television services, to the "scheduled premises", such as:
 - a. Communication transmission lines, including optic fiber transmission lines;
 - b. Coaxial cables; and
 - c. Microwave radio relays except satellites.

2. "Computer" means:

- a. Programmable electronic equipment that is used to store, retrieve and process data; and
- b. Associated peripheral equipment that provides communication, including input and output functions such as printing and auxiliary functions such as data transmission.

"Computer" includes those used to operate production-type machinery or equipment.

3. "Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a "computer" or device connected to it, which enable the "computer" or device to receive, process, store, retrieve or send data.

"Electronic data" it is not considered physical property under this Coverage Part and is covered only as expressly provided for in this Coverage Part. Any such coverage does not indicate that "electronic data" is considered to be tangible property subject to physical loss or physical damage for purposes of any business interruption coverage or other coverage that requires physical loss or physical damage.

4. "Employee"

- a. Means:

- (1) Any natural person:
 - (a) While in your service (and for 60 days after termination of service); and
 - (b) Whom you compensate directly by salary, wages or commissions; and
 - (c) Whom you have the right to direct and control while performing services for you;
- (2) Any natural person employed by an employment contractor while that person is subject to your direction and control and performing services for you excluding, however, any such person while having care and custody of property outside the premises;
- (3) Any natural person who is your partner or member of a limited liability corporation;
- (4) Any natural person, whether or not compensated, while performing services for you as the chairman or a member of any committee;
- (5) Any natural person who is a non-compensated officer;
- (6) Any natural person who is a director or trustee while acting as a member of any of your elected or appointed committees or while acting within the scope of the usual duties of an "employee";
- (7) Any natural person who is a non-compensated volunteer, while performing services for you that are usual to the duties of an "employee";



- (8) Any natural person who is a former employee, director, partner, member, representative or trustee retained as a consultant while performing services for you;
 - (9) Any natural person who is a student intern who is pursuing studies or acting within the scope of the usual duties of an "employee";
 - (10) Any natural person, who is a student enrolled in your facility, while handling or has possession of property or funds in connection with sanctioned student activities; and
 - (11) The spouses of and children over 18 years old who reside with any "employee" who is a building manager, superintendent or janitor. Each family is deemed to be, collectively, one "employee" for the purposes of this insurance, except that any Termination Condition applies individually to the spouse and children.
- b. "Employee" does not mean:
- (1) An agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character; or
 - (2) Any manager, director, partner, member or trustee, except while acting within the scope of the usual duties of an "employee".
5. "Fungi" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
6. "Manager" means a person serving in a directorial capacity for a limited liability company.
7. "Member" means an owner of a limited liability company represented by its membership interest, who also may serve as a "manager".
8. "Money" means:
- a. Currency, coins and bank notes in current use; and
 - b. Travelers checks, registered checks and money orders held for sale to the public.
9. "Operations" means your business activities occurring at the "scheduled premises" and tenantability of the "scheduled premises".
10. "Period of restoration"
- a. Means the period of time that:
 - (1) Begins:
 - (a) The number of hours shown in the Declarations after the time of direct physical loss or direct physical damage for Business Income coverage; or
 - (b) Immediately after the time of direct physical loss or direct physical damage for Extra Expense coverage;caused by or resulting from any Covered Cause of Loss at the "scheduled premises"; and
 - (2) Ends on the earlier of:
 - (a) The date when the property at the "scheduled premises" should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - (b) The date when your business is resumed at a new, permanent location; or
 - (c) Exhaustion of the number of consecutive months as shown on the Declarations.
 - b. Does not include any increased period required due to enforcement of or compliance with any ordinance or law that:
 - (1) Regulates the construction, use or repair, or requires the tearing down of any property; or
 - (2) Requires any insured or others to test for, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to "pollutants and contaminants".

The expiration date of this Coverage Part will not cut short the "period of restoration".

11. "Pollutants and contaminants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapors, soot, fumes, acids, alkalis, chemicals and waste, or any other material which causes or threatens to cause physical loss, physical damage, impurity to property, unwholesomeness, undesirability, loss of

marketability, loss of use of property, or which threatens human health or welfare. Waste includes materials to be recycled, reconditioned or reclaimed.

12. "Power supply services" means the following types of property supplying electricity, steam or gas, including overhead transmission lines to the "scheduled premises":
- a. Utility generating plants;
 - b. Switching stations;
 - c. Substations;
 - d. Transformers; and
 - e. Transmission Lines.

13. "Scheduled premises" means any premises listed by location address in the Coverage Part Declarations.

14. "Securities" means negotiable and nonnegotiable instruments or contracts representing either "money" or other property and includes:

- a. Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in meter) in current use; and
- b. Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you; but does not include "money."

Lottery tickets held for sale and postage stamps in current use and having face value are not "securities".

15. "Specified cause of loss" means the following:

Fire; lightning; explosion, windstorm or hail; smoke; aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire extinguishing equipment; sinkhole collapse; volcanic action; falling objects; weight of snow, ice or sleet; water damage.

- a. Sinkhole collapse means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:

- (1) The cost of filling sinkholes; or
- (2) Sinking or collapse of land into man-made underground cavities.

- b. Falling objects does not include loss of or damage to:

- (1) Personal property in the open; or
- (2) The interior of a building or structure, or property inside a building or structure, unless the roof or an outside wall of the building or structure is first damaged by a falling object.

- c. Water damage means

- (1) Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of any part of a system or appliance (other than a sump system including its related equipment and parts) containing water or steam; and
- (2) Accidental discharge or leakage of water or waterborne material as the direct result of the breaking apart or cracking of a water or sewer pipe that is located off the "scheduled premises" and is part of a municipal potable water supply system or municipal sanitary sewer system, if the breakage or cracking is caused by wear and tear.

But water damage does not include loss or damage otherwise excluded under Exclusion **B.1.f., Water**. Therefore, for example, there is no coverage in the situation in which discharge or leakage of water results from the breaking apart or cracking of a pipe which was caused by or related to weather-induced flooding, even if wear and tear contributed to the breakage or cracking. As another example, and also in accordance Exclusion **B.1.f., Water**, there is no coverage for loss or damage caused by or related to weather-induced flooding which follows or is exacerbated by pipe breakage or cracking attributable to wear and tear.

However, to the extent that accidental discharge or leakage of water falls within the criteria set forth in Paragraphs **c.(1)** or **c.(2)** of this definition of "specified causes of loss", such water is not subject to the provisions of Exclusion **B.1.f., Water** which preclude coverage for surface water or water under the ground surface.

- 16.** "Stock" means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.
- 17.** "Suit" means a civil proceeding and includes:
- a.** An arbitration proceeding in which damages are claimed and to which you must submit or do submit with our consent; or
 - b.** Any other alternative dispute resolution proceeding in which damages are claimed and to which you submit with our consent.
- 18.** "Tenant improvements and betterments" means fixtures, alterations, installations or additions:
- a.** Made a part of the building or structure you occupy but do not own; and
 - b.** You acquired or made at your expense but cannot legally remove.
- 19.** "Unmanned aircraft" means an aircraft that is not:
- a.** Designed;
 - b.** Manufactured; or
 - c.** Modified after manufacture
- to be controlled directly by a person from within or on the aircraft and which is owned by you or owned by others but in your care, custody, or control.
- "Unmanned aircraft" includes equipment designed for and used exclusively with the "unmanned aircraft", provided such equipment is essential for operation of the "unmanned aircraft" or for executing "unmanned aircraft operations".
- 20.** "Unmanned aircraft operations" means your business activities in support of the specific operations listed in the Description of Business section of the Declarations.
- 21.** "Valuable papers and records" means inscribed, printed or written:
- a.** Documents;
 - b.** Manuscripts; or
 - c.** Records
- including abstracts, books, deeds, drawings, films, maps or mortgages.
- But "valuable papers and records" does not mean "money", "securities" or "electronic data" or the materials on which the "electronic data" is recorded.
- 22.** "Wastewater removal services" means a utility system for removing wastewater and sewage from the "scheduled premises", other than a system designed primarily for draining storm water. The utility property includes sewer mains, pumping stations and similar equipment for moving the effluent to a holding, treatment or disposal facility, and includes such facilities.
- 23.** "Water supply services" means the following types of property supplying water to the "scheduled premises":
- a.** Pumping stations; and
 - b.** Water mains.



NEW YORK CHANGES – SPECIAL PROPERTY COVERAGE FORM

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following changes are made to Section B., EXCLUSIONS:

1. Exclusion **B.1.g., “Fungi”, Wet Rot or Dry Rot**, does not apply.
2. Paragraph **(2)** of exclusion **B.1.h., Virus or Bacteria**, does not apply.
3. Exclusion **B.2.e.(2)** is deleted and replaced by the following:
(2) Rust, corrosion, fungus, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself.

B. The following changes are made to Section E., PROPERTY LOSS CONDITIONS:

1. The following is added:

Estimation Of Claims

Upon request, we will furnish you or your representative with a written estimate of damages to real property, specifying all deductions, provided such an estimate has been prepared on our behalf for our own purposes. This estimate will be provided within 30 days after your request or its preparation, whichever is later.

2. Paragraph **2., Appraisal** is deleted and replaced with the following:

Appraisal

- a. If we and you disagree on the value of the property, the extent of the loss or damage or the amount of the loss or damage, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- b. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.
- c. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property, the extent of the loss or damage and the amount of the loss or damage. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.
- d. Each party will:
 - (1) Pay its chosen appraiser; and
 - (2) Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will retain our right to deny the claim.

3. The following is added to Paragraph **3., Duties in The Event of Loss or Damage:**

Notice Of Claim

- (1) Notice given by or on your behalf; or
- (2) Written notice by or on behalf of any claimant;
to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

4. The following is added to Paragraph **5., Loss Payment:**

Condition Applicable to New York Policies



If this Coverage Part covers the interest of the owner of any of buildings or structures that are residential (except owner-occupied single-family or owner-occupied two family buildings or structures), commercial, or industrial, the following provision is added:

Before payment to you for loss or damage to the above buildings or structures caused by or resulting from fire, we will:

- (1) Deduct from your payment the claim of any tax district that issues a certificate of lien in accordance with the Insurance Law; and
- (2) Pay directly to the tax district the amount of their claim.

When we pay that claim, we will have no obligation to pay the amount of that claim to you. Our payment will be within 30 days of our receipt of the certificate of lien and will be a conclusive presumption that the claim was valid and properly paid.

C. Paragraph 2., Mortgageholders, of Section F., PROPERTY GENERAL CONDITIONS, is modified as follows:

1. Paragraph f. is deleted and replaced with the following:

f. Cancellation

(1) If we cancel this Policy, we will give written notice to the mortgage holder at least:

- (a) 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
- (b) 30 days before the effective date of cancellation if we cancel for any other reason.

(2) If you cancel this Policy, we will give written notice to the mortgage holder. With respect to the mortgage holder's interest only, cancellation will become effective on the later of:

- (a) The effective date of cancellation of the insured's coverage; or
- (b) 10 days after we give notice to the mortgage holder.

2. Paragraph g. is deleted and replaced with the following:

g. Nonrenewal

(1) If we elect not to renew this Policy, we will give written notice to the mortgage holder at least 10 days before the expiration date of this Policy.

(2) If you elect not to renew this Policy, we will give written notice to the mortgage holder. With respect to the mortgage holder's interest only, nonrenewal will become effective on the later of:

- (a) The expiration date of the Policy; or
- (b) 10 days after we give notice to the mortgage holder.



ORDINANCE OR LAW COVERAGE – NEW YORK

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extension**, of the Special Property Coverage Form:

Ordinance or Law

(1) Application of Coverage

The coverage(s) provided by this Coverage Extension applies only if both **(1)(a)** and **(1)(b)** are satisfied and are then subject to the qualifications set forth in **(1)(c)**.

(a) The ordinance or law:

- (i)** Regulates the demolition, construction, or repair of Buildings or “tenant improvements and betterments”, or establishes zoning or land use requirements at the “scheduled premises”; and
- (ii)** Is in force at the time of loss.

But coverage under this Coverage Extension applies only in response to the minimum requirements of the ordinance or law. Losses and costs incurred in complying with recommended actions or standards that exceed actual requirements are not covered under this endorsement.

(b) The Building or “tenant improvements and betterments” sustain direct physical damage:

- (i)** That is covered under this Policy and as a result of such damage, you are required to comply with the ordinance or law; or
- (ii)** That is both covered under this Policy and direct physical damage that is not covered under this Policy, and as a result of the Building or “tenant improvements and betterments” damage in its entirety, you are required to comply with the ordinance or law.
- (iii)** But if the damage is not covered under this Policy, and such damage is the subject of the ordinance or law, then there is no coverage under this Coverage Extension even if the Building or “tenant improvements and betterments” have also sustained covered direct physical damage.

(c) In the situation described in (1)(b)(ii) above, we will not pay the full amount of loss otherwise payable under the coverages described in (2) below. Instead, we will pay a proportion of such loss, meaning the proportion that the covered direct physical damage bears to the total direct physical damage.

(Paragraph **(6)** of this Coverage Extension provides an example of this procedure)

However, if the covered direct physical damage alone would have resulted in a requirement to comply with the ordinance or law, then we will pay the full amount of loss otherwise payable under the terms of the coverages described in **(2)** below.

(2) Coverage

(a) Undamaged Part

With respect to the Building or “tenant improvements and betterments” that have sustained direct physical damage, we will pay for the loss in value of the undamaged portion of the Building or “tenant improvements and betterments” as a consequence of a requirement to comply with an ordinance or law that requires demolition of undamaged parts of the same Building or “tenant improvements and betterments”.



(b) Demolition Cost and Increased Cost of Construction

(i) Demolition Cost

With respect to the Building or “tenant improvements and betterments” that have sustained covered direct physical damage, we will pay the cost to demolish and clear the site of undamaged parts of the same Building or “tenant improvements and betterments”, as a consequence of a requirement to comply with an ordinance or law that requires demolition of such undamaged property.

(ii) Increased Cost of Construction

With respect to the Building or “tenant improvements and betterments” that have sustained covered direct physical damage, we will pay the increased cost to:

(aa) Repair or reconstruct damaged portions of that Building or “tenant improvements and betterments”; and/or

(bb) Reconstruct or remodel undamaged portions of that Building or “tenant improvements and betterments”, whether or not demolition is required;

when the increased cost is a consequence of a requirement to comply with the minimum standards of the ordinance or law.

However this coverage applies only if the restored or remodeled property is intended for similar occupancy as the current property, unless such occupancy is not permitted by zoning or land use ordinance or law. Additionally, we will not pay for the increased cost of construction if the Building or “tenant improvements and betterments” are not repaired, reconstructed, or remodeled.

Paragraph **E.5.d** within the **Loss Payment** condition does not apply to Demolition Cost and Increased Cost of Construction coverages.

(3) Loss Payment

(a) All following loss payment provisions **(3)(b)** and **(3)(c)** are subject to the apportionment procedure set forth in Paragraph **(1)(c)** of this Coverage Extension.

(b) When there is a loss in value of an undamaged portion of a Building or “tenant improvements and betterments” to which Undamaged Part coverage applies, the loss payment for that Building or “tenant improvements and betterments”, including damaged and undamaged portions, will be as follows:

(i) If the property is repaired or replaced on the same or another premises, we will not pay more than the lesser of:

(aa) The amount you actually spend to repair, rebuild, or reconstruct the Building or “tenant improvements and betterments” but not more than the amount it would cost to restore the Building or “tenant improvements and betterments” at the same premises and to the same height, floor area, style, and comparable quality of the original property insured; or

(bb) The Limit of Insurance shown in the Declarations for Ordinance or Law - Undamaged Part.

(ii) If the property is not repaired or replaced, we will not pay more than the lesser of:

(aa) The actual cash value of the Building or “tenant improvements and betterments” at the time of loss; or

(bb) The Limit of Insurance shown in the Declarations for Ordinance or Law - Undamaged Part.

(c) The most we will pay for the total of all covered losses for Demolition Cost and Increased Cost of Construction coverage is the Limit of Insurance shown in the Declarations for Ordinance or Law – Demolition Cost and Increased Cost of Construction. Subject to this combined Limit of Insurance, the following loss payment provisions apply:

(i) For Demolition Cost coverage, we will not pay more than the amount you actually spend to demolish and clear the site of the “scheduled premises”.



- (ii) With respect to the Increased Cost of Construction:
 - (aa) We will not pay for the increased cost of construction until the property is actually repaired or replaced at the same or another premises; and
 - (bb) Unless the repairs or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.
- (iii) If the Building or “tenant improvements and betterments” are repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the Increased Cost of Construction Coverage is the lesser of:
 - (aa) The increased cost of construction at the same premises; or
 - (bb) The Limit of Insurance shown in the Declarations for Ordinance or Law – Demolition Cost and Increased Cost of Construction.
- (iv) If the ordinance or law requires relocation to another premises, the most we will pay for the increased cost of construction is the lesser of:
 - (aa) The increased cost of construction at the new premises; or
 - (bb) The Limit of Insurance shown in the Declarations for Ordinance or Law – Demolition Cost and Increased Cost of Construction.
- (4) Paragraph 1.i., **Ordinance or Law**, of Section B., **EXCLUSIONS**, does not apply to this Coverage Extension.
- (5) **Additional Exclusions**

We will not pay under this Coverage Extension for:

 - (a) The enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by “pollutants and contaminants”;
 - (b) The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of “pollutants or contaminants”; or
 - (c) Loss due to any ordinance or law that:
 - (i) You were required to comply with before the loss even if the Building or “tenant improvements and betterments” were undamaged; and
 - (ii) You failed to comply with.
- (6) Example of Proportionate Loss Payment for Ordinance or Law Coverage Losses (procedure as set forth in Paragraph (1)(c) of this Coverage Extension).

Assume:

 - Wind is a Covered Cause of Loss. Flood is an excluded Cause of Loss;
 - The building has a value of \$200,000;
 - Total direct physical damage to building: \$100,000;
 - The ordinance or law in this jurisdiction is enforced when building damage equals or exceeds 50% of the building's value;
 - Portion of direct physical damage that is covered (caused by wind): \$30,000;
 - Portion of direct physical damage that is not covered (caused by flood): \$70,000; and
 - Loss under Increased Cost of Construction of this Coverage Extension: \$60,000.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



Step 1: Determine the proportion that the covered direct physical damage bears to the total direct physical damage.

$\$30,000 \text{ divided by } \$100,000 = .30$

Step 2: Apply that proportion to the Ordinance or Law loss.

$\$60,000 \times .30 = \$18,000$

In this example, the most we will pay under this endorsement for the Increased Cost of Construction coverage is \$18,000, subject to the applicable Limit of Insurance and any other applicable provisions.

NOTE: The same procedure applies to losses under Undamaged Part and Demolition Cost coverage of this endorsement.



PERILS SPECIFICALLY EXCEPTED

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

As used herein, peril means a cause of physical loss or damage to property. It has this meaning whether or not it is called a peril or a cause of loss in this Coverage Part.

A. The following is added to Section B., EXCLUSIONS:

Perils Specifically Excepted

Even if any of the terms of this Coverage Part might be construed otherwise, the following perils, as described in Paragraphs **a. and b.** below, are **SPECIFICALLY EXCEPTED FROM THIS COVERAGE PART.**

WE DO NOT COVER OR INSURE AGAINST LOSS OR DAMAGE DIRECTLY OR INDIRECTLY CAUSED BY, RESULTING FROM, CONTRIBUTED TO OR AGGRAVATED BY, OR WHICH WOULD NOT HAVE OCCURRED BUT FOR, EITHER OF THESE PERILS:

a. ACTS, ERRORS OR OMISSIONS

(1) Acts, errors or omissions by you or others in:

- (a)** Planning, zoning, developing, surveying, testing or siting property;
- (b)** Establishing or enforcing any building code, or any standard, ordinance or law about the construction, use or repair of any property or materials, or requiring the tearing down of any property, including the removal of its debris;
- (c)** The design, specifications, workmanship, repair, construction, renovation, remodeling, grading or compaction of all or any part of the following:
 - (i)** Land or buildings or other structures;
 - (ii)** Roads, water or gas mains, sewers, drainage ditches, levees, dams, or other facilities; or
 - (iii)** Other improvements or changes in or additions to land or other property.
- (d)** The furnishing of work, materials, parts or equipment in connection with the design, specifications, workmanship, repair, construction, renovation, remodeling, grading or compaction of any of the above property or facilities; or
- (e)** The maintenance of any of such property or facilities.

(2) This exception applies whether or not the property or facilities described above are covered:

- (a)** Under this Coverage Part; or
- (b)** On or away from the "scheduled premises".

This exception does not reduce the insurance for loss or damage caused directly by a "covered peril".

b. COLLAPSE, "CRACKING" OR "SHIFTING"

- (1) Collapse, "cracking" or "shifting" of buildings, other structures or facilities, or their parts, if the collapse, "cracking" or "shifting":**
 - (a)** Occurs during "earth movement," "volcanic eruption" or "flood" conditions or within 72 hours after they cease; and
 - (b)** Would not have occurred but for "earth movement," "volcanic eruption" or "flood."
- (2) If loss or damage by a "covered peril" ensues at the "scheduled premises", we will pay for that ensuing loss or damage.**



- (3) This exception applies whether or not there are other provisions in this Coverage Part relating to collapse, "cracking" or "shifting" of buildings, other structures or facilities, or their parts. Any such provision is revised by this endorsement to include this exception.
- (4) If this Coverage Part specifically covers (by endorsement or in any other way) loss or damage caused by one or more of the following perils:
 - (a) "Earthquake";
 - (b) "Flood";
 - (c) Volcanic action;
 - (d) "Volcanic eruption"; or
 - (e) Sinkhole collapse,this exception will not reduce that coverage.

B. Solely for the purposes of this endorsement, the following changes are made to Section G., PROPERTY DEFINITIONS:

- 1. The following definition is added:
"Cracking" means cracking, separating, shrinking, bulging, or expanding.
- 2. The following definition is added:
"Shifting" means shifting, rising, settling, sinking, or lateral or other movement.
- 3. The following definition is added:
"Earth movement" means any earth movement, including but not limited to "earthquake," landslide, mudflow, erosion, contraction or expansion, subsidence, any movement of earth resulting from water combining with the ground or soil, and any other "shifting" of earth; all whether or not combined with "flood" or "volcanic eruption." It does not include sinkhole collapse if loss by sinkhole collapse is specifically covered in this Coverage Part.
- 4. The following definition is added:
"Earthquake" means a shaking or trembling of the earth's crust, caused by underground volcanic or tectonic forces or by breaking or "shifting" of rock beneath the surface of the ground from natural causes. An "earthquake" includes all related shocks and aftershocks.
- 5. The following definition is added:
"Volcanic eruption" means the eruption, explosion or effusion of a volcano. It does not include volcanic action if loss by volcanic action is specifically covered in this Coverage Part.
- 6. The following definition is added:
"Flood" means:
 - a. Flood, surface water, waves (including tidal waves and tsunami), tides, tidal water, high water, and overflow of streams or any other natural or man-made bodies of water, or spray from any of these, all whether driven by wind or not (including storm surge);
 - b. Release of water held by a dam, levy or dike or by a water or flood control device;
 - c. Water that backs up from a sewer or drain; or
 - d. Water under the ground surface pressing on, or flowing, leaking or seeping through:
 - (1) Foundations, walls, floors or paved surfaces;
 - (2) Basements, whether paved or not; or
 - (3) Doors, windows or other openings.
- 7. The following definition is added:
"Covered peril" means
 - a. When this Coverage Part grants coverage based on the risk of loss from a "specified cause of loss", "covered peril" means any peril specifically named as a "specified cause of loss"; or

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



- b.** When this Coverage Part grants coverage based on the risk of loss without specifying a "specified cause of loss", "covered peril" means any peril not described above and not otherwise excluded or excepted from a "specified cause of loss" covered by this Coverage Part.



COLLAPSE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Collapse

The coverage provided under this Additional Coverage applies only to an abrupt collapse as described and limited in Paragraphs **(1)** through **(6)** below.

- (1)** For the purpose of this Additional Coverage, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.
- (2)** We will pay for direct physical loss or direct physical damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this Coverage Part or that contains Covered Property insured under this Coverage Part, if such collapse is caused by one or more of the following:
 - (a)** Building decay that is hidden from view, unless the presence of such decay is known to an insured prior to collapse;
 - (b)** Insect or vermin damage that is hidden from view, unless the presence of such damage is known to an insured prior to collapse;
 - (c)** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation;
 - (d)** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:
 - (i)** A cause of loss listed in Paragraphs **(2)(a)** or **(2)(b)** above;
 - (ii)** One or more of the "specified causes of loss";
 - (iii)** Breakage of building glass;
 - (iv)** Weight of people or personal property; or
 - (v)** Weight of rain that collects on a roof.
- (3)** This Additional Coverage does not apply to:
 - (a)** A building or any part of a building that is in danger of falling down or caving in;
 - (b)** A part of a building that is standing, even if it has separated from another part of the building; or
 - (c)** A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.
- (4)** With respect to the following property:
 - (a)** Awnings;
 - (b)** Gutters and downspouts;
 - (c)** Yard fixtures;
 - (d)** Outdoor swimming pools;
 - (e)** Piers, wharves and docks;
 - (f)** Beach or diving platforms or appurtenances;
 - (g)** Retaining walls; and
 - (h)** Walks, roadways, and other paved surfaces;



if an abrupt collapse is caused by a cause of loss listed in Paragraphs **(2)(a)** through **(2)(d)** above, we will pay for loss or damage to that property only if such loss or damage is a direct result of the abrupt collapse of a building insured under this Coverage Part and the property is Covered Property under this Coverage Part.

- (5)** If personal property abruptly falls down or caves in and such collapse is not the result of an abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:

- (a)** The collapse of personal property was caused by a cause of loss listed in Paragraphs **(2)(a)** through **(2)(d)** of this Additional Coverage;
- (b)** The personal property which collapses is inside a building; and
- (c)** The property which collapses is not of a kind listed in Paragraph **(4)** above, regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph **(5)** does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

Collapse of personal property does not mean cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

- (6)** Paragraph **2.j., Collapse**, of Section **B., EXCLUSIONS**, does not apply to this Additional Coverage.
- (7)** This Additional Coverage does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.



DEBRIS REMOVAL

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Debris Removal

- (1) Subject to Paragraphs (2), (3) and (4) below, we will pay your expense to remove debris of Covered Property and other debris that is on the "scheduled premises" when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or direct physical damage.
- (2) Debris Removal does not apply to costs to:
 - (a) Remove debris of property of yours that is not insured under this Coverage Part, or property in your possession that is not Covered Property;
 - (b) Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this Coverage Part;
 - (c) Remove any property listed under Paragraph **A.2. Property Not Covered** except as otherwise provided for in this Coverage Part;
 - (d) Remove property of others of a type that would not be Covered Property under this Coverage Part;
 - (e) Remove deposits of mud or earth from the grounds of the "scheduled premises";
 - (f) Extract "pollutants and contaminants" from land or water; or
 - (g) Remove, restore or replace polluted land or water.
- (3) Subject to the exceptions in Paragraph (4) below, the following provisions apply:
 - (a) The most we will pay for the total of direct physical loss or direct physical damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.
 - (b) Subject to Paragraph (3)(a) above, the amount we will pay for debris removal expense is limited to 25% of the sum of the Deductible plus the amount that we pay for direct physical loss or direct physical damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or direct physical damage, the most we will pay for removal of other debris that is on the "scheduled premises" when such debris is caused by or results from a Covered Cause of Loss (if such removal is covered under this Additional Coverage) is \$5,000 at each location.
- (4) We will pay up to the Limit of Insurance listed under Debris Removal – Additional Limit in the Declarations for debris removal expense for each location, in any one occurrence of physical loss or physical damage to Covered Property, if one or both of the following circumstances apply:
 - (a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or direct physical damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.
 - (b) The actual debris removal expense exceeds 25% of the sum of the Deductible plus the amount that we pay for direct physical loss or direct physical damage to the Covered Property that has sustained loss or damage.

Therefore, if Paragraphs (4)(a) and/or (4)(b) apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered



Property that has sustained loss or damage, plus the amount listed in the Declarations under Debris Removal – Additional Limit.

(5) Examples

Example 1

Limit of Insurance	\$ 90,000
Amount of Deductible	\$ 500
Amount of Loss	\$ 50,000
Amount of Loss Payable	\$ 49,500
	(\$50,000 – \$500)
Debris Removal Expense	\$ 10,000
Debris Removal Expense Payable	\$ 10,000
	(\$10,000 is 20% of \$50,000)

The debris removal expense is less than 25% of the sum of the loss payable plus the Deductible. The sum of the loss payable and the debris removal expense (\$49,500 + \$10,000 = \$59,500) is less than the Limit of Insurance. Therefore, the full amount of debris removal expense is payable in accordance with the terms of Paragraph **(3)**.

Example 2

Limit of Insurance	\$ 90,000
Amount of Deductible	\$ 500
Amount of Loss	\$ 80,000
Amount of Loss Payable	\$ 79,500
	(\$80,000 – \$500)
Debris Removal Expense	\$ 40,000
Debris Removal Expense Payable	
Basic Amount	\$ 10,500
Additional Limit	\$ 25,000

The basic amount payable for debris removal expense under the terms of Paragraph **(3)** is calculated as follows: \$80,000 (\$79,500 + \$500) x .25 = \$20,000; capped at \$10,500. The cap applies because the sum of the loss payable (\$79,500) and the basic amount payable for debris removal expense (\$10,500) cannot exceed the Limit of Insurance (\$90,000).

The additional amount payable for debris removal expense is provided in accordance with the terms of Paragraph **(4)**, because the debris removal expense (\$40,000) exceeds 25% of the loss payable plus the Deductible (\$40,000 is 50% of \$80,000), and because the sum of the loss payable and debris removal expense (\$79,500 + \$40,000 = \$119,500) would exceed the Limit of Insurance (\$90,000). In this example, the Debris Removal – Additional Limit shown in the Declarations is \$25,000. Thus, the total payable for debris removal expense in this example is \$35,500; \$4,500 of the debris removal expense is not covered.



EQUIPMENT BREAKDOWN

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.5., **Additional Coverages**, of the Special Property Coverage Form:

Equipment Breakdown

- (1) We will pay for direct physical loss or direct physical damage to "equipment breakdown property" caused by or resulting from an "equipment breakdown accident". If an initial "equipment breakdown accident" causes other "equipment breakdown accidents", all will be considered one "equipment breakdown accident". All "equipment breakdown accidents" that are the result of the same event will be considered one "equipment breakdown accident".

(2) Coverage Extensions

The following Coverage Extensions apply only to direct physical loss or direct physical damage to "equipment breakdown property" caused by or resulting from an "equipment breakdown accident":

(a) Hazardous Substances

We will pay in any one occurrence for the additional cost, not to exceed the Limit of Insurance shown in the Declarations for Equipment Breakdown – Hazardous Substances, to repair or replace Covered Property because of contamination by a "hazardous substance". This includes the expenses to clean up or dispose of such property. This does not include contamination of "perishable goods" by a refrigerant, including but not limited to ammonia.

Additional cost means those beyond what would have been required had no "hazardous substance" been involved.

This limit is in addition to the Limits of Insurance for Covered Property.

(b) Expediting Expenses

With respect to your damaged Covered Property, we will pay in any one occurrence, up to the Limit of Insurance shown in the Declarations for Equipment Breakdown – Expediting Expenses, for the reasonable and necessary additional expenses you incur to:

- (i) Make temporary repairs; or
- (ii) Expedite permanent repairs or permanent replacement.

This limit is in addition to the Limits of Insurance for Covered Property.

(c) Defense

If a claim or "suit" is brought against you alleging that you are liable for damage to property of another in your care, custody or control directly caused by an "equipment breakdown accident", we will either:

- (i) Settle the claim or "suit"; or
- (ii) Defend you against the claim or "suit," but keep for ourselves the right to settle it at any point.

Payments under this Coverage Extension will not reduce the Limits of Insurance for Covered Property.

(d) Supplementary Payments

We will pay, with respect to any claim or "suit" we defend:

- (i) All expenses we incur;
- (ii) The cost of bonds to release attachments, but only for bond amounts within the Limit of Insurance. We do not have to furnish these bonds;



- (iii) All reasonable expenses incurred by you at our request to assist us in the investigation or defense of the claim or "suit" including actual loss of earnings up to \$100 a day because of time off from work;
- (iv) All costs taxed against you in any "suit" we defend;
- (v) Prejudgment interest awarded against you on that part of the judgment we pay. If we make an offer to pay the applicable Limit of Insurance, we will not pay any prejudgment interest based on that period of time after the offer; and
- (vi) All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the Limit of Insurance shown in the Declarations.

Payments under this Coverage Extension will not reduce the Limits of Insurance for Covered Property.

(e) Environment, Safety and Efficiency Improvements

If "equipment breakdown property" requires replacement due to loss or damage caused by or resulting from an "equipment breakdown accident", we will pay your additional cost to replace it with equipment that is better for the environment, safer or more efficient than the equipment being replaced.

However, we will not pay more than 125% of what the cost would have been to repair or replace with property of comparable material and quality. This coverage does not increase any of the applicable Limits of Insurance. This coverage does not apply to any property indicated as being valued on an Actual Cash Value basis.

If you wish to retrofit air conditioning or refrigeration equipment that utilizes a refrigerant containing CFC (chlorofluorocarbon) substances to accept a non-CFC refrigerant or replace the system with a system using a non-CFC refrigerant, we will consider this better for the environment. Any associated Business Income or Extra Expense will be included in determining the additional cost, if the Business Income and Extra Expense Additional Coverage applies to this Coverage Part.

(3) Additional Conditions

(a) Bankruptcy

The bankruptcy or insolvency of you or your estate will not relieve us of any obligation under this Additional Coverage.

(b) Jurisdictional Inspections

If any "equipment breakdown property" requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

(c) Suspension

When any "equipment breakdown property" is found to be in or exposed to a dangerous condition, any of our representatives may immediately suspend the insurance against loss from an "equipment breakdown accident" to that "equipment breakdown property". We can do this by mailing or delivering a written notice of suspension to:

- (i) Your address as shown in the Declarations; or
- (ii) The address where the "equipment breakdown property" is located.

Once suspended in this way, your insurance can be reinstated only by written notice of reinstatement from us.



- (4) We will not pay for direct physical loss or direct physical damage in any one occurrence unless the amount of direct physical loss or direct physical damage exceeds the Equipment Breakdown Deductible stated in the Declarations. We will then pay the amount of the direct physical loss or direct physical damage in excess of the Equipment Breakdown Deductible up to the applicable Limit of Insurance for Covered Property.

B. The following changes are made to Section B., EXCLUSIONS:

1. Exclusion **B.2.a., Electrical Apparatus**, is deleted.
2. Exclusion **B.2.d., Steam Apparatus**, is deleted.
3. Paragraph (6) of Exclusion **B.2.e., Other Types of Loss**, is deleted.
4. Paragraph **B.2.o., Electrical Disturbance**, is deleted.

C. The following changes are made to Section G., PROPERTY DEFINITIONS:

1. The following definition is added:

“Equipment breakdown accident” means a fortuitous event that causes direct physical loss or direct physical damage to “equipment breakdown property”. The event must be one of the following:

- a. Mechanical breakdown, including rupture or bursting caused by centrifugal force.
- b. Artificially generated electrical, magnetic or electromagnetic energy, including electric arcing, that damages, disturbs or otherwise interferes with any electrical or electronic wire, device, appliance or network.
- c. Explosion of steam boilers, steam piping, steam engines or steam turbines owned or leased by you, or operated under your control.
- d. Physical loss or physical damage to steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such boilers or equipment.
- e. Physical loss or physical damage to hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment.

2. The following definition is added:

“Equipment breakdown property” means Covered Property which, during normal usage, operates under vacuum or pressure, other than the weight of contents, or that generates, transmits or utilizes energy.

The following is not “equipment breakdown property”:

- a. Any structure, foundation, cabinet, compartment or air supported structure or building;
- b. Any insulating or refractory material;
- c. Any sewer piping, any underground vessels or piping, any piping forming a part of a sprinkler system, water piping other than boiler feedwater piping, boiler condensate return piping, or water piping forming a part of a refrigerating or air conditioning system;
- d. Any dragline, excavation or construction equipment;
- e. Any vehicle or any equipment mounted on a vehicle. As used here, vehicle means any machine or apparatus that is used for transportation or moves under its own power. Vehicle includes, but is not limited to: car, truck, bus, trailer, train, aircraft, watercraft, forklift, bulldozer, tractor or harvester. However, any property that is stationary, permanently installed at a “scheduled premises” and that receives electrical power from an external power source will not be considered a vehicle; or
- f. Any equipment manufactured by you for sale.

3. The following definition is added:

“Hazardous substance” means any substance that is hazardous to health or has been declared to be hazardous to health by a governmental agency.

4. The following definition is added:

“Perishable goods” means personal property:

- a. Maintained under controlled temperature or humidity conditions for preservation; and
- b. Susceptible to loss or damage if the controlled temperature or humidity conditions change.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



FIRE DEPARTMENT SERVICE CHARGE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Fire Department Service Charge

- (1)** When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to the Limit of Insurance shown in the Declarations for Fire Department Service Charge in any one occurrence for your liability for fire department service charges:
 - (a)** Assumed by contract or agreement prior to loss; or
 - (b)** Required by local ordinance.
- (2)** No deductible applies to this Coverage Extension.



FIRE EXTINGUISHER RECHARGE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Fire Extinguisher Recharge

- (1)** You may extend the insurance that applies to Covered Property to apply to:
 - (a)** The cost of recharging or replacing, whichever is less, your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged while fighting a covered fire on or within 1,000 feet of the "scheduled premises"; and
 - (b)** For direct physical loss or direct physical damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or fire extinguishing system.
- (2)** No coverage will apply if the fire extinguisher or fire extinguishing system is discharged during installation or testing.
- (3)** No deductible applies to this Additional Coverage.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



GARAGES, STORAGE BUILDINGS AND OTHER APPURTENANT STRUCTURES

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Garages, Storage Buildings and Other Appurtenant Structures

- (1)** You may extend the insurance that applies to Buildings to apply to garages, storage buildings and other appurtenant structures, except outdoor fixtures, at the "scheduled premises".
- (2)** You may extend the insurance that applies to Business Personal Property to apply to Business Personal Property in garages, storage buildings and other appurtenant structures at the "scheduled premises".
- (3)** The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Garages, Storage Buildings, and Other Appurtenant Structures.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



GLASS EXPENSE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Glass Expense

In the event of covered loss or damage to Covered Property, we will pay the necessary expenses incurred to:

- (1)** Put up temporary plates or board up openings if repair or replacement of damaged glass is delayed;
- (2)** Repair or replace encasing frames; and
- (3)** Remove or replace obstructions when repairing or replacing glass that is part of a building;

This does not include removing or replacing window displays.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



LEASE ASSESSMENT

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Lease Assessment

- (1) You may extend the insurance that applies to Covered Property to apply to your share of any assessment charged to all tenants by the building owner as a result of direct physical damage caused by or resulting from a Covered Cause of Loss to building property you occupy as agreed to in your written lease agreement.
- (2) The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Lease Assessment.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



LOCK AND KEY REPLACEMENT

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Lock and Key Replacement

- (1)** You may extend the insurance that applies to Covered Property to apply to the re-keying of locks or the repair or replacement of locks at the "scheduled premises" following the theft or the attempted theft of keys by burglars.
- (2)** The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Lock and Key Replacement.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



PERSONAL EFFECTS

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Personal Effects

- (1)** We will pay for direct physical loss or direct physical damage to personal effects owned by you, your officers, your partners, "managers", "members", or your "employees" caused by or resulting from a Covered Cause of Loss.
- (2)** This Coverage Extension does not apply to:
 - (a)** Tools or equipment used in your business; and
 - (b)** Tools and small equipment owned by any "employee(s)";
- (3)** The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Personal Effects.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



PRESERVATION OF PROPERTY

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Preservation of Property

If it is necessary to move Covered Property from the "scheduled premises" to preserve it from direct physical loss or direct physical damage by a Covered Cause of Loss, we will pay for any direct physical loss of or direct physical damage to that property:

- (1)** While it is being moved or while temporarily stored at another location; and
- (2)** Only if the direct physical loss or direct physical damage occurs within the number days shown in the Declarations for Preservation of Property after the property is first moved.



VALUABLE PAPERS AND RECORDS

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Valuable Papers and Records

- (1) You may extend the insurance that applies to Covered Property to apply to your "valuable papers and records" or "valuable papers and records" of others while in your care, custody or control while on or away from the "scheduled premises", including while in transit.
- (2) Under this Coverage Extension, we will not pay for "valuable papers and records":
 - (a) Held as samples or for delivery after sale;
 - (b) In storage away from the "scheduled premises"; or
 - (c) If such "valuable papers and records" cannot be replaced with other property of like kind and quality.
- (3) Section **B., EXCLUSIONS**, does not apply to this Coverage Extension except for:
 - (a) Exclusion **B.1.b., Governmental Action**;
 - (b) Exclusion **B.1.c., Nuclear Hazard**; and
 - (c) Exclusion **B.1.e., War and Military Action**.
- (4) The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Valuable Papers and Records.



BUSINESS INCOME AND EXTRA EXPENSE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following changes are made to Section A., COVERAGE:

1. The following is added to Paragraph 6., Coverage Extensions:

Business Income

- (1)** We will pay for the actual loss of Business Income you sustain due to the necessary suspension of your "operations" during the "period of restoration". The suspension must be caused by direct physical loss or direct physical damage to property at the "scheduled premises", including personal property in the open (or in a vehicle) within 1,000 feet of the "scheduled premises", caused by or resulting from a Covered Cause of Loss.
- (2)** With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the "scheduled premises" are located, your "scheduled premises" also means:
 - (a)** The portion of the building which you rent, lease or occupy; and
 - (b)** The area within 1,000 feet of the building or within 1,000 feet of the "scheduled premises", whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
 - (c)** Any area within the building or on the site at which the "scheduled premises" are located, but only if that area services, or is used to gain access to, the "scheduled premises".
- (3)** Business Income means the:
 - (a)** Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if no direct physical loss or direct physical damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and
 - (b)** Continuing normal operating expenses incurred, including payroll expenses.
- (4)** Payroll expenses includes:
 - (a)** Payroll;
 - (b)** Employee benefits; if directly related to payroll;
 - (c)** FICA payments you pay;
 - (d)** Union dues you pay; and
 - (e)** Workers' compensation premiums.
- (5)** With respect to the coverage provided in this Coverage Extension, suspension means:
 - (a)** The partial slowdown or complete cessation of your business activities; or
 - (b)** That part or all of the "scheduled premises" is rendered untenable as a result of a Covered Cause of Loss if coverage for Business Income applies to the Coverage Part.
- (6)** We will not pay for any increase of Business Income loss caused by or resulting from:
 - (a)** Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons;
 - (b)** Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "period of restoration"; or



(c) Any other consequential loss.

(7) You must resume all or part of your "operations" as quickly as possible. We will reduce the amount of your Business Income loss to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or "stock") at the "scheduled premises" or elsewhere.

(8) Under this Coverage Extension, coverage for Business Income does not apply when the suspension of "operations" is caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data".

(9) A waiting period may apply, however, no other deductible applies to this Coverage Extension.

2. The following is added to Paragraph 6., **Coverage Extensions**:

Extended Business Income

(1) If the necessary suspension of your "operations" produces a Business Income loss payable under the Business Income Coverage Extension, we will pay for the actual loss of Business Income you incur during the period that:

(a) Begins on the date property, other than finished "stock", is actually repaired, rebuilt or replaced and "operations" are resumed; and

(b) Ends on the earlier of:

(i) The date you could restore your "operations" with reasonable speed, to the condition that would have existed if no direct physical loss or direct physical damage occurred; or

(ii) 45 consecutive days after the date determined in Paragraph (1)(a) above, unless a different time period is shown in the Declarations for Extended Business Income.

However, Extended Business Income does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the "scheduled premises" is located.

(2) With respect to the coverage provided in this Coverage Extension, suspension means:

(a) The partial slowdown or complete cessation of your business activities; and

(b) That a part or all of the "scheduled premises" is rendered untenable as a result of a Covered Cause of Loss.

(3) We will not pay for any Extended Business Income loss caused by or resulting from:

(a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons;

(b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "period of restoration"; or

(c) Any other consequential loss.

(4) No deductible applies to this Coverage Extension.

3. The following is added to Paragraph 6., **Coverage Extensions**:

Extra Expense

(1) We will pay reasonable and necessary Extra Expense you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or direct physical damage to property at the "scheduled premises", including personal property in the open (or in a vehicle) within 1,000 feet, caused by or resulting from a Covered Cause of Loss.

(2) With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the "scheduled premises" are located, your "scheduled premises" also means:

(a) The portion of the building which you rent, lease or occupy; and



- (b) The area within 1,000 feet of the building or within 1,000 feet of the "scheduled premises", whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
 - (c) Any area within the building or on the site at which the "scheduled premises" are located, but only if that area services, or is used to gain access to, the "scheduled premises".
- (3) Extra Expense means expense incurred:
 - (a) To avoid or minimize the suspension of business and to continue "operations":
 - (i) At the "scheduled premises"; or
 - (ii) At replacement premises or at temporary locations, including:
 - (aa) Relocation expenses; and
 - (bb) Cost to equip and operate the replacement or temporary location, other than those costs necessary to repair or to replace damaged "stock" and equipment.
 - (b) To minimize the suspension of business if you cannot continue "operations".
 - (c) To:
 - (i) Repair or replace any property; or
 - (ii) Research, replace or restore the lost information on damaged "valuable papers and records"; to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Extension or the Business Income Coverage Extension.
- (4) With respect to the coverage provided in this Coverage Extension, suspension means:
 - (a) The partial slowdown or complete cessation of your business activities; or
 - (b) That part or all of the "scheduled premises" is rendered untenable as a result of a Covered Cause of Loss if coverage for Extra Expense applies to the Coverage Part.
- (5) This Extra Expense Coverage Extension does not apply to:
 - (a) Any deficiencies in insuring Building or Business Personal Property; or
 - (b) Any expense related to any recall of products you manufacture, handle or distribute.
- (6) We will deduct from the total Extra Expense to be paid:
 - (a) The salvage value that remains of any property bought for temporary use during the "period of restoration", once "operations" are resumed; and
 - (b) Any Extra Expense that is paid for by other insurance.
- (7) We will not pay for any Extra Expense caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons;
 - (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "period of restoration"; or
 - (c) Any other consequential loss
- (8) You must resume all or part of your "operations" as quickly as possible. We will reduce the amount of your Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense
- (9) Under this Coverage Extension, coverage for Extra Expense does not apply when the suspension of "operations" is caused by destruction or corruption of "electronic data", or any loss or damage to "electronic data".
- (10) No deductible applies to this Coverage Extension.



BUSINESS INCOME FROM DEPENDENT PROPERTIES

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., Coverage Extensions:

Business Income From Dependent Properties

- (1) We will pay the actual loss of Business Income you sustain and necessary Extra Expense you incur during the "dependent property period of restoration" due to direct physical loss or direct physical damage at the premises of a "dependent property" or "secondary dependent property" caused by or resulting from a Covered Cause of Loss.

However, this Coverage Extension does not apply when the only loss at the premises of a "dependent property" or "secondary dependent property" is loss or damage to "electronic data", including destruction or corruption of "electronic data". If the "dependent property" or "secondary dependent property" sustains loss or damage to both "electronic data" and other property, coverage under this Coverage Extension will not continue once the other property is repaired, rebuilt or replaced.

- (2) Coverage provisions respecting direct physical loss or direct physical damage will apply separately to each "dependent property" and "secondary dependent property" premises.

- (3) Business Income means the:

- (a) Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if no direct physical loss or direct physical damage at the premises of a "dependent property" or "secondary dependent property" had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and

- (b) Continuing normal operating expenses incurred, including payroll.

- (4) Payroll expenses include:

- (a) Payroll;
(b) Employee benefits; if directly related to payroll;
(c) FICA payments you pay;
(d) Union dues you pay; and
(e) Workers' compensation premiums.

- (5) Extra Expense means expense incurred:

- (a) To avoid or minimize the suspension of business and to continue "operations";
(b) To minimize the suspension of business if you cannot continue "operations"; or
(c) To:
(i) Repair or replace any property; or
(ii) Research, replace or restore the lost information on damaged "valuable papers and records"; to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Extension.

- (6) Extra Expense does not apply to:

- (a) Any deficiencies in insuring building or business personal property; or
(b) Any expense related to any recall of products you manufacture, handle or distribute.

- (7) With respect to the coverage provided in this Coverage Extension, suspension means the partial slowdown or complete cessation of your business activities.



- (8) We will deduct from the total Extra Expense to be paid:
 - (a) The salvage value that remains of any property bought for temporary use during the "dependent property period of restoration", once business operations are resumed; and
 - (b) Any Extra Expense that is paid for by other insurance.
- (9) You must resume all or part of your "operations" as quickly as possible. We will reduce the amount of your Business Income loss, other than Extra Expense, to the extent you can resume "operations", in whole, or in part, by using any other available:
 - (a) Sources of materials; or
 - (b) Outlet for your products.
- (10) We will not pay for any Extra Expense or increase of Business Income loss caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or
 - (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "dependent property period of restoration".
 - (c) Any other consequential loss.
- (11) A waiting period may apply to Business Interruption, however, no other deductible applies to this Coverage Extension.
- (12) The most we will pay in any one occurrence under this Coverage Extension is the limit shown in the Declarations for Business Income From Dependent Properties.

B. The following changes are made to Section G. PROPERTY DEFINITIONS:

1. The following definition is added:

"Dependent property" means property owned, leased or operated by others whom you depend on to:

- a. Deliver materials or services to you or to others for your account. But services do not include:
 - (1) Water, wastewater removal, communication, power services or any other utility services; or
 - (2) Any type of web site, or Internet service.
- b. Accept your products or services;
- c. Manufacture your products for delivery to your customers under contract for sale; or
- d. Attract customers to your business premises.

The "dependent property" must be located in the coverage territory of this Coverage Part.

2. The following definition is added:

"Dependent property period of restoration"

- a. Means the period of time that:

(1) Begins:

- (a) The number of hours shown in the Declarations after the time of direct physical loss or direct physical damage for Business Income for Dependent Properties coverage; or
- (b) Immediately after the time of direct physical loss or direct physical damage for Extra Expense coverage;
caused by or resulting from any Covered Cause of Loss at the "dependent property" or "secondary dependent property"; and

(2) Ends on the earlier of:

- (a) The date when the property at the "dependent property" or "secondary dependent property" should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
- (b) Exhaustion of the number of consecutive months as shown on the Declarations as the Business Income for Dependent Properties Period of Restoration.

- b. Does not include any increased period required due to enforcement of or compliance with any ordinance or law that:

- (1) Regulates the construction, use or repair, or requires the tearing down of any property; or



- (2) Requires any insured or others to test for, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to "pollutants and contaminants".

The expiration date of this Coverage Part will not cut short the "dependent property period of restoration".

3. The following definition is added:

"Secondary dependent property"

- a.** Means an entity which is not owned, leased or operated by a "dependent property" and which:

(1) Deliver materials or services to a "dependent property", which in turn are used by the "dependent property" in providing materials or services to you; or

(2) Accepts materials or services from a "dependent property", which in turn accepts your materials or services.

- b.** A road, bridge, tunnel, waterway, airfield, pipeline or any other similar area or structure is not a "secondary dependent property".

- c.** Any property which delivers any of the following services is not a "secondary dependent property" with respect to such services:

(1) Water, wastewater removal, communication, power services or any other utility services; or

(2) Any type of web site, or Internet service.

The "secondary dependent property" must be located in the coverage territory of this Coverage Part.



FORGERY COVERAGE (INCLUDING CREDIT CARDS, CURRENCY AND MONEY ORDERS)

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., Coverage Extensions:

Forgery

- (1) We will pay for loss resulting directly from forgery or alteration of any check, draft, promissory note, bill of exchange or similar written promise of payment in "money" that you or your agent has issued, or that was issued by someone who impersonates you or your agent. This includes written instruments required in conjunction with any credit, debit, or charge card issued to you or any "employee" for business purposes.
- (2) If you are sued for refusing to pay the check, draft, promissory note, bill of exchange or similar written promise of payment in "money" on the basis that it has been forged or altered, and you have our written consent to defend against the "suit", we will pay for any reasonable legal expenses that you incur and pay in that defense.
- (3) We will pay for loss resulting directly from your having accepted in good faith, in exchange for merchandise, "money" or services:
 - (a) Money orders, including counterfeit money orders, issued by any post office, express company or bank that are not paid upon presentation; and
 - (b) "Counterfeit money" that is acquired during the regular course of business.
- (4) For the purpose of this Coverage Extension, check includes a substitute check as defined in the Check Clearing for the 21st Century Act and will be treated the same as the original it replaced.
- (5) We will treat mechanically reproduced facsimile signatures the same as handwritten signatures.
- (6) You must include with your proof of loss any instrument involved in that loss, or, if that is not possible, an affidavit setting forth the amount and cause of loss.
- (7) With respect to this Coverage Extension only, Paragraphs **F.5.b.(1)** through **F.5.b.(3)** are deleted and replaced with the following:

Anywhere in the world.

- (8) All loss:
 - (a) Caused by one or more persons; or
 - (b) Involving a single act or series of related acts;is considered one occurrence.

(9) Additional Conditions:

(a) Discovery Period for Loss

We will pay only for covered loss discovered no later than one year from the end of the policy period.

Discovery of loss occurs when you first become aware of facts which would cause a reasonable person to assume that a loss covered by this Coverage Part has been, or may be incurred even though the exact amount or the details of the loss may not then be known.

Discovery also occurs when you receive notice of an actual or potential claim against you alleging facts, which if true, would be a covered loss under this Coverage Part.

(b) Non-Cumulation of Limit of Insurance

Regardless of the number of years this Coverage Part remains in force or the number of premiums paid, no Limit of Insurance cumulates from year to year or period to period.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



(c) Ownership of Property, Interests Covered

The property covered under this Coverage Part is limited to property

(i) That you own or hold; or

(ii) For which you are legally liable.

However, this insurance is for your benefit only. It provides no rights or benefits to any other person or organization

(10) The most we will pay in any one occurrence, including legal expenses, under this Coverage Extension is the Limit of Insurance shown in the Declarations for Forgery Coverage.

B. The following changes are made to Section **G.**, **PROPERTY DEFINITIONS**:

1. The following definition is added:

"Counterfeit money" means an imitation of "money" that is intended to deceive and to be taken as genuine.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



ARSON AND THEFT REWARD

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Arson and Theft Reward

- (1) In the event that a covered fire loss was the result of an act of arson, we will reimburse you for rewards you pay for information leading to convictions for that act of arson.
- (2) In the event of a covered theft loss, we will reimburse you for rewards you pay for information leading to convictions for the theft loss.
- (3) No deductible applies to this Coverage Extension.
- (4) The most we will pay to reimburse you in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Arson and Theft Reward.



BUSINESS INCOME FOR CIVIL AUTHORITY ACTIONS

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., Coverage Extensions:

Business Income for Civil Authority Actions

- (1) When a Covered Cause of Loss causes direct physical loss or direct physical damage to property other than at the "scheduled premises", we will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur during the "civil authority period of restoration" caused by action of civil authority that prohibits access to the "scheduled premises" provided that both of the following apply:
 - (a) Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage, and the "scheduled premises" are within that area but are not more than one mile from the damaged property; and
 - (b) The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.
- (2) With respect to the requirements set forth in the preceding paragraph, if you occupy only part of the site at which the "scheduled premises" are located, your "scheduled premises" also means:
 - (a) The portion of the building which you rent, lease or occupy; and
 - (b) The area within 1,000 feet of the building or within 1,000 feet of the "scheduled premises", whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
 - (c) Any area within the building or on the site at which the "scheduled premises" are located, but only if that area services, or is used to gain access to, the "scheduled premises".
- (3) Business Income means the:
 - (a) Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if access to the "scheduled premises" had not been prohibited by action of civil authority, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and
 - (b) Continuing normal operating expenses incurred, including payroll expenses.
- (4) Payroll expenses include:
 - (a) Payroll;
 - (b) Employee benefits; if directly related to payroll;
 - (c) FICA payments you pay;
 - (d) Union dues you pay; and
 - (e) Workers' compensation premiums.
- (5) Extra Expense means expense incurred:
 - (a) To avoid or minimize the suspension of business and to continue "operations";
 - (b) To minimize the suspension of business if you cannot continue "operations"; or
 - (c) To:
 - (i) Repair or replace any property; or



- (ii) Research, replace or restore the lost information on damaged "valuable papers and records"; to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Extension.
- (6) Extra Expense does not apply to:
 - (a) Any deficiencies in insuring Building or Business Personal Property; or
 - (b) Any expense related to any recall of products you manufacture, handle or distribute.
- (7) With respect to the coverage provided in this Coverage Extension, suspension means the partial slowdown or complete cessation of your business activities.
- (8) We will deduct from the total Extra Expense to be paid:
 - (a) The salvage value that remains of any property bought for temporary use during the "civil authority period of restoration", once business operations are resumed; and
 - (b) Any Extra Expense that is paid for by other insurance.
- (9) We will not pay for any increase of Business Income or Extra Expense loss caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or
 - (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the suspension of "operations", we will cover such loss that affects your Business Income during the "civil authority period of restoration";
 - (c) Any other consequential loss.
- (10) A waiting period may apply, however, no other deductible applies to this Coverage Extension.

B. The following definition is added to Section G., PROPERTY DEFINITIONS:

"Civil authority period of restoration"

- a. Means the period of time that:
 - (1) Begins:
 - (a) The number of hours shown in the Declarations after action of civil authority for Business Income for Civil Authority Actions coverage; or
 - (b) Immediately after the action of civil authority damage for Extra Expense coverage;and
 - (2) Ends on the earlier of:
 - (a) When access to your "scheduled premises" is permitted; or
 - (b) 30 consecutive days after the order of the civil authority unless a different time period is shown in the Declarations as the Business Income for Civil Authority Actions Duration of Coverage.
- b. Does not include any increased period required due to enforcement of or compliance with any ordinance or law that:
 - (1) Regulates the construction, use or repair, or requires the tearing down of any property; or
 - (2) Requires any insured or others to test for, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to "pollutants and contaminants".

The expiration date of this Coverage Part will not cut short the "civil authority period of restoration".



POLLUTANTS AND CONTAMINANTS CLEAN UP AND REMOVAL

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

"Pollutants and Contaminants" Clean Up and Removal

- (1) We will pay your expense to extract "pollutants and contaminants" from land or water at the "scheduled premises" if the discharge, dispersal, seepage, migration, release or escape of the "pollutants and contaminants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.
- (2) This Coverage Extension does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants and contaminants". But we will pay for testing which is performed in the course of extracting the "pollutants and contaminants" from the land or water.
- (3) Paragraph **2.I., Pollution**, of Section **B., EXCLUSIONS**, does not apply to this Coverage Extension.
- (4) The most we will pay in any one occurrence under this Coverage Extension for the sum of all such expenses arising out of Covered Causes of Loss, is the Limit of Insurance shown in the Declarations for Pollutants and Contaminants Clean Up and Removal.



IDENTITY RECOVERY FOR BUSINESSOWNERS AND EMPLOYEES

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., **Coverage Extensions**, of the Special Property Coverage Form:

Identity Recovery for Businessowners and Employees

(1) We will provide the Case Management Service and Expense Reimbursement Coverage indicated below if all of the following requirements are met:

- (a) There has been an "identity theft" involving the personal identity of an "identity recovery insured" under this Coverage Part;
- (b) Such "identity theft" is first discovered by the "identity recovery insured" during the policy period for which this Coverage Extension is applicable; and
- (c) Such "identity theft" is reported to us as soon as practicable but in no event later than 60 days after it is first discovered by the "identity recovery insured."

(2) If all three of the requirements listed above have been met, then we will provide the following to the "identity recovery insured":

(a) Case Management Service

Services of an "identity recovery case manager" as needed to respond to the "identity theft"; and

(b) Expense Reimbursement

Reimbursement of necessary and reasonable "identity recovery expenses" incurred as a direct result of the "identity theft."

(3) Additional Exclusions

Under this Coverage Extension, we will not cover loss or expense arising from any of the following:

- (a) Theft of a professional or business identity;
- (b) Any fraudulent, dishonest or criminal act by an "identity recovery insured" or any person aiding or abetting an "identity recovery insured", or by any authorized representative of an "identity recovery insured", whether acting alone or in collusion with others. However, this exclusion shall not apply to the interests of an "identity recovery insured" who has no knowledge of or involvement in such fraud, dishonesty or criminal act;
- (c) Loss other than "identity recovery expenses";
- (d) An "identity theft" that is first discovered by the "identity recovery insured" prior to or after the policy period for which this Coverage Extension applies. This exclusion applies whether or not such "identity theft" began or continued during the period of coverage;
- (e) An "identity theft" that is not reported to us within 60 days after it is first discovered by the "identity recovery insured."; or
- (f) An "identity theft" that is not reported in writing to the police.

(4) Limits of Insurance

- (a) The most we will pay in any one "policy year" per "identity recovery insured" under this Coverage Extension is the Limit of Insurance shown in the Declarations for Identity Recovery Coverage for Businessowners and Employees. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or expense arising out of all "identity thefts" to any one "identity recovery insured" which are first discovered by the "identity recovery insured" during a 12-month period starting with the beginning of the present annual policy period. If an "identity theft" is first discovered in one policy period and continues into other policy periods, all loss and expense arising from such



"identity theft" will be subject to the "policy year" limit applicable to the policy period when the "identity theft" was first discovered.

- (i) Legal costs as provided under Paragraph **d.** of the definition of "identity recovery expenses" are part of, and not in addition to, the Limit of Insurance for this Coverage Extension.
 - (ii) Lost Wages and Child and Elder Care Expenses as provided under Paragraphs **e.** and **f.** of the definition of "identity recovery expenses" are jointly subject to a sublimit of \$250 per day, not to exceed \$5,000 total (unless a different sublimit is displayed in the Declarations). This sublimit is part of, and not in addition to, the Limit of Insurance for this Coverage Extension. Coverage is limited to lost wages and expenses incurred within 12 months after the first discovery of the "identity theft" by the "identity recovery insured".
 - (iii) Mental Health Counseling as provided under Paragraph **g.** of the definition of "identity recovery expenses" is subject the Mental Health sublimit shown in the Declarations. This sublimit is part of, and not in addition to, the Limit of Insurance for this Coverage Extension. Coverage Extension is limited to counseling that takes place within 12 months after the first discovery of the "identity theft" by the "identity recovery insured".
- (b) Case Management Service is available as needed for any one "identity theft" for up to 12 consecutive months from the inception of the service. Expenses we incur to provide Case Management Service are part of, and not in addition to, the Limit of Insurance for this Coverage Extension.

(5) Deductible

- (a) No deductible applies to the Case Management Service coverage.
- (b) All other coverage provided under this Coverage Extension is subject to the Deductible shown in the Declarations for this Coverage Extension. Any one "identity recovery insured" shall be responsible for only one Deductible under this Coverage Extension during any one "policy year".

(6) Additional Conditions

(a) Assistance and Claims

- (i) For assistance, the "identity recovery insured" should call the **Identity Recovery Help Line** at **1-866-989-2905**.

The **Identity Recovery Help Line** can provide the "identity recovery insured" with:

- (aa) Information and advice for how to respond to a possible "identity theft"; and
 - (bb) Instructions for how to submit a service request for Case Management Service and/or a claim form for Expense Reimbursement Coverage.
- (ii) In some cases, we may provide Case Management services at our expense to an "identity recovery insured" prior to a determination that a covered "identity theft" has occurred. Our provision of such services is not an admission of liability under the Coverage Part. We reserve the right to deny further coverage or service if, after investigation, we determine that a covered "identity theft" has not occurred.
 - (iii) As respects Expense Reimbursement Coverage, the "identity recovery insured" must send to us, within 60 days after our request, receipts, bills or other records that support his or her claim for "identity recovery expenses."

(b) Discovery Period for Loss

We will pay only for covered loss discovered no later than one year from the end of the policy period.

Discovery of loss occurs when you first become aware of facts which would cause a reasonable person to assume that a loss covered by this Coverage Part has been, or may be incurred even though the exact amount or the details of the loss may not then be known.

Discovery also occurs when you receive notice of an actual or potential claim against you alleging facts, which if true, would be a covered loss under this Coverage Part.

(c) Non-Cumulation of Limit of Insurance



Regardless of the number of years this Coverage Part remains in force or the number of premiums paid, no Limit of Insurance cumulates from year to year or period to period.

(d) Services

The following conditions apply as respects any services provided by us or our designees to any "identity recovery insured" under this endorsement:

- (i) Our ability to provide helpful services in the event of an "identity theft" depends on the cooperation, permission and assistance of the "identity recovery insured."
- (ii) All services may not be available or applicable to all individuals. For example, "identity recovery insureds" who are minors or foreign nationals may not have credit records that can be provided or monitored. Service in Canada will be different from service in United States and Puerto Rico in accordance with local conditions.
- (iii) We do not warrant or guarantee that our services will end or eliminate all problems associated with an "identity theft" or prevent future "identity thefts."

B. The following changes are made to Section G., PROPERTY DEFINITIONS:

1. The following definition is added:

"Identity recovery case manager" means one or more individuals assigned by us to assist an "identity recovery insured" with communications we deem necessary for re-establishing the integrity of the personal identity of the "identity recovery insured." This includes, with the permission and cooperation of the "identity recovery insured," written and telephone communications with law enforcement authorities, governmental agencies, credit agencies and individual creditors and businesses.

2. The following definition is added:

"Identity recovery expenses" means the following when they are reasonable and necessary expenses that are incurred in the United States or Canada as a direct result of an "identity theft":

- a. Costs for re-filing applications for loans, grants or other credit instruments that are rejected solely as a result of an "identity theft."
- b. Costs for notarizing affidavits or other similar documents, long distance telephone calls and postage solely as a result of your efforts to report an "identity theft" or amend or rectify records as to your true name or identity as a result of an "identity theft."
- c. Costs for up to twelve (12) credit reports from established credit bureaus dated within 12 months after your knowledge or discovery of an "identity theft."

d. Legal Costs

Fees and expenses for an attorney approved by us for:

- (1) Defending any civil suit brought against an "identity recovery insured" by a creditor or collection agency or entity acting on behalf of a creditor for non-payment of goods or services or default on a loan as a result of an "identity theft"; and
- (2) Removing any civil judgment wrongfully entered against an "identity recovery insured" as a result of the "identity theft."

e. Lost Wages

Actual lost wages of the "identity recovery insured" for time reasonably and necessarily taken away from work and away from the work premises. Time away from work includes partial or whole work days. Actual lost wages may include payment for vacation days, discretionary days, floating holidays and paid personal days. Actual lost wages does not include sick days or any loss arising from time taken away from self-employment. Necessary time off does not include time off to do tasks that could reasonably have been done during non-working hours.

f. Child and Elder Care Expenses

Actual costs for supervision of children or elderly or infirm relatives or dependents of the "identity recovery insured" during time reasonably and necessarily taken away from such supervision. Such care must be provided by a professional care provider who is not a relative of the "identity recovery insured".



g. Mental Health Counseling

Actual costs for counseling from a licensed mental health professional. Such care must be provided by a professional care provider who is not a relative of the "identity recovery insured".

3. The following definition is added:

"Identity recovery insured" means the following:

- a.** A full time "employee" of the entity insured under this Coverage Part; or
- b.** The owner of the entity insured under this Coverage Part who meets any of the following criteria:
 - (1)** A sole proprietor of the insured entity;
 - (2)** A partner in the insured entity; or
 - (3)** An individual having an ownership position of 20% or more of the insured entity.

An "identity recovery insured" must always be an individual person. The entity insured under this Coverage Part is not an "identity recovery insured."

4. The following definition is added:

"Identity theft" means the fraudulent use of the social security number or other method of identifying an "identity recovery insured." This includes fraudulently using the personal identity of an "identity recovery insured" to establish credit accounts, secure loans, enter into contracts or commit crimes.

"Identity theft" does not include the fraudulent use of a business name, d/b/a or any other method of identifying a business activity.

5. The following definition is added:

"Policy year" means the period of time that:

- a.** Begins with the inception or anniversary date of this Coverage Part; and
- b.** Ends at the expiration or at the next anniversary date of this Coverage Part.



ACCOUNTS RECEIVABLE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Accounts Receivable

- (1) You may extend the insurance that applies to Covered Property to apply to your accounts receivable while at or away from the "scheduled premises", including while in transit.
Under this Coverage Extension, we will pay for:
 - (a) All amounts due from your customers that you are unable to collect;
 - (b) Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;
 - (c) Collection expenses in excess of your normal collection expenses that are made necessary by the physical loss or physical damage; and
 - (d) Other reasonable expenses that you incur to reestablish your records of accounts receivable; that result from direct physical loss or direct physical damage by a Covered Cause of Loss to your records of accounts receivable.
- (2) Section **B., EXCLUSIONS**, do not apply to this Coverage Extension except for:
 - (a) Exclusion **B.1.b., Governmental Action**;
 - (b) Exclusion **B.1.c., Nuclear Hazard**;
 - (c) Exclusion **B.1.e., War and Military Action**;
 - (d) Exclusion **B.2.g., Dishonesty**;
 - (e) Exclusion **B.2.h. False Pretense**; and
 - (f) Exclusions **B.3.a., Weather Conditions**, through **B.3.c., Negligent Work**.
- (3) Under this Coverage Extension, we will not pay for:
 - (a) Loss or damage caused by or resulting from alteration, falsification, concealment or destruction of records of accounts receivable done to conceal the wrongful giving, taking or withholding of "money," "securities," or other property.
This exclusion applies only to the extent of the wrongful giving, taking or withholding;
 - (b) Loss or damage caused by or resulting from bookkeeping, accounting, or billing errors or omissions; or
 - (c) Any loss or damage that requires any audit of records or any inventory computation to prove its factual existence.
- (4) The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Accounts Receivable.



NEWLY ACQUIRED OR CONSTRUCTED PROPERTY

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Newly Acquired or Constructed Property

(1) Buildings

When a Limit of Insurance shown is in the Declarations for Newly Acquired or Constructed Building, you may extend the insurance that applies to Buildings to apply to:

- (a)** Your new buildings while being built on the "scheduled premises"; and
- (b)** Buildings you acquire at locations other than the "scheduled premises", intended for:
 - (i)** Similar use as the Building described in the Declarations; or
 - (ii)** Use as a warehouse.

The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Newly Acquired or Constructed Building.

(2) Business Personal Property

- (a)** When a Limit of Insurance shown is in the Declarations for Newly Acquired or Constructed Business Personal Property, you may extend the insurance that applies to Business Personal Property to apply to:
 - (i)** Business Personal Property, including such property that you newly acquire, at any location you acquire;
 - (ii)** Business Personal Property, including such property that you newly acquire, located at your newly acquired or constructed buildings located at the "scheduled premises"; or
 - (iii)** Business Personal Property that you newly acquire, located at the "scheduled premises".
- (b)** This extension does not apply to:
 - (i)** Personal property that you temporarily acquire in the course of installing or performing work on such property;
 - (ii)** Personal property of others that you temporarily acquire in the course of your wholesaling activity.
- (c)** The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Newly Acquired or Constructed Business Personal Property.
- (d)** If Covered Property is moved to a new premises endorsed onto this policy, from a "scheduled premises" being endorsed off this policy, the Limit of Insurance applicable to that vacated premises will apply proportionately to both premises as the property is moved. This coverage applies to up to 180 days after the move begins or upon completion of the move, whichever is sooner. This coverage does not apply to Business Personal Property while in transit.

(3) Business Income

- (a)** When a Limit of Insurance is shown in the Declarations for Newly Acquired or Constructed Business Income and Extra Expense, you may extend the insurance that applies to the Business Income and Extra Expense Coverage Extensions when such Coverage Extensions are attached to this Coverage Part to apply to newly acquired or constructed locations.
- (b)** The most we will pay in any one occurrence under this Coverage Extension is the lesser of:
 - (i)** The actual loss of Business Income and incurred Extra Expense you sustain; or
 - (ii)** The Limit of Insurance shown in the Declarations for Newly Acquired or Constructed Business Income and Extra Expense.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



- (4) Insurance under this Coverage Extension for each newly acquired or constructed property will end when any of the following first occurs:
- (a) This Coverage Part expires;
 - (b) 180 days after you acquire or begin construction of that part of the building that would qualify as Covered Property, or
 - (c) You report values to us.
- We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as Covered Property.



OUTDOOR PROPERTY

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Outdoor Property

- (1) You may extend the insurance provided by this Coverage Part to apply to your outdoor fences, signs (other than signs attached to buildings), radio and television antennas (including satellite dishes), trees, shrubs and plants (other than trees, shrubs or plants which are part of a vegetated roof), including debris removal expense. Loss or damage must be caused by or result from any of the following causes of loss:
 - (a) Fire;
 - (b) Lightning;
 - (c) Windstorm;
 - (d) Ice, Snow, Sleet or Hail;
 - (e) Explosion;
 - (f) Riot or Civil Commotion; or
 - (g) Aircraft.
- (2) Exclusion **B.2.i., Exposed Property**, does not apply to this Coverage Extension.
- (3) The most we will pay in any one occurrence, including debris removal expense, under this Coverage Extension is the Limit of Insurance shown in the Declarations for Outdoor Property.

Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation in which you are a tenant and such property is owned by the landlord of the described premises.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



PROPERTY OFF-PREMISES

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Property Off-Premises

- (1)** You may extend the insurance that applies to Covered Property, other than "money" and "securities", "valuable papers and records" or accounts receivable, to apply to such property in your care, custody or control while it is in the course of transit or at a premises you do not own, lease or operate.
- (2)** The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Property Off-Premises.



WATER DAMAGE, OTHER LIQUID, POWDER OR MOLTEN MATERIAL DAMAGE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Water Damage, Other Liquid, Powder or Molten Material Damage

- (1)** If direct physical loss or direct physical damage caused by or resulting from covered water or other liquid, powder or molten material damage loss occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes.
- (2)** We will not pay the cost to repair any defect that caused the direct physical loss or direct physical damage except as provided in the Equipment Breakdown Additional Coverage if such Additional Coverage is attached to this Coverage Part. But we will pay the cost to repair or replace damaged parts of fire extinguishing equipment if the damage:
 - (a)** Results in discharge of any substance from an automatic fire protection system; or
 - (b)** Is directly caused by freezing.



MONEY AND SECURITIES COVERAGE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Money and Securities

- (1) We will pay for loss of "money" and "securities" used in your business while at: a bank or savings institution, within your living quarters or the living quarters of your partners or any "employee" having use and custody of the property, at the "scheduled premises", or in transit between any of these places, resulting directly from:
 - (a) Theft;
 - (b) Disappearance; or
 - (c) Destruction.
- (2) In addition to the Limitations and Exclusions applicable to this Coverage Part, we will not pay for loss:
 - (a) Resulting from accounting or arithmetical errors or omissions;
 - (b) Due to the giving or surrendering of property in any exchange or purchase; or
 - (c) Loss or damage to "money" and "securities" following and directly related to the use of any "computer" to fraudulently cause a transfer of that property.
- (3) All loss:
 - (a) Caused by one or more persons; or
 - (b) Involving a single act or series of related acts;is considered one occurrence.
- (4) You must keep records of all "money" and "securities" so we can verify the amount of any loss or damage.
- (5) **Additional Conditions:**
 - (a) **Discovery Period for Loss**

We will pay only for covered loss discovered no later than one year from the end of the policy period.

Discovery of loss occurs when you first become aware of facts which would cause a reasonable person to assume that a loss covered by this Coverage Part has been, or may be incurred even though the exact amount or the details of the loss may not then be known.

Discovery also occurs when you receive notice of an actual or potential claim against you alleging facts, which if true, would be a covered loss under this Coverage Part.
 - (b) **Non-Cumulation of Limit of Insurance**

Regardless of the number of years this Coverage Part remains in force or the number of premiums paid, no Limit of Insurance cumulates from year to year or period to period.
- (6) The most we will pay for loss in any one occurrence under this Coverage Extension is:
 - (a) The limit shown in the Declarations for Inside the Premises for "money" and "securities" while:
 - (i) In or on the "scheduled premises"; or
 - (ii) Within a bank or savings institution; and
 - (b) The limit shown in the Declarations for Outside the Premises for "money" and "securities" while anywhere else.



ELECTRONIC DATA

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., Coverage Extensions:

Electronic Data

(1) We will pay for the cost to replace or restore your "electronic data" or "electronic data" of others which is in your care, custody or control which has been destroyed or corrupted by a Covered Cause of Loss.

(2) Valuation

(a) Loss or damage to "electronic data" will be valued at the actual, reasonable and necessary costs you incur to restore or replace the "electronic data". But we will not pay the cost or expenses you incur to:

(i) Identify or remediate any errors or vulnerabilities or to update, restore, replace, upgrade, maintain or improve any "computer" or "computer" system;

(ii) Update, replace, restore or improve any "electronic data" to a level beyond the condition in which it existed immediately preceding the loss or damage; or

(iii) Duplicate research that led to the development of your "electronic data" or any proprietary or confidential information or intellectual property in any form.

(b) To the extent that "electronic data" is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the "electronic data" was stored, with blank media of substantially identical type.

(c) If you recover from a licenser, lessor or any other party for loss or damage to "electronic data", our loss payment to you will be reduced by the amount of such recovery.

(3) We will not pay for:

(a) Loss or damage caused by or resulting from manipulation of a "computer" system (including "electronic data") by any "employee", including a temporary or leased "employee", or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system;

(b) Loss or damage caused by theft, observation, publication, unauthorized access to or loss of confidentiality of your "electronic data" or "electronic data" of others in your care, custody or control.

(4) This Coverage Extension does not apply to your "stock" of prepackaged software.

(5) The most we will pay for all occurrences in any one "policy year" under this Coverage Extension is the Limit of Insurance shown in the Declarations for Electronic Data.

If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in, but not after, that "policy year". With respect to an occurrence which begins in one "policy year" and continues or results in additional loss or damage in a subsequent "policy year(s)", all loss or damage is deemed to be sustained in the "policy year" in which the occurrence began.

B. The following definition is added to Section G., PROPERTY DEFINITIONS:

"Policy year" means the period of time that:

a. Begins with the inception or anniversary date of this Coverage Part; and

b. Ends at the expiration or at the next anniversary date of this Coverage Part.



INTERRUPTION OF COMPUTER OPERATIONS

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., Coverage Extensions:

Interruption Of Computer Operations

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur during the "computer operations period of restoration" due to a suspension of your "computer operations" caused by destruction or corruption of your "electronic data" or "electronic data" of others in your care, custody or control due to a Covered Cause of Loss.
- (2) Business Income means the:
 - (a) Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if "computer operations" had not been interrupted, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses; and
 - (b) Continuing normal operating expenses incurred, including payroll expenses.
- (3) Payroll expenses include:
 - (a) Payroll;
 - (b) Employee benefits; if directly related to payroll;
 - (c) FICA payments you pay;
 - (d) Union dues you pay; and
 - (e) Workers' compensation premiums.
- (4) Extra Expense means expense incurred:
 - (a) To avoid or minimize the interruption of business and to continue "computer operations"; or
 - (b) To minimize the interruption of business if you cannot continue "computer" operations"; or to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Extension.
- (5) Extra Expense does not apply to:
 - (a) Any deficiencies in insuring Building or Business Personal Property; or
 - (b) Any expense related to any recall of products you manufacture, handle or distribute.
- (6) With respect to the coverage provided in this Coverage Extension, suspension means the partial slowdown or complete cessation of your "computer operations".
- (7) We will deduct from the total Extra Expense to be paid:
 - (a) The salvage value that remains of any property bought for temporary use during the "computer operations period of restoration", once "computer operations" are resumed; and
 - (b) Any Extra Expense that is paid for by other insurance.
- (8) You must resume all or part of your "computer operations" as quickly as possible. We will reduce the amount of your Business Income loss, other than Extra Expense, to the extent you can resume "computer operations", in whole, or in part, by using any other available means to continue your "computer operations".
- (9) We will not pay for any loss of Business Income or incurred Extra Expense related to:
 - (a) An interruption related to manipulation of a "computer" system (including "electronic data") by any "employee", including a temporary or leased "employee", or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.



- (b) Theft, observation, publication, unauthorized access to or loss of confidentiality of your "electronic data" or "electronic data" of others in your care, custody or control.
- (c) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the interruption of "computer operations", we will cover such loss that affects your Business Income during the "computer operations period of restoration".
- (d) Any other consequential loss.

(10) A waiting period may apply; however, no other deductible applies to this Coverage Extension.

(11) The most we will pay for all occurrences in any one "policy year" under this Coverage Extension is the Limit of Insurance shown in the Declarations for Interruption Of Computer Operations.

If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in, but not after, that "policy year". With respect to an occurrence which begins in one "policy year" and continues or results in additional loss or damage in a subsequent "policy year(s)", all loss or damage is deemed to be sustained in the "policy year" in which the occurrence began.

B. The following changes are made to Section G., PROPERTY DEFINITIONS:

1. The following definition is added:

"Computer operations" means the use of your "computer" or "computers" of others in your care, custody or control that enables you to conduct your business activities whether such "computer" is located at or away from the "scheduled premises".

2. The following definition is added:

"Computer operations period of restoration" means:

a. The period of time that:

(1) Begins:

(a) The number of hours stated in the Declarations after the destruction or corruption of "electronic data" for Business Income Coverage; or

(b) Immediately upon (or after) the destruction or corruption of "electronic data" for Extra Expense Coverage;

and;

(2) Ends on the earlier of:

(a) The date when the "electronic data" should be replaced or restored with reasonable speed and similar quality; or

(b) The exhaustion of the number of consecutive months as shown in the Declarations.

The expiration date of this Policy will not cut short the "computer operations period of restoration".

3. The following definition is added:

"Policy year" means the period of time that:

a. Begins with the inception or anniversary date of this Coverage Part; and

b. Ends at the expiration or at the next anniversary date of this Coverage Part.



THEFT DAMAGE TO BUILDING

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.5., Additional Coverages**, of the Special Property Coverage Form:

Theft Damage to Building

- (1)** This Additional Coverage applies only to premises where you are a tenant and are responsible in the lease for physical loss or physical damage to the building you lease, rent, or occupy that is caused by or results from "theft", burglary or robbery.
- (2)** We will pay for direct physical loss or direct physical damage directly resulting from "theft", burglary or robbery (except loss by fire or explosion) to a building:
 - (a)** You occupy, including personal property that is used to maintain or service the building; or
 - (b)** Containing covered personal property but only if you are legally liable for such physical loss or physical damage to the building.

But we will not pay for such physical loss of or physical damage to property that is away from the "scheduled premises".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



LEASEHOLD IMPROVEMENTS

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

The following is added to Paragraph **A.6., Coverage Extensions**, of the Special Property Coverage Form:

Leasehold Improvements

- (1) If your lease is cancelled in accordance with a valid lease provision as the direct result of a Covered Cause of Loss to property at the location in which you are a tenant, and you cannot legally remove "tenant improvements and betterments", we will extend Business Personal Property coverage to apply to the unamortized value of "tenant improvements and betterments" that remain and that you were forced to abandon.
- (2) The most we will pay in any one occurrence under this Coverage Extension is the Limit of Insurance shown in the Declarations for Leasehold Improvements.



CYBER VIRUS AND MALWARE COVERAGE

This endorsement modifies insurance provided under the following:

SPECIAL PROPERTY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Paragraph A.6., Coverage Extensions:

Cyber Virus and Malware Coverage

(1) We will pay for:

- (a)** The cost to replace or restore your "electronic data" or "electronic data" of others which is in your care, custody or control which has been destroyed or corrupted; and
- (b)** The actual loss of Business Income you sustain and necessary Extra Expense you incur during the "computer operations period of restoration" due to a suspension of your "computer operations" caused by destruction or corruption of your "electronic data" or "electronic data" of others in your care, custody or control;

Due to a "computer" virus, malware, harmful code or similar instruction introduced into or enacted on your "computer" system (including "electronic data") or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation.

For the purposes of this coverage grant, destruction and corruption does not mean the encryption of data, whether done intentionally or unintentionally.

(2) Valuation of Electronic Data

- (a)** Loss or damage to "electronic data" will be valued at the actual, reasonable and necessary costs you incur to restore or replace the "electronic data". But we will not pay the cost or expenses you incur to:
 - (i)** Identify or remediate any errors or vulnerabilities or to update, restore, replace, upgrade, maintain or improve any "computer" or "computer" system;
 - (ii)** Update, replace, restore or improve any "electronic data" to a level beyond the condition in which it existed immediately preceding the loss or damage; or
 - (iii)** Duplicate research that led to the development of your "electronic data" or any proprietary or confidential information or intellectual property in any form.
- (b)** To the extent that "electronic data" is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the "electronic data" was stored, with blank media of substantially identical type.
- (c)** If you recover from a licenser, lessor or any other party for loss or damage to "electronic data", our loss payment to you will be reduced by the amount of such recovery.

(3) Provisions Applying to Business Income and Extra Expense

- (a)** Business Income means the:
 - (i)** Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if "computer operations" had not been interrupted, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable conditions caused by the impact of the "computer" virus, malware, harmful code or similar instruction on customers or on other businesses; and
 - (ii)** Continuing normal operating expenses incurred, including payroll expenses.
- (b)** Payroll expenses include:



- (i) Payroll;
 - (ii) Employee benefits; if directly related to payroll;
 - (iii) FICA payments you pay;
 - (iv) Union dues you pay; and
 - (v) Workers' compensation premiums.
 - (c) Extra Expense means expense incurred:
 - (i) To avoid or minimize the interruption of business and to continue "computer operations"; or
 - (ii) To minimize the interruption of business if you cannot continue "computer operations"; or to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Extension.
 - (d) Extra Expense does not apply to:
 - (i) Any deficiencies in insuring Building, Business Personal Property or Electronic Data; or
 - (ii) Any expense related to any recall of products you manufacture, handle or distribute.
 - (e) With respect to the coverage provided in this Coverage Extension, suspension means the partial slowdown or complete cessation of your "computer operations".
 - (f) We will deduct from the total Extra Expense to be paid:
 - (i) The salvage value that remains of any property bought for temporary use during the "computer operations period of restoration", once "computer operations" are resumed; and
 - (ii) Any Extra Expense that is paid for by other insurance.
 - (g) You must resume all or part of your "computer operations" as quickly as possible. We will reduce the amount of your Business Income loss, other than Extra Expense, to the extent you can resume "computer operations", in whole, or in part, by using any other available means to continue your "computer operations".
- (4) Exclusions**
- (a) **Paragraph 1.j., Electronic Vandalism or Corruption of "Electronic Data" or Corruption of "Computer(s)"**, of Section B., **EXCLUSIONS**, does not apply to the coverage provided in this Coverage Extension.
 - (b) This Coverage Extension does not apply to your "stock" of prepackaged software.
 - (c) We will not pay for any loss, damage, loss of Business Income or incurred Extra Expense caused by or resulting from:
 - (i) "Ransomware" or a "cyber extortion event" unless a Limit of Insurance for Digital Ransom and Extortion shown in the Declarations.
 - (ii) Theft, observation, publication, unauthorized access to or loss of confidentiality of your "electronic data" or "electronic data" of others in your care, custody or control.
 - (iii) Unexplained or indeterminable failure, malfunction or slowdown of a "computer" system, including "electronic data".
 - (iv) Complete or substantial failure, disablement or shutdown of the internet, regardless of cause;
 - (v) The inability to access your "electronic data" due to a "computer" virus, malware, harmful code or similar instruction introduced into or enacted on a "computer" system (including "electronic data") or a network that is not in your direct control.
 - (vi) Manipulation of a "computer" system (including "electronic data") by any "employee", including a temporary or leased "employee", or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.



(vii) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the interruption of "computer operations", we will cover such loss that affects your Business Income during the "computer operations period of restoration".

(viii) The inability of a "computer" system to correctly recognize, process, distinguish, interpret or accept one or more dates or times.

(ix) Any other consequential loss

(5) Limits of Insurance

(a) The most we will pay for all occurrences in any one "policy year" under this Coverage Extension is the Limit of Insurance shown in the Declarations for Cyber Virus and Malware Coverage.

(b) If loss payment on the first occurrence does not exhaust this amount, then the remaining balance is available for subsequent loss or damage sustained in, but not after, that "policy year". With respect to an occurrence which begins in one "policy year" and continues or results in additional loss or damage in a subsequent "policy year(s)", all loss or damage is deemed to be sustained in the "policy year" in which the occurrence began.

(c) A waiting period may apply to Business Income coverage provided by this Coverage Extension. If applicable, the waiting period will appear in the Declarations.

(d) If a Limit of Insurance is shown in the Declarations for Digital Ransom and Extortion Threats Coverage this limit is the most we will pay in any one "policy year" for all occurrences caused by or resulting from a "cyber extortion event" or "ransomware". This limit is contained within and is not separate from the Limit of Insurance for Cyber Virus and Malware Coverage.

(6) Digital Ransom and Extortion Threats – Optional Coverage

When a Limit of Insurance is shown in the Declarations for Digital Ransom and Extortion Threats Coverage, we will pay for:

(a) The cost to replace or restore your "electronic data" or "electronic data" of others which is in your care, custody or control which has been destroyed or encrypted due to "ransomware"; and

(b) The actual loss of Business Income you sustain and necessary Extra Expense you incur during the "computer operations period of restoration" due to a suspension of your "computer operations" caused by:

(i) A "cyber extortion event" introduced into or enacted on your "computer" system (including "electronic data"); or

(ii) The destruction or encryption of your "electronic data" or "electronic data" of others in your care, custody or control due to "ransomware";

When a Limit of Insurance is shown in the Declarations for Digital Ransom and Extortion Threats Coverage, Exclusions (4)(i) and (4)(v) above do not apply to loss resulting from "ransomware" or a "cyber extortion event".

B. The following changes are made to Section G., PROPERTY DEFINITIONS:

1. The following definition is added:

"Computer operations" means the use of your "computer" or "computers" of others in your care, custody or control that enables you to conduct your business activities whether such "computer" is located at or away from the "scheduled premises".

2. The following definition is added:

"Computer operations period of restoration" means:

a. The period of time that:

(1) Begins:

(a) The number of hours stated in the Declarations after the start of the interruption in your "computer operations" for Business Income Coverage; or



(b) Immediately following the interruption in your "computer operations" for Extra Expense Coverage; and;

(2) Ends on the earlier of:

- (a)** The date when you are able to resume your "computer operations" with reasonable speed; or
- (b)** The exhaustion of the number of consecutive months as shown in the Declarations.

The expiration date of this Policy will not cut short the "computer operations period of restoration".

3. The following definition is added:

"Cyber extortion event" means a demand for payment, exchange of service or item of value, resulting from an act, threat or series of related acts or threats to:

- a.** Destroy or delete your "electronic data", including trade secret or proprietary information that you hold within your "electronic data";
- b.** Inflict a virus, malware, malicious code, or similar instruction on your "computer" system
- c.** Deploy "ransomware" on your "computer" system.

4. The following definition is added:

"Policy year" means the period of time that:

- a.** Begins with the inception or anniversary date of this Coverage Part; and
- b.** Ends at the expiration or at the next anniversary date of this Coverage Part.

5. The following definition is added:

"Ransomware" means any software that encrypts "electronic data" held within a "computer" system and demands a ransom payment in order to decrypt such "electronic data".



BUSINESS LIABILITY COVERAGE FORM

READ YOUR POLICY CAREFULLY

QUICK REFERENCE

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BUSINESS LIABILITY COVERAGE FORM

Various provisions in this Policy restrict coverage. Read the entire Policy carefully to determine rights, duties and what is and is not covered.

Throughout this Coverage Part the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the insurance company shown in the Declarations.

"Policy period", as used in this Coverage Part, means the period from the effective date of this Coverage Part to the expiration date of the Coverage Part as stated in the Declarations or the date of cancellation, whichever is earlier.

The word "insured" means any person or organization qualifying as such under Section **C. Who Is An Insured**.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **F. Liability And Medical Expenses Definitions**.

A. COVERAGES

1. Business Liability Coverage (Bodily Injury, Property Damage, Personal And Advertising Injury) Insuring Agreement

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury", "property damage" or "personal and advertising injury" to which this insurance does not apply.

We may, at our discretion, investigate any "occurrence" or offense and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Section **D. Liability And Medical Expenses Limits Of Insurance**; and
- (2) Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments, settlements or medical expenses to which this insurance applies.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Coverage Extension - Supplementary Payments.

- b. This insurance applies:

- (1) To "bodily injury" and "property damage" only if:

- (a) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";
- (b) The "bodily injury" or "property damage" occurs during the policy period; and
- (c) Prior to the policy period, no insured listed under Paragraph **1.** of Section **C. Who Is An Insured** and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

- (2) To "personal and advertising injury" caused by an offense arising out of your business, but only if the offense was committed in the "coverage territory" during the policy period.

- c. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph **1.** of Section **C. Who Is An Insured** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:

- (1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;
- (2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or



(3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

d. Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

e. Incidental Medical Malpractice

(1) "Bodily injury" arising out of the rendering of or failure to render professional health care services as a physician, dentist, nurse, emergency medical technician or paramedic shall be deemed to be caused by an "occurrence", but only if:

(a) The physician, dentist, nurse, emergency medical technician or paramedic is employed by you to provide such services; and

(b) You are not engaged in the business or occupation of providing such services.

(2) For the purpose of determining the limits of insurance for incidental medical malpractice, any act or omission together with all related acts or omissions in the furnishing of these services to any one person will be considered one "occurrence".

2. Medical Expenses

Insuring Agreement

a. We will pay medical expenses as described below for "bodily injury" caused by an accident:

(1) On premises you own or rent;

(2) On ways next to premises you own or rent; or

(3) Because of your operations;

provided that:

(1) The accident takes place in the "coverage territory" and during the policy period;

(2) The expenses are incurred and reported to us within three years of the date of the accident; and

(3) The injured person submits to examination, at our expense, by physicians of our choice as often as we reasonably require.

b. We will make these payments regardless of fault. These payments will not exceed the applicable limit of insurance. We will pay reasonable expenses for:

(1) First aid administered at the time of an accident;

(2) Necessary medical, surgical, x-ray and dental services, including prosthetic devices; and

(3) Necessary ambulance, hospital, professional nursing and funeral services.

3. Coverage Extension - Supplementary Payments

a. We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

(1) All expenses we incur.

(2) Up to \$1,000 for the cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which Business Liability Coverage for "bodily injury" applies. We do not have to furnish these bonds.

(3) The cost of appeal bonds or bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish, finance, arrange for, guarantee, or collateralize these bonds, whether the collateralization is characterized as premium or not.

(4) All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$500 a day because of time off from work.

(5) All court costs taxed against the insured in the "suit". However, such costs do not include attorneys' fees, attorneys' expenses, witness or expert fees, or any other expenses of a party taxed against the insured.

(6) Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.



- (7) All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

Any amounts paid under (1) through (7) above will not reduce the Limits of Insurance.

- b. If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:

- (1) The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";
- (2) This insurance applies to such liability assumed by the insured;
- (3) The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";
- (4) The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interest of the indemnitee;
- (5) The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and
- (6) The indemnitee:
 - (a) Agrees in writing to:
 - (i) Cooperate with us in the investigation, settlement or defense of the "suit";
 - (ii) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";
 - (iii) Notify any other insurer whose coverage is available to the indemnitee; and
 - (iv) Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and
 - (b) Provides us with written authorization to:
 - (i) Obtain records and other information related to the "suit"; and
 - (ii) Conduct and control the defense of the indemnitee in such "suit".

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments.

Notwithstanding the provisions of Paragraph 1.b.(b) of Section B. Exclusions, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the Limits of Insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when:

- (1) We have used up the applicable limit of insurance in the payment of judgments or settlements; or
- (2) The conditions set forth above, or the terms of the agreement described in Paragraph (6) above, are no longer met.

B. EXCLUSIONS

1. Applicable To Business Liability Coverage

This insurance does not apply to:

a. Expected Or Intended Injury

- (1) "Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force to protect persons or property; or
- (2) "Personal and advertising injury" arising out of an offense committed by, at the direction of or with the consent or acquiescence of the insured with the expectation of inflicting "personal and advertising injury".

b. Contractual Liability

- (1) "Bodily injury" or "property damage"; or
- (2) "Personal and advertising injury"

for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement.

This exclusion does not apply to liability for damages because of:

- (a) "Bodily injury", "property damage" or "personal and advertising injury" that the insured would have in the absence of the contract or agreement; or
- (b) "Bodily injury" or "property damage" assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purpose of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage" provided:
 - (i) Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and
 - (ii) Such attorneys' fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol;
- (3) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol; or
- (4) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "bodily injury" or "property damage" involved that which is described in Paragraph (1), (2), (3) or (4) above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving, or furnishing alcoholic beverages.

d. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

e. Employer's Liability

"Bodily injury" to:

- (1) An "employee" of the insured arising out of and in the course of:
 - (a) Employment by the insured; or
 - (b) Performing duties related to the conduct of the insured's business; or
- (2) The spouse, child, parent, brother or sister of that "employee" as a consequence of (1) above.

This exclusion applies:

- (1) Whether the insured may be liable as an employer or in any other capacity; and
- (2) To any obligation to share damages with or repay someone else who must pay damages because of the injury.



This exclusion does not apply to liability assumed by the insured under an "insured contract".

f. Pollution

- (1) "Bodily injury", "property damage" or "personal and advertising injury" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":
- (a) At or from any premises, site or location which is or was at any time owned or occupied by, or rented or loaned to any insured. However, this paragraph does not apply to:
 - (i) "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests;
 - (ii) "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to this Coverage Part as an additional insured with respect to your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured; or
 - (iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";
 - (b) At or from any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;
 - (c) Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for:
 - (i) Any insured; or
 - (ii) Any person or organization for whom you may be legally responsible;
 - (d) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured, contractor or subcontractor. However, this paragraph does not apply to:
 - (i) "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured, contractor or subcontractor;
 - (ii) "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or
 - (iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire"; or
 - (e) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".
- (2) Any loss, cost or expense arising out of any:
- (a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
 - (b) Claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".



However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement, or such claim or "suit" by or on behalf of a governmental authority.

g. Aircraft, Auto Or Watercraft

(1) Unmanned Aircraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This Exclusion **g.(1)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "bodily injury" or "property damage" arises out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

(2) Aircraft (Other Than Unmanned Aircraft), Auto or Watercraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft"), "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This Exclusion **g.(2)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "bodily injury" or "property damage" arises out of the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft"), "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This Exclusion **g.(2)** does not apply to:

- (a)** A watercraft while ashore on premises you own or rent;
- (b)** A watercraft you do not own that is:
 - (i)** Less than 51 feet long; and
 - (ii)** Not being used to carry persons or property for a charge;
- (c)** Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;
- (d)** Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft (other than "unmanned aircraft") or watercraft;
- (e)** "Bodily injury" or "property damage" arising out of:
 - (i)** The operation of any of the machinery or equipment listed in Paragraph **f.(2)** or **f.(3)** of the definition of "mobile equipment"; or
 - (ii)** The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where it is licensed or principally garaged; or
- (f)** An aircraft (other than "unmanned aircraft") that is not owned by any insured and is hired, chartered or loaned with a paid crew. However, this exception does not apply if the insured has any other insurance for such "bodily injury" or "property damage", whether the other insurance is primary, excess, contingent or on any other basis.

h. Mobile Equipment

"Bodily injury" or "property damage" arising out of:

- (1)** The transportation of "mobile equipment" by an "auto" owned or operated by or rented or loaned to any insured; or
- (2)** The use of "mobile equipment" in, or while in practice or preparation for, a prearranged racing, speed or demolition contest or in any stunting activity.

i. War

"Bodily injury", "property damage" or "personal and advertising injury", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

j. Professional Services

"Bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of or failure to render any professional service. This includes but is not limited to:

- (1) Legal, accounting or advertising services;
- (2) Preparing, approving, or failing to prepare or approve maps, shop drawings, opinions, reports, surveys, field orders, change orders, designs or drawings and specifications;
- (3) Supervisory, inspection, architectural or engineering activities;
- (4) Medical, surgical, dental, x-ray or nursing services, treatment, advice or instruction;
- (5) Any health or therapeutic service treatment, advice or instruction;
- (6) Any service, treatment, advice or instruction for the purpose of appearance or skin enhancement, hair removal or replacement or personal grooming;
- (7) Optical or hearing aid services including the prescribing, preparation, fitting, demonstration or distribution of ophthalmic lenses and similar products or hearing aid devices;
- (8) Optometry or optometric services including but not limited to examination of the eyes and the prescribing, preparation, fitting, demonstration or distribution of ophthalmic lenses and similar products;
- (9) Any:
 - (a) Body piercing (not including ear piercing);
 - (b) Tattooing, including but not limited to the insertion of pigments into or under the skin; and
 - (c) Similar services;
- (10) Pharmaceutical services including but not limited to:
 - (a) The administering, prescribing, preparing, distributing or compounding of pharmaceutical drugs, vaccinations, immunizations or any of their component parts;
 - (b) The providing of or failure to provide home health care or home infusion products or services; and
 - (c) Advising and consulting customers;
- (11) Computer consulting, design or programming services, including web site design.

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "bodily injury", "property damage", or "personal and advertising injury" arises out of the rendering of or the failure to render any professional service.

Paragraphs (4) and (5) of this exclusion do not apply to the Incidental Medical Malpractice coverage afforded under Paragraph 1.e. in Section A. Coverages.

k. Damage To Property

"Property damage" to:

- (1) Property you own, rent or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;

- (3) Property loaned to you;
- (4) Personal property in the care, custody or control of the insured;
- (5) That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or
- (6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs (1), (3) and (4) of this exclusion do not apply to "property damage" (other than damage by fire) to premises, including the contents of such premises, rented to you for a period of 7 or fewer consecutive days. A separate limit of insurance applies to Damage To Premises Rented To You as described in Section D. Limits Of Insurance.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3) and (4) of this exclusion do not apply to the use of elevators.

Paragraphs (3), (4), (5) and (6) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraphs (3) and (4) of this exclusion do not apply to "property damage" to borrowed equipment while not being used to perform operations at a job site.

Paragraph (6) of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

l. Damage To Your Product

"Property damage" to "your product" arising out of it or any part of it.

m. Damage To Your Work

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

n. Damage To Impaired Property Or Property Not Physically Injured

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

- (1) A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or
- (2) A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

o. Recall Of Products, Work Or Impaired Property

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

- (1) "Your product";
- (2) "Your work"; or
- (3) "Impaired property";

if such product, work or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

p. Personal And Advertising Injury

"Personal and advertising injury":

- (1) Arising out of oral, written, electronic, or any other manner of publication of material, if done by or at the direction of the insured with knowledge of its falsity;



- (2) Arising out of oral, written, electronic, or any other manner of publication of material whose first publication took place before the beginning of the policy period;
- (3) Arising out of a criminal act committed by or at the direction of the insured;
- (4) Arising out of any breach of contract, except an implied contract to use another's "advertising idea" in your "advertisement";
- (5) Arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement";
- (6) Arising out of the wrong description of the price of goods, products or services;
- (7) Arising out of:
 - (a) Any actual or alleged infringement or violation of any intellectual property rights, such as copyright, patent, right of publicity, trademark, trade dress, trade name, trade secret, service mark or other designation of origin or authenticity; or
 - (b) Any injury or damage alleged in any claim or "suit" that also alleges an infringement or violation of any intellectual property right, whether such allegation of infringement or violation is made against you, or by you or by any other party involved in the claim or "suit", regardless of whether this insurance would otherwise apply.

However, this exclusion does not apply if the only allegation in the claim or "suit" involving any intellectual property right is limited to:

- (i) Infringement, in your "advertisement", of:
 - a. Copyright;
 - b. Slogan; unless the slogan is also a trademark, trade dress, trade name, service mark or other designation of origin or authenticity; or
 - c. Title of any literary or artistic work; or
- (ii) Copying, in your "advertisement", a person's or organization's "advertising idea" or style of "advertisement".

Paragraph (7)(b)ii above shall not apply to claims or "suits" alleging infringement or violation of trademark, trade dress, trade name, service mark or other designation of origin or authenticity.

- (8) Arising out of an offense committed by an insured whose business is:

- (a) Advertising, broadcasting, publishing or telecasting;
- (b) Designing or determining content of web sites for others; or
- (c) An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs a., b. and c. under the definition of "personal and advertising injury" in Section F. Liability And Medical Expenses Definitions.

For the purposes of this exclusion, the placing of frames, borders, or links, or advertising, for you or others anywhere on the Internet, is not by itself, considered the business of advertising, broadcasting, publishing or telecasting;

- (9) Arising out of an electronic chat room or bulletin board the insured hosts, owns, or over which the insured exercises control;
- (10) Arising out of the unauthorized use of another's name or product in your e-mail address, domain name or metatags, or any other similar tactics to mislead another's potential customers;
- (11) Arising out of the violation of a person's right of privacy created by any state or federal act.

However, this exclusion does not apply to liability for damages that the insured would have in the absence of such state or federal act;

- (12) Arising out of:

- (a) Advertising content for others on your web site;
- (b) Placing a link to a web site of others on your web site;

(c) Content from a web site of others displayed within a frame or border on your web site. Content includes information, code, sounds, text, graphics or images; or

(d) Computer code, software or programming used to enable:

(i) Your web site; or

(ii) The presentation or functionality of an "advertisement" or other content on your web site;

(13) Arising out of a violation of any anti-trust law;

(14) Arising out of the fluctuation in price or value of any stocks, bonds or other securities;

(15) Arising out of any access to or disclosure of any person's or organization's confidential or personal information, including patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information.

This exclusion applies even if damages are claimed for notification costs, credit monitoring expenses, forensic expenses, public relations expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal information; or

(16) Arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "personal and advertising injury" arises out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

However, this exclusion does not apply if the only allegation in the claim or "suit" involves an intellectual property right which is limited to:

(a) Infringement, in your "advertisement", of:

(i) Copyright;

(ii) Slogan; or

(iii) Title of any literary or artistic work; or

(b) Copying, in your "advertisement", a person's or organization's "advertising idea" or style of "advertisement".

q. Access Or Disclosure Of Confidential Or Personal Information And Data-Related Liability

(1) Damages because of "bodily injury" or "property damage" arising out of any access to or disclosure of any person's or organization's confidential or personal information, including patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information; or

(2) Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate "electronic data".

This exclusion applies even if such damages are claimed for notification costs, credit monitoring expenses, forensic expenses, public relations expenses or any other loss, cost or expense incurred by you or others arising out of that which is described in Paragraphs (1) or (2) above.

However, unless Paragraph (1) above applies, this exclusion does not apply to damages because of "bodily injury".

r. Employment-Related Practices

"Bodily injury" or "personal and advertising injury" to:

(1) A person arising out of any:

(a) Refusal to employ that person;

(b) Termination of that person's employment; or

- (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination, malicious prosecution or false arrest directed at that person; or
- (2) The spouse, child, parent, brother or sister of that person as a consequence of "bodily injury" or "personal and advertising injury" to that person at whom any of the employment-related practices described in Paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (1) Whether the injury-causing event described in Paragraphs (a), (b), or (c) above occurs before employment, during employment or after employment of that person;
- (2) Whether the insured may be liable as an employer or in any other capacity; and
- (3) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

s. Asbestos

- (1) "Bodily injury", "property damage" or "personal and advertising injury" arising out of the "asbestos hazard".
- (2) Any damages, judgments, settlements, loss, costs or expenses that:
 - (a) May be awarded or incurred by reason of any claim or "suit" alleging actual or threatened injury or damage of any nature or kind to persons or property which would not have occurred in whole or in part but for the "asbestos hazard";
 - (b) Arise out of any request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, encapsulate, contain, treat, detoxify or neutralize or in any way respond to or assess the effects of an "asbestos hazard"; or
 - (c) Arise out of any claim or "suit" for damages because of testing for, monitoring, cleaning up, removing, encapsulating, containing, treating, detoxifying or neutralizing or in any way responding to or assessing the effects of an "asbestos hazard".

t. Recording And Distribution Of Material Or Information In Violation Of Law

"Bodily injury", "property damage", or "personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

- (1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;
- (2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;
- (3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transaction Act (FACTA); or
- (4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

Damage To Premises Rented To You – Exception For Damage By Fire, Lightning Or Explosion

Exclusions c. through h. and k. through o. do not apply to damage by fire, lightning or explosion to premises rented to you or temporarily occupied by you with permission of the owner. A separate limit of insurance applies to this coverage as described in Section D. Liability And Medical Expenses Limits Of Insurance.

2. Applicable To Medical Expenses Coverage

We will not pay expenses for "bodily injury":

a. Any Insured

To any insured, except "volunteer workers".

b. Hired Person

To a person hired to do work for or on behalf of any insured or a tenant of any insured.

c. Injury On Normally Occupied Premises

To a person injured on that part of premises you own or rent that the person normally occupies.

d. Workers' Compensation And Similar Laws

To a person, whether or not an "employee" of any insured, if benefits for the "bodily injury" are payable or must be provided under a workers' compensation or disability benefits law or a similar law.

e. Athletics Activities

To a person injured while practicing, instructing or participating in any physical exercises or games, sports or athletic contests.

f. Products-Completed Operations Hazard

Included with the "products-completed operations hazard".

g. Business Liability Exclusions

Excluded under Business Liability Coverage.

C. WHO IS AN INSURED

1. If you are designated in the Declarations as:

- a.** An individual, you and your spouse are insureds, but only with respect to the conduct of a business, other than that described in **b.** through **e.** below, of which you are the sole owner.
- b.** A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.
- c.** A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.
- d.** An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
- e.** A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

2. Each of the following is also an insured:

a. Employees And Volunteer Workers

Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business.

However, none of these "employees" or "volunteer workers" are insureds for:

(1) "Bodily injury" or "personal and advertising injury":

- (a)** To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), or to a co-"employee" while in the course of his or her employment or performing duties related to the conduct of your business, or to your other "volunteer workers" while performing duties related to the conduct of your business;
- (b)** To the spouse, child, parent, brother or sister of that co-"employee" or that "volunteer worker" as a consequence of Paragraph **(1)(a)** above;
- (c)** For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraphs **(1)(a)** or **(b)** above; or
- (d)** Arising out of his or her providing or failing to provide professional health care services.

If you are not in the business of providing professional health care services, Paragraph **(d)** does not apply to any nurse, emergency medical technician or paramedic employed by you to provide such services.

(2) "Property damage" to property:



(a) Owned, occupied or used by:

(b) Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

b. Real Estate Manager

Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.

c. Temporary Custodians Of Your Property

Any person or organization having proper temporary custody of your property if you die, but only:

(1) With respect to liability arising out of the maintenance or use of that property; and

(2) Until your legal representative has been appointed.

d. Legal Representative If You Die

Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this insurance.

e. Unnamed Subsidiary

Any subsidiary and subsidiary thereof, of yours which is a legally incorporated entity of which you own a financial interest of more than 50% of the voting stock on the effective date of this Coverage Part.

The insurance afforded herein for any subsidiary not shown in the Declarations as a named insured does not apply to injury or damage with respect to which an insured under this insurance is also an insured under another policy or would be an insured under such policy but for its termination or upon the exhaustion of its limits of insurance.

3. Newly Acquired Or Formed Organization

Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain financial interest of more than 50% of the voting stock, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

a. Coverage under this provision is afforded only until the 180th day after you acquire or form the organization or the end of the policy period, whichever is earlier; and

b. Coverage under this provision does not apply to:

(1) "Bodily injury" or "property damage" that occurred; or

(2) "Personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.

4. Operator Of Mobile Equipment

With respect to "mobile equipment" any person is an insured while driving such equipment along a public highway with your permission. Any other person or organization responsible for the conduct of such person is also an insured, but only with respect to liability arising out of the operation of the equipment, and only if no other insurance of any kind is available to that person or organization for this liability. However, no person or organization is an insured with respect to:

a. "Bodily injury" to a co-"employee" of the person driving the equipment; or

b. "Property damage" to property owned by, rented to, in the charge of or occupied by you or the employer of any person who is an insured under this provision.

5. Operator Of Nonowned Watercraft

With respect to watercraft you do not own that is less than 51 feet long and is not being used to carry persons or property for a charge, any person is an insured while operating such watercraft with your permission. Any other person or organization responsible for the conduct of such person is also an insured, but only with respect to liability arising out of the operation of the watercraft, and only if no other insurance of any kind is available to that person or organization for this liability.

However, no person or organization is an insured with respect to:



- a. "Bodily injury" to a co-"employee" of the person operating the watercraft; or
- b. "Property damage" to property owned by, rented to, in the charge of or occupied by you or the employer of any person who is an insured under this provision.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

D. LIABILITY AND MEDICAL EXPENSES LIMITS OF INSURANCE

1. The Most We Will Pay

The Limits of Insurance shown in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a. Insureds;
- b. Claims made or "suits" brought; or
- c. Persons or organizations making claims or bringing "suits".

2. Aggregate Limits

The most we will pay for:

- a. Damages because of "bodily injury" and "property damage" included in the "products-completed operations hazard" is the Products-Completed Operations Aggregate Limit shown in the Declarations.
- b. Damages because of all other "bodily injury", "property damage" or "personal and advertising injury", including medical expenses, is the General Aggregate Limit shown in the Declarations.

This General Aggregate limit does not apply to "property damage" to premises while rented to you or temporarily occupied by you with permission of the owner, arising out of fire, lightning or explosion.

3. Each Occurrence Limit

Subject to **2.a.** or **2.b.** above, whichever applies, the most we will pay for the sum of all damages because of all "bodily injury", "property damage" and medical expenses arising out of any one "occurrence" is the Liability and Medical Expenses Limit shown in the Declarations.

The most we will pay for all medical expenses because of "bodily injury" sustained by any one person is the Medical Expenses Limit shown in the Declarations.

4. Personal And Advertising Injury Limit

Subject to **2.b.** above, the most we will pay for the sum of all damages because of all "personal and advertising injury" sustained by any one person or organization is the Personal and Advertising Injury Limit shown in the Declarations.

5. Damage To Premises Rented To You Limit

The Damage To Premises Rented To You Limit is the most we will pay under Business Liability Coverage for damages because of "property damage" to any one premises, while rented to you, or in the case of damage by fire, lightning or explosion, while rented to you or temporarily occupied by you with permission of the owner.

In the case of damage by fire, lightning or explosion, the Damage to Premises Rented To You Limit applies to all damage proximately caused by the same event, whether such damage results from fire, lightning or explosion or any combination of these.

6. How Limits Apply To Additional Insureds

The most we will pay on behalf of a person or organization who is an additional insured under this Coverage Part is the lesser of:

- a. The limits of insurance required in a written contract, written agreement or permit; or
- b. The Limits of Insurance shown in the Declarations.

Such amount shall be a part of and not in addition to the Limits of Insurance shown in the Declarations and described in this Section.

If more than one limit of insurance under this Policy and any endorsements attached thereto applies to any claim or "suit", the most we will pay under this Policy and the endorsements is the single highest limit of liability of all



coverages applicable to such claim or "suit". However, this paragraph does not apply to the Medical Expenses limit set forth in Paragraph 3. above.

The Limits of Insurance of this Coverage Part apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

E. LIABILITY AND MEDICAL EXPENSES GENERAL CONDITIONS

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this Coverage Part.

2. Duties In The Event Of Occurrence, Offense, Claim Or Suit

a. Notice Of Occurrence Or Offense

You or any additional insured under this Coverage Part must see to it that we are notified as soon as practicable of an "occurrence" or an offense which may result in a claim. To the extent possible, notice should include:

- (1) How, when and where the "occurrence" or offense took place;
- (2) The names and addresses of any injured persons and witnesses; and
- (3) The nature and location of any injury or damage arising out of the "occurrence" or offense.

b. Notice Of Claim

If a claim is made or "suit" is brought against any insured, you or any additional insured under this Coverage Part must:

- (1) Immediately record the specifics of the claim or "suit" and the date received; and
- (2) Notify us as soon as practicable.

You or any additional insured under this Coverage Part must see to it that we receive a written notice of the claim or "suit" as soon as practicable.

c. Assistance And Cooperation Of The Insured

You and any other involved insured must:

- (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
- (2) Authorize us to obtain records and other information;
- (3) Cooperate with us in the investigation, settlement of the claim or defense against the "suit"; and
- (4) Assist us, upon our request, in the enforcement of any right against any person or organization that may be liable to the insured because of injury or damage to which this insurance may also apply.

d. Obligations At The Insured's Own Cost

No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

e. Additional Insured's Other Insurance

If we cover a claim or "suit" under this Coverage Part that may also be covered by other insurance available to an additional insured under this Coverage Part, such additional insured must submit such claim or "suit" to the other insurer for defense and indemnity.

However, this provision does not apply to the extent that you have agreed in a written contract, written agreement or permit that this insurance is primary and non-contributory with such additional insured's own insurance.

f. Knowledge Of An Occurrence, Offense, Claim Or Suit

Paragraphs a. and b. apply to you or to any additional insured under this Coverage Part only when such "occurrence", offense, claim or "suit" is known to:



- (1) You or any additional insured under this Coverage Part that is an individual;
- (2) Any partner, if you or an additional insured under this Coverage Part is a partnership;
- (3) Any manager, if you or an additional insured under this Coverage Part is a limited liability company;
- (4) Any "executive officer" or insurance manager, if you or an additional insured under this Coverage Part is a corporation;
- (5) Any trustee, if you or an additional insured under this Coverage Part is a trust; or
- (6) Any elected or appointed official, if you or an additional insured under this Coverage Part is a political subdivision or public entity.

This Paragraph f. applies separately to you and any additional insured under this Coverage Part.

3. Legal action Against Us

No person or organization has a right under this Coverage Part:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- b. To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this insurance or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Separation Of Insureds

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this Policy to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured; and
- b. Separately to each insured against whom a claim is made or "suit" is brought.

5. Representations

a. When You Accept This Policy

By accepting this Policy, you agree:

- (1) The statements in the Declarations are accurate and complete;
- (2) Those statements are based upon representations you made to us; and
- (3) We have issued this Policy in reliance upon your representations.

b. Unintentional Failure To Disclose Hazards

If unintentionally you should fail to disclose all hazards relating to the conduct of your business at the inception date of this Coverage Part, we shall not deny any coverage under this Coverage Part because of such failure.

6. Other Insurance

If other valid and collectible insurance is available for a loss we cover under this Coverage Part, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary except when **b.** below applies. If other insurance is also primary, we will share with all that other insurance by the method described in **c.** below.

b. Excess Insurance

This insurance is excess over any of the other insurance, whether primary, excess, contingent or on any other basis:

(1) Your Work

That is Fire, Extended Coverage, Builder's Risk, Installation Risk, Owner Controlled Insurance Program or OCIP, Contractor Controlled Insurance Program or CCIP, Wrap Up Insurance or similar coverage for "your work";

(2) Premises Rented To You

That is fire, lightning or explosion insurance for premises rented to you or temporarily occupied by you with permission of the owner;

(3) Tenant Liability

That is insurance purchased by you to cover your liability as a tenant for "property damage" to premises rented to you or temporarily occupied by you with permission of the owner;

(4) Aircraft, Auto Or Watercraft

If the loss arises out of the maintenance or use of aircraft, "autos" or watercraft to the extent not subject to Exclusion **g.** of Section **B.** Exclusions.

(5) Property Damage To Borrowed Equipment Or Use Of Elevators

If the loss arises out of "property damage" to borrowed equipment or the use of elevators to the extent not subject to Exclusion **k.** of Section **B.** Exclusions.

(6) When You Are Added As An Additional Insured To Other Insurance

That is other insurance available to you covering liability for damages arising out of the premises or operations, or products and completed operations, for which you have been added as an additional insured by that insurance; or

(7) When You Add Others As An Additional Insured To This Insurance

That is other insurance available to an additional insured.

However, the following provisions apply to other insurance available to any person or organization who is an additional insured under this Coverage Part:

(a) Primary Insurance When Required By Contract

This insurance is primary if you have agreed in a written contract, written agreement or permit that this insurance be primary. If other insurance is also primary, we will share with all that other insurance by the method described in **c.** below.

(b) Primary And Non-Contributory To Other Insurance When Required By Contract

If you have agreed in a written contract, written agreement or permit that this insurance is primary and non-contributory with the additional insured's own insurance, this insurance is primary and we will not seek contribution from that other insurance.

Paragraphs **(a)** and **(b)** do not apply to other insurance to which the additional insured has been added as an additional insured.

When this insurance is excess, we will have no duty under this Coverage Part to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

- (1)** The total amount that all such other insurance would pay for the loss in the absence of this insurance; and
- (2)** The total of all deductible and self-insured amounts under all that other insurance.

We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

c. Method Of Sharing

If all the other insurance permits contribution by equal shares, we will follow this method also. Under this approach, each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.



If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

7. Transfer Of Rights Of Recovery Against Others To Us

a. Transfer Of Rights Of Recovery

If the insured has rights to recover all or part of any payment, including Supplementary Payments, we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them. This condition does not apply to Medical Expenses Coverage.

b. Waiver Of Rights Of Recovery (Waiver Of Subrogation)

If the insured has waived any rights of recovery against any person or organization for all or part of any payment, including Supplementary Payments, we have made under this Coverage Part, we also waive that right, provided the insured waived their rights of recovery against such person or organization in a contract, agreement or permit that was executed prior to the injury or damage.

F. LIABILITY AND MEDICAL EXPENSES DEFINITIONS

1. "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purpose of this definition:
 - a. Notices that are published include material placed on the Internet or on similar electronic means of communication; and
 - b. Regarding web sites, only that part of a web site that is about your goods, products or services for the purpose of attracting customers or supporters is considered an advertisement.
2. "Advertising idea" means any idea for an "advertisement".
3. "Asbestos hazard" means an exposure or threat of exposure to the actual or alleged properties of asbestos and includes the mere presence of asbestos in any form.
4. "Auto" means:
 - a. A land motor vehicle, trailer or semi-trailer designed for travel on public roads, including any attached machinery or equipment; or
 - b. Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where it is licensed or principally garaged.However, "auto" does not include "mobile equipment".
5. "Bodily injury" means physical:
 - a. Injury;
 - b. Sickness; or
 - c. Diseasesustained by a person and, if arising out of the above, mental anguish or death at any time.
6. "Coverage territory" means:
 - a. The United States of America (including its territories and possessions), Puerto Rico and Canada;
 - b. International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in **a.** above;
 - c. All other parts of the world if the injury or damage arises out of:
 - (1) Goods or products made or sold by you in the territory described in **a.** above;
 - (2) The activities of a person whose home is in the territory described in **a.** above, but is away for a short time on your business; or



(3) "Personal and advertising injury" offenses that take place through the Internet or similar electronic means of communication.

provided the insured's responsibility to pay damages is determined in the United States of America (including its territories and possessions), Puerto Rico or Canada, in a "suit" on the merits according to the substantive law in such territory, or in a settlement we agree to.

7. "Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of "electronic data", means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.
8. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".
9. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, by-laws or any other similar governing document.
10. "Hostile fire" means one which becomes uncontrollable or breaks out from where it was intended to be.
11. "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:
 - a. It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or
 - b. You have failed to fulfill the terms of a contract or agreement;if such property can be restored to use by:
 - a. The repair, replacement, adjustment or removal of "your product" or "your work"; or
 - b. Your fulfilling the terms of the contract or agreement.
12. "Insured contract" means:
 - a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire, lightning or explosion to premises while rented to you or temporarily occupied by you with permission of the owner is subject to the Damage To Premises Rented To You limit described in Section D. Liability And Medical Expenses Limits Of Insurance.
 - b. A sidetrack agreement;
 - c. Any easement or license agreement, including an easement or license agreement in connection with construction or demolition operations on or within 50 feet of a railroad;
 - d. Any obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
 - e. An elevator maintenance agreement; or
 - f. That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph f. includes that part of any contract or agreement that indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road-beds, tunnel, underpass or crossing.

However, Paragraph f. does not include that part of any contract or agreement:

 - (1) That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (a) Preparing, approving or failing to prepare or approve maps, shop drawings, opinions, reports, surveys, field orders, change orders, designs or drawings and specifications; or
 - (b) Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or

- (2) Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured's rendering or failure to render professional services, including those listed in (1) above and supervisory, inspection, architectural or engineering activities.
13. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".
14. "Loading or unloading" means the handling of property:
- a. After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";
 - b. While it is in or on an aircraft, watercraft or "auto"; or
 - c. While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;
- but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".
15. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:
- a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
 - b. Vehicles maintained for use solely on or next to premises you own or rent;
 - c. Vehicles that travel on crawler treads;
 - d. Vehicles, whether self-propelled or not, on which are permanently mounted:
 - (1) Power cranes, shovels, loaders, diggers or drills; or
 - (2) Road construction or resurfacing equipment such as graders, scrapers or rollers;
 - e. Vehicles not described in a., b., c., or d. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:
 - (1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or
 - (2) Cherry pickers and similar devices used to raise or lower workers;
 - f. Vehicles not described in a., b., c., or d. above maintained primarily for purposes other than the transportation of persons or cargo.
- However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":
- (1) Equipment, of at least 1,000 pounds gross vehicle weight, designed primarily for:
 - (a) Snow removal;
 - (b) Road maintenance, but not construction or resurfacing; or
 - (c) Street cleaning;
 - (2) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and
 - (3) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.
- However, "mobile equipment" does not include any land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance or motor vehicle registration law where they are licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law or motor vehicle registration law are considered "autos".
16. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.
17. "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

- a. False arrest, detention or imprisonment;
 - b. Malicious prosecution;
 - c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person or organization occupies, committed by or on behalf of its owner, landlord or lessor;
 - d. Oral, written, electronic, or any other manner of publication of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;
 - e. Oral, written, electronic, or any other manner of publication of material that violates a person's right of privacy;
 - f. Copying, in your "advertisement", a person's or organization's "advertising idea" or style of "advertisement"; or
 - g. Infringement of copyright, slogan, or title of any literary or artistic work, in your "advertisement".
- 18.** "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
- 19.** "Products-completed operations hazard";
- a. Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:
 - (1) Products that are still in your physical possession; or
 - (2) Work that has not yet been completed or abandoned. However, "your work" will be deemed to be completed at the earliest of the following times:
 - (a) When all of the work called for in your contract has been completed.
 - (b) When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.
 - (c) When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.
- Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.
- The "bodily injury" or "property damage" must occur away from premises you own or rent, unless your business includes the selling, handling or distribution of "your product" for consumption on premises you own or rent.
- b. Does not include "bodily injury" or "property damage" arising out of:
 - (1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured; or
 - (2) The existence of tools, uninstalled equipment or abandoned or unused materials.
- 20.** "Property damage" means:
- a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or
 - b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of "occurrence" that caused it.
- As used in this definition, "electronic data" is not tangible property.
- 21.** "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:
- a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or
 - b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

22. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.
23. "Unmanned aircraft" means an aircraft that is not:
- a. Designed;
 - b. Manufactured; or
 - c. Modified after manufacture;
- to be controlled directly by a person from within or on the aircraft.
24. "Volunteer worker" means a person who:
- a. Is not your "employee";
 - b. Donates his or her work;
 - c. Acts at the direction of and within the scope of duties determined by you; and
 - d. Is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.
25. "Your product":
- a. Means:
 - (1) Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (a) You;
 - (b) Others trading under your name; or
 - (c) A person or organization whose business or assets you have acquired; and
 - (2) Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.
 - b. Includes:
 - (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and
 - (2) The providing of or failure to provide warnings or instructions.
 - c. Does not include vending machines or other property rented to or located for the use of others but not sold.
26. "Your work":
- a. Means:
 - (1) Work or operations performed by you or on your behalf; and
 - (2) Materials, parts or equipment furnished in connection with such work or operations.
 - b. Includes:
 - (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and
 - (2) The providing of or failure to provide warnings or instructions.



NEW YORK CHANGES – BUSINESS LIABILITY COVERAGE FORM

This endorsement modifies insurance provided under the following:

BUSINESS LIABILITY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. Paragraph 1.a. of Section A. COVERAGES is deleted and replaced with the following:

- a.** We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages, even if the allegations of the "suit" are groundless, false or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury", "property damage" or "personal and advertising injury" to which this insurance does not apply.

We may at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1)** The amount we will pay for damages is limited as described in Section **D., LIABILITY AND MEDICAL EXPENSES LIMITS OF INSURANCE**; and
- (2)** Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments, settlements or medical expenses to which this insurance applies.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Paragraph **3., Coverage Extension – Supplementary Payments** of Section **A., COVERAGES**.

B. Section D., LIABILITY AND MEDICAL EXPENSES LIMITS OF INSURANCE, is modified as follows:

1. The last sentence of the Section does not apply.
2. The General Aggregate Limit shown in the Declarations will be increased in proportion to any policy extension provided in accordance with Paragraph **B.3.d.(1)** and **B.3.d.(2)** of New York Changes - Common Policy Conditions.

C. The following changes are made to Section E., LIABILITY AND MEDICAL EXPENSES GENERAL CONDITIONS:

1. The following is added to Paragraph **2., Duties In The Event Of Occurrence, Offense, Claim Or Suit**:

Notice given by or on behalf of the insured, or written notice by or on behalf of the injured person or any other claimant, to any agent of ours in New York State, with particulars sufficient to identify the insured, shall be considered to be notice to us.

2. Paragraph **4., Legal Action Against Us**, is deleted and replaced by the following:

Legal Action Against Us

- a.** Except as provided below in Paragraph **b.**, no person or organization has a right under this Coverage Part:

- (1)** To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- (2)** To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we shall not be liable for damages that are not payable under the terms of this insurance or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

- b.** With respect to all claims, other than "property damage" claims covered under this Coverage Part, if we deny coverage or do not admit liability because an insured or the injured person or other claimant fails to give us written notice as soon as practicable, then the injured person, someone acting for the injured person or other claimant may bring an action against us, provided the sole legal issue is the denial of coverage or non-admission of liability based on the failure to provide timely notice.



However, the injured person or other claimant may not bring an action against us if within 60 days after we deny coverage or do not admit liability, we or the insured:

- (1) Initiates an action to declare the rights of the parties under the policy; and
- (2) Names the injured person or other claimant as a party to the action.

3. The following provision is added:

Transfer of Duties When A Limit Of Insurance Is Used Up

- a. If we conclude that based on "occurrences", offenses, claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) General Aggregate Limit (other than the Products - Completed Operations Aggregate Limit);
- (2) Products - Completed Operations Aggregate Limit;
- (3) Personal and Advertising Injury Limit;
- (4) Liability and Medical Expenses Limit; or
- (5) Damage To Premises Rented To You Limit;

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

- b. When a Limit Of Insurance described in Paragraph a. above has actually been used up in the payment of judgments or settlements:

- (1) We will notify the first Named Insured in writing, as soon as practicable, that:

- (a) Such a limit has actually been used up; and
- (b) Our duty to defend "suits" seeking damages subject to that limit has so ended.

- (2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before the limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been exhausted.

- (3) The first Named Insured and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement arrangements for the defense of such "suit" must be made as soon as practicable.

- c. The first Named Insured will reimburse us for expenses incurred in taking those steps we deem appropriate in accordance with Paragraph b.(2) above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is exhausted, if we sent notice in accordance with Paragraph a. above; or
- (2) The date on which we sent notice in accordance with Paragraph b.(1) above, if we did not send notice in accordance with Paragraph a. above.

- d. The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

4. The following provision is added and supersedes any provision to the contrary:

Condition Applicable to New York Policies

Failure to give notice to us as required under this Coverage Part shall not invalidate any claim made by the insured, injured person or any other claimant, unless the failure to provide such timely notice has prejudiced us. However, no claim made by the insured, injured person or other claimant will be invalidated if it shall be shown



not to have been reasonably possible to give such timely notice and the notice was given as soon as was reasonably possible thereafter.

5. The following provision is added:

Imputed Legal Liability

a. It is agreed that, subject to all terms, conditions, exclusions and definitions of the policy not expressly modified below, this Coverage Part provides coverage for "bodily injury" and "property damage":

(1) Arising out of an intentional or willful act of an "employee", "volunteer worker", or "temporary worker" of the insured;

(2) Caused by an occurrence as defined below; and

(3) For which the insured is legally liable.

b. Solely for the purposes of the coverage provided above, occurrence means:

From the standpoint of the insured, an accident, including continuous or repeated exposure to substantially the same general harmful conditions. With regard to this definition of occurrence for Imputed Legal Liability, none of the following are considered to be the insured: "employee", "volunteer worker", or "temporary worker".

D. The following changes are made to Section **G., LIABILITY AND MEDICAL EXPENSES DEFINITIONS:**

1. Paragraph **14.**, the definition of "loading or unloading" does not apply.

2. As respects "bodily injury" and "property damage", Paragraph **16.**, the definition of "Occurrence", is deleted and replaced by the following:

"Occurrence" means, from the standpoint of the insured, an accident, including continuous or repeated exposure to substantially the same general harmful conditions.



EXCLUSION - SILICA - NEW YORK – BUSINESS LIABILITY COVERAGE FORM

This endorsement modifies insurance provided under the following:

BUSINESS LIABILITY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following exclusion is added to Paragraph 1. of SECTION B - EXCLUSIONS:

This insurance does not apply to:

"Bodily injury" , "property damage", "personal and advertising injury", sickness, disease, occupational disease, disability, shock, death, mental anguish or mental injury, and/or any other type of injury, loss, cost, damage, or expense sustained by any person for the real or alleged emergence, contraction, aggravation or exacerbation of any form of silicosis or any other disease of the human body caused by, arising out of, resulting from, or in any way related to the manufacture, mining, use, sale, removal, or distribution by any person or organization of silica, silica products, silica powder including nano silica powder, silica fibers or silica dust, or the exposure to silica, silica products, silica fibers or silica dust ; or

Any obligation to defend, indemnify or pay any loss, cost or expense for such "bodily injury", "property damage", "personal and advertising injury", sickness, disease, occupational disease, disability, shock, death, mental anguish or mental injury, and/or any other type of injury, loss, cost, damage or expense sustained by any person for the real or alleged emergence, contraction, aggravation or exacerbation of any form of silicosis or any other disease of the human body caused by, arising out of, resulting from, or in any way related to the manufacture of, mining of, use of, sale of, removal of, distribution of, or exposure to silica, silica products, silica powder including nano silica powder, silica fibers or silica dust or the exposure to silica, silica products, silica fibers or silica dust.

For purposes of this exclusion, silica means silicon dioxide, whether occurring in crystalline, amorphous and impure forms, silica particles, silica powder including nano silica powder, silica dust, silica fibers or silica compounds.



EXCLUSION - NUCLEAR ENERGY LIABILITY

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. This insurance does not apply:

- 1.** To any injury or damage:
 - a.** With respect to which an insured under the Policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada, or any of their successors, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or
 - b.** Resulting from the "hazardous properties" of "nuclear material" and with respect to which:
 - (1)** Any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof; or
 - (2)** The insured is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.
- 3.** Under any Medical Payments or Medical Expenses Coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.
- 4.** To any injury or damage resulting from the "hazardous properties" of "nuclear material"; if:
 - a.** The "nuclear material":
 - (1)** Is at any "nuclear facility" owned by, or operated by or on behalf of, an insured; or
 - (2)** Has been discharged or dispersed therefrom;
 - b.** The "nuclear material" is contained in "spent fuel" or "waste" at any time was possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an insured; or
 - c.** The injury or damage arises out of the furnishing by any insured of any "technology services" in connection with the planning, construction, maintenance, operation or use of any "nuclear facility"; or
 - d.** The injury or damage arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility"; but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion **(d)** applies only to "property damage" to such "nuclear facility" and any property thereat.

B. As used in this exclusion, the following definitions apply:

- 1.** "Byproduct material", "source material" and "special nuclear material" have the meanings given to them in the Atomic Energy Act of 1954 or in any law amendatory thereof.
- 2.** "Computer system and network" means:
 - a.** Leased or owned computer hardware including mobile, networked, and data storage computing equipment;
 - b.** Owned or licensed software;
 - c.** Owned websites;
 - d.** Leased or owned wireless input and output devices; and
 - e.** Electronic backup facilities and data storage repositories employed in conjunction with **2.a.** through **2.d.** above.
- 3.** "Hazardous properties" include radioactive, toxic or explosive properties.
- 4.** "Nuclear facility" means:
 - a.** Any "nuclear reactor";
 - b.** Any equipment or device designed or used for:



- (1) Separating the isotopes of uranium or plutonium;
 - (2) Processing or utilizing "spent fuel"; or
 - (3) Handling, processing or packaging "waste";
- c. Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the insured at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;
- d. Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste" and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations.
5. "Nuclear material" means "byproduct material", "source material" or "special nuclear material".
6. "Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.
7. "Property damage" and injury or damage include all forms of radioactive contamination of property.
8. "Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor".
9. "Technology services" means:
 - a. The following services performed for others:
 - (1) Consulting, analysis, design, installation, training, maintenance, support and repair of or on: software, wireless applications, firmware, shareware, networks, systems, hardware, devices or components;
 - (2) Integration of systems;
 - (3) Processing of, management of, mining or warehousing of data;
 - (4) Administration, management, operation or hosting of: another party's systems, technology or computer facilities;
 - (5) Website development; website hosting;
 - (6) Internet access services; intranet, extranet or electronic information connectivity services; software application connectivity services;
 - (7) Manufacture, sale, licensing, distribution, or marketing of: software, wireless applications, firmware, shareware, networks, systems, hardware, devices or components;
 - (8) Design and development of: code, software or programming;
 - (9) Providing software application: services, rental or leasing;
 - (10) Screening, selection, recruitment or placement of candidates for temporary or permanent employment by others as information technology professionals;
 - (11) "Telecommunication services"; and
 - (12) "Telecommunication products".
 - b. Web-related software and connectivity services performed for others; and
 - c. Activities on the named insured's "computer system and network".
10. "Waste" means any waste material:
 - a. Containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content; and
 - b. Resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility".



EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This endorsement modifies insurance provided under the following:

BUSINESS LIABILITY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following exclusion is added to Section B. EXCLUSIONS:

This insurance does not apply to:

1. Any damages, judgments, settlements, loss, costs or expenses, or any other form of relief, remedy or recovery that may be awarded or incurred by reason of any claim or "suit" alleging actual or threatened injury or damage of any nature or kind, including, but not limited to, "bodily injury", "property damage" or "personal and advertising injury", which arises out of, or relates in any way to "PFAS", including but not limited to:
 - a. manufacturing, handling, sale, distribution, marketing, installation, repair, removal, abatement, replacement, or handling of "PFAS" or products containing "PFAS"; or
 - b. an actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "PFAS" whether intentional or unintentional; or
 - c. consumption, absorption, ingestion, presence, inhalation or use of, contact with or exposure to, "PFAS", whether by direct or passive exposure.
2. Any loss, cost or expense arising out of any:
 - a. Request, demand, order, or other requirement (whether statutory or regulatory) that any insured or others test for, investigate for, monitor, clean up, abate, remove, remediate, contain, treat, detoxify or neutralize, dispose of, or in any way respond to, or assess the effects of "PFAS"; or
 - b. Claim or suit by or on behalf of a governmental authority for damages because of testing for, investigating for, monitoring, cleaning up, abating, removing, remediating, containing, treating, detoxifying or neutralizing, disposing of or in any way responding to or assessing the effects of "PFAS".

B. The following definition is added to Section F. LIABILITY AND MEDICAL EXPENSES DEFINITIONS:

"PFAS" means:

1. Any substance, material, or compound that is or contains per-and polyfluoroalkyl substances, including but not limited to perfluorobutanoic acid (PFBA), perfluorohexanoic acid (PFHxA), perfluoroheptanoic acid (PFHpA), perfluorooctanoic acid (PFOA), perfluorononanoic acid (PFNA), perfluorodecanoic acid (PFDA), perfluoroundecanoic acid (PFUnA), perfluorododecanoic acid (PFDoDA), perfluorobutane sulfonic acid (PFBS), perfluorohexane sulfonic acid (PFHxS), perfluorooctane sulfonic acid (PFOS), and perfluorooctane sulfonamide (FOSA).
2. Any substance, material, or compound that is identified or acknowledged by any federal, state, international or other governmental agency or authority, including but not limited to the United States Environmental Protection Agency (EPA), the Centers for Disease Control and Prevention (CDC), the Agency for Toxic Substances and Disease Registry (ATSDR), the National Institutes for Health (NIH), and the International Agency for Research on Cancer (IARC):
 - a. As or to contain a per-and polyfluoroalkyl substance; or
 - b. To exhibit or demonstrate the same or similar harmful properties as a per-and polyfluoroalkyl substance.
3. Any constituents, additives, degradation, break down, or by-products to or of any substance, material or compound set forth in subparagraphs **a.** and **b.** above, including but not limited to homologues, isomers, salts, esters, alcohols, acids, and precursor chemicals, compounds and derivatives.



BLANKET ADDITIONAL INSURED BY CONTRACT

This endorsement modifies insurance provided under the following:

BUSINESS LIABILITY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Section C. WHO IS AN INSURED:

Additional Insureds When Required By Written Contract, Written Agreement Or Permit

The person(s) or organization(s) identified in Paragraphs a. through f. below are additional insureds when you have agreed, in a written contract or written agreement, or when required by a written permit issued by a state or governmental agency or subdivision or political subdivision that such person or organization be added as an additional insured on your Coverage Part, provided the injury or damage occurs subsequent to the execution of the contract or agreement, or the issuance of the permit.

A person or organization is an additional insured under this provision only for that period of time required by the contract, agreement or permit.

However, no such person or organization is an additional insured under this provision if such person or organization is included as an additional insured by any other endorsement issued by us and made a part of this Coverage Part.

The insurance afforded to such additional insured will not be broader than that which you are required by the contract, agreement, or permit to provide for such additional insured.

The insurance afforded to such additional insured only applies to the extent permitted by law.

The limits of insurance that apply to additional insureds are described in Section **D. LIABILITY AND MEDICAL EXPENSES LIMITS OF INSURANCE**. How this insurance applies when other insurance is available to an additional insured is described in the Other Insurance Condition in Section **E. LIABILITY AND MEDICAL EXPENSES GENERAL CONDITIONS**.

a. Vendors

Any person(s) or organization(s) (referred to below as vendor), but only with respect to "bodily injury" or "property damage" arising out of "your products" which are distributed or sold in the regular course of the vendor's business and only if this Coverage Part provides coverage for "bodily injury" or "property damage" included within the "products-completed operations hazard".

(1) The insurance afforded to the vendor is subject to the following additional exclusions:

This insurance does not apply to:

- (a)** "Bodily injury" or "property damage" for which the vendor is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages that the vendor would have in the absence of the contract or agreement;
- (b)** Any express warranty unauthorized by you;
- (c)** Any physical or chemical change in the product made intentionally by the vendor;
- (d)** Repackaging, except when unpacked solely for the purpose of inspection, demonstration, testing, or the substitution of parts under instructions from the manufacturer, and then repackaged in the original container;
- (e)** Any failure to make such inspections, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business, in connection with the distribution or sale of the products;
- (f)** Demonstration, installation, servicing or repair operations, except such operations performed at the vendor's premises in connection with the sale of the product;



- (g) Products which, after distribution or sale by you, have been labeled or relabeled or used as a container, part or ingredient of any other thing or substance by or for the vendor; or
- (h) "Bodily injury" or "property damage" arising out of the sole negligence of the vendor for its own acts or omissions or those of its employees or anyone else acting on its behalf. However, this exclusion does not apply to:
 - (i) The exceptions contained in Paragraphs (d) or (f); or
 - (ii) Such inspections, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business, in connection with the distribution or sale of the products.
- (2) This insurance does not apply to any insured person or organization from whom you have acquired such products, or any ingredient, part or container, entering into, accompanying or containing such products.
- b. Lessors Of Equipment**
 - (1) Any person or organization from whom you lease equipment; but only with respect to their liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by your maintenance, operation or use of equipment leased to you by such person or organization.
 - (2) With respect to the insurance afforded to these additional insureds, this insurance does not apply to any "occurrence" which takes place after you cease to lease that equipment.
- c. Lessors Of Land Or Premises**
 - (1) Any person or organization from whom you lease land or premises, but only with respect to liability arising out of the ownership, maintenance or use of that part of the land or premises leased to you.
 - (2) With respect to the insurance afforded to these additional insureds, this insurance does not apply to:
 - (a) Any "occurrence" which takes place after you cease to lease that land or be a tenant in that premises; or
 - (b) Structural alterations, new construction or demolition operations performed by or on behalf of such person or organization.
- d. Architects, Engineers Or Surveyors**
 - (1) Any architect, engineer, or surveyor, but only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by your acts or omissions or the acts or omissions of those acting on your behalf:
 - (a) In connection with your premises;
 - (b) In the performance of your ongoing operations performed by you or on your behalf; or
 - (c) In connection with "your work" and included within the "products-completed operations hazard", but only if:
 - (i) The written contract, written agreement or permit requires you to provide such coverage to such additional insured; and
 - (ii) This Coverage Part provides coverage for "bodily injury" or "property damage" included within the "products-completed operations hazard".
 - (2) With respect to the insurance afforded to these additional insureds, the following additional exclusion applies:

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of or the failure to render any professional services, including:

 - (i) The preparing, approving, or failure to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders, designs or drawings and specifications; or
 - (ii) Supervisory, surveying, inspection, architectural or engineering activities.

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "bodily injury", "property



damage", or "personal and advertising injury" arises out of the rendering of or the failure to render any professional service.

e. State Or Governmental Agency Or Subdivision Or Political Subdivision Issuing Permit

- (1) Any state or governmental agency or subdivision or political subdivision, but only with respect to operations performed by you or on your behalf for which the state or governmental agency or subdivision or political subdivision has issued a permit.
- (2) With respect to the insurance afforded to these additional insureds, this insurance does not apply to:
 - (a) "Bodily injury", "property damage" or "personal and advertising injury" arising out of operations performed for the federal government, state or municipality; or
 - (b) "Bodily injury" or "property damage" included within the "products-completed operations hazard".

f. Any Other Party

- (1) Any other person or organization who is not in one of the categories or classes listed above in Paragraphs **a.** through **e.** above, but only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by your acts or omissions or the acts or omissions of those acting on your behalf:
 - (a) In the performance of your ongoing operations performed by you or on your behalf;
 - (b) In connection with your premises owned by or rented to you; or
 - (c) In connection with "your work" and included within the "products-completed operations hazard", but only if:
 - (i) The written contract, written agreement or permit requires you to provide such coverage to such additional insured; and
 - (ii) This Coverage Part provides coverage for "bodily injury" or "property damage" included within the "products-completed operations hazard".

- (2) With respect to the insurance afforded to these additional insureds, the following additional exclusion applies:

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of, or the failure to render, any professional architectural, engineering or surveying services, including:

- (a) The preparing, approving, or failure to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders, designs or drawings and specifications; or
- (b) Supervisory, surveying, inspection, architectural or engineering activities.

This exclusion applies even if the claims allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by an insured, if the "bodily injury", "property damage", or "personal and advertising injury" arises out of the rendering of or the failure to render any professional service described in Paragraphs **f.(2)(a)** or **f.(2)(b)** above.



ADDITIONAL INSURED – MANAGERS OR LESSORS OF PREMISES

This endorsement modifies insurance provided under the following:

BUSINESS LIABILITY COVERAGE FORM

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following is added to Section C. WHO IS AN INSURED:

Additional Insured – Manager Or Lessors Of Premises

- a. The person(s) or organization(s) shown on the Declarations as an Additional Insured – Managers Or Lessors Of Premises is also an additional insured, but only with respect to liability arising out of the ownership, maintenance or use of that part of the premises leased to you and shown in the Declarations.
- b. If coverage provided to these additional insureds is required by a written contract or written agreement, or when required by a written permit issued by a state or governmental agency or subdivision or political subdivision, the insurance afforded to these additional insureds will not be broader than that which you are required by the contract, agreement, or permit to provide for these additional insureds.
- c. The insurance afforded to these additional insureds only applies to the extent permitted by law.

B. With respect to the insurance afforded to such additional insureds by this endorsement, the following exclusion is added to Section B. EXCLUSIONS:

This insurance does not apply to:

- (1) Any “occurrence” that takes place after you cease to be a tenant in that premises described in the Declarations; or
- (2) Structural alterations, new construction or demolition operations performed by or on behalf of such person or organization.



ADDENDUM TO THE DECLARATIONS AND APPLICATION - EMPLOYMENT PRACTICES LIABILITY - NEW YORK

This form explains insurance provided under the following:

EMPLOYMENT PRACTICES LIABILITY COVERAGE FORM – NEW YORK (CLAIMS MADE)

- A.** This coverage is provided on a claims made basis, which means that there is no coverage for "claims" because of "wrongful acts" which took place prior to the "retroactive date" stated in the Declarations.
- B.** This coverage form contains provisions that reduce the limits of liability stated in the declarations by "claim expenses", including defense attorneys' fees and costs. Covered "Claim Expenses" may exhaust the limits of liability.
- C.** This coverage only applies to "claims" that are first made against the "insured" during the "policy period". All coverage will cease upon "termination of coverage", except as provided by the Basic Extended Reporting period. We automatically provide a Basic Extended Reporting Period which starts with the date of "termination of coverage" and lasts for a period of sixty (60) days. It extends the period within which "claims" may be first made against the "insured" under this Coverage Part. The Basic Extended Reporting Period" lasts for sixty (60) days from the end of the "policy period".
- D.** The "first named insured" has the option to purchase an Optional Extended Reporting Period Endorsement. The one year Optional Extended Reporting Period option applicable to this Coverage Part will be calculated at 90% of the expiring annual policy premium. The "policy period" and the coverage are not changed. Only the period during which "claims" first made against the "insured" under this Coverage Part and the time allowed for the "insured" to report the "claim" to us are amended. Potential gaps in coverage may arise upon expiration of any "extended reporting period".
- E.** If the "insured" chooses not to purchase an Optional Extended Reporting Period Endorsement, there would not be coverage for a "claim" that occurred during the "policy period" but was first made against the "insured" after the termination or expiration of the Coverage Part or reported to us after the end of the Basic Extended Reporting Period.
- F.** Claims made rates may be comparatively lower than rates for coverages provided on an occurrence basis, if available, during the first years of a claims made relationship. You can expect annual premium increases until the claims made relationship reaches maturity.



EMPLOYMENT PRACTICES LIABILITY COVERAGE FORM – NEW YORK (CLAIMS MADE)

READ YOUR POLICY CAREFULLY

QUICK REFERENCE	Beginning on Page
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EMPLOYMENT PRACTICES LIABILITY COVERAGE FORM – NEW YORK (CLAIMS MADE)

THE INSURANCE AFFORDED BY THIS COVERAGE PART IS CLAIMS MADE COVERAGE. PLEASE READ ALL PROVISIONS AND CONTACT YOUR AGENT IF YOU HAVE ANY QUESTIONS. EXCEPT AS PROVIDED HEREIN, THIS COVERAGE PART IS LIMITED TO THOSE CLAIMS THAT ARE FIRST MADE DURING THE POLICY PERIOD OR ANY APPLICABLE EXTENDED REPORTING PERIOD. UPON TERMINATION OF COVERAGE, A SIXTY (60) DAY BASIC EXTENDED REPORTING PERIOD WILL BE PROVIDED AND AN OPTIONAL EXTENDED REPORTING PERIOD WILL BE AVAILABLE FOR AN ADDITIONAL PREMIUM CHARGE. THIS COVERAGE PART CONTAINS PROVISIONS THAT REDUCE AND MAY EXHAUST THE LIMITS OF LIABILITY STATED IN THE DECLARATIONS. WE SHALL NOT BE LIABLE FOR CLAIMS EXPENSES OR JUDGMENTS OR SETTLEMENTS AFTER EXHAUSTION OF THE LIABILITY LIMIT. THE DEDUCTIBLE IS APPLICABLE TO CLAIM EXPENSES AND DAMAGES. THE DEDUCTIBLE MAY BE COMPLETELY EXHAUSTED BY CLAIM EXPENSES.

Various provisions in this Coverage Part restrict coverage. Please read the entire policy carefully to determine your rights, duties and what is and is not covered. Please discuss the coverage provided by this policy with your insurance agent or broker.

Throughout this Coverage Part the words you and your refer to the "named insured" in the Declarations. The words we, us and our refer to the stock insurance company member of THE HARTFORD shown on the Declarations Page.

Words and phrases that appear in quotation marks are defined in **SECTION II - DEFINITIONS** of this Coverage Part.

In consideration of, and subject to, the payment of the premium by you and in reliance upon the accuracy and completeness of the "application", including but not limited to the statements, attachments and exhibits contained in and submitted with the "application", which shall be the basis of this coverage form, we agree with you, subject to all terms, exclusions and conditions of this Coverage Part, as follows:

I. INSURING AGREEMENT

- A. We will pay on behalf of the "insured" all "damages" which the "insured" becomes legally obligated to pay as a result of a "wrongful act" alleged in any "claim", if the "claim" is first made against the "insured" during the "policy period" or the "extended reporting period", if purchased, and reported to us as soon as practicable.
For the purposes of this coverage, a "claim" shall be deemed first made against the "insured" when the "claim" is received by the "insured", not when the "claim" is filed or initiated by the party or parties asserting the "claim".
- B. The "insured" shall have the option to select the defense attorney or to consent to our choice of defense attorney, which consent shall not be unreasonably withheld. The duty to defend provided by this Coverage Part will end when we have used up the applicable limit of insurance for the payment of "damages" or "claims expenses".
- C. The "insured" shall have the right to participate in, and assist in the direction of, the defense of any "claim". The "insured" shall have the right to consent to settlement, which consent shall not be unreasonably withheld, subject to Paragraph D. Below. The "insured" shall cooperate fully with our investigation and defense of any "claim" as provided in **SECTION VIII - DUTIES IN THE EVENT OF A CLAIM**.
- D. We shall investigate the "claim" and, with written consent of the "insured", which consent shall not be unreasonably withheld, we shall settle or compromise any "claim" as we deem appropriate. If the "insured" unreasonably refuses to consent to any settlement or compromise recommended by us and acceptable to the claimant, then our liability to pay "damages" and "claims expenses" shall not exceed the amount which we would have paid for "damages" and "claim expenses" at the time the "claim" could have been settled or compromised, less any deductible.
- E. This Coverage Part applies only if on or before the effective date of this coverage, the "insured" had no knowledge of any circumstances involving any actual or alleged error, misstatement, misleading statement, act, omission, neglect or breach of duty, which could reasonably be expected to result in a "claim" made against you, any "insured" or any "subsidiary" under this Coverage Part.



- F. This Coverage Part applies only if the "claim" is for a "wrongful act" that did not occur before the "retroactive date" set forth in the Declarations, or after the end of the "policy period".

II. DEFINITIONS

- A. "Application" means the written application and the proposal or application for any policy in an uninterrupted series of policies issued by us of which this Coverage Part is a renewal or replacement.
- B. "Claim" means any:
- (1) Written demand received by the "insured" which seeks monetary relief from the "insured" for a "wrongful act" and which has been received in accordance with **SECTION VI - COVERAGE TERRITORY**;
 - (2) Civil proceeding or lawsuit received by the "insured", whether through service or otherwise, which seeks monetary relief from the "insured" for a "wrongful act" and which has been filed in accordance with **SECTION VI - COVERAGE TERRITORY**;
 - (3) Investigative order or notice of charge received by the "insured" relative to an administrative or regulatory proceeding initiated before the Equal Employment Opportunity Commission or a similar state agency, which alleges a "wrongful act" committed by the "insured" and which has been filed in accordance with **SECTION VI - COVERAGE TERRITORY** and which seeks "damages" from the "insured"; and
 - (4) Written notice received by the "insured" of an arbitration, mediation or other form of alternative dispute resolution proceeding, which seeks monetary relief from the "insured" for a "wrongful act" and which has been commenced in accordance with **SECTION VI - COVERAGE TERRITORY**;
- however, "claim" shall not include any organized labor or grievance proceeding or arbitration subject to a collective bargaining agreement.
- C. "Claim expenses" means:
- (1) reasonable and necessary fees charged by any lawyer designated by us or by the "insured" with our written consent in defending the "insured" in connection with any "claim"; and
 - (2) All other reasonable and necessary fees, costs and expenses incurred on behalf of the "insured" by us or by the "insured" with our written consent in the investigation, adjustment, defense and appeal of any "claim";
- however, "claim expenses" shall not include "damages", salaries, wages, remuneration, overhead or benefit expenses associated with any "insured" or any of the employees or officials of any "insured".
- D. "Claims-made relationship" means that period of time from the effective date of the first employment practices liability insurance policy we issued and the end of the last employment practices liability insurance policy issued by us in an uninterrupted succession of renewed coverage parts or policies.
- E. "Damages" means all sums which the "insured" is legally obligated to pay solely as a result of a "claim" insured by this Coverage Part, including judgments, settlements, damages (including back pay, front pay and other damages for loss of future earnings), attorneys' fees, costs or expenses awarded to a prevailing claimant or plaintiff, pre-judgment interest and post-judgment interest. All post-judgment interest shall not reduce the Limits of Liability of this Coverage Part.
- "Damages" shall not include:
- (1) Matters deemed uninsurable under the law pursuant to which this Coverage Part is construed;
 - (2) Taxes, civil or criminal fines or penalties imposed by law;
 - (3) Costs associated with any form of non-monetary relief awarded against you or any "insured";
 - (4) Judgments, awards, or settlements or any other amounts owed to any claimant's domestic partner, spouse, child, parent or sibling; or
 - (5) Punitive, exemplary or liquidated damages or the portion of any multiplied damages awarded which exceeds the amount that was multiplied.
- F. "Extended reporting Period" means a period of time as stated in **SECTION V - EXTENDED REPORTING PERIODS**, immediately following the effective date of "termination of coverage" in which "claims" may be submitted to us under this Coverage Part, provided that such "claims" are made against the "insured" and submitted in writing to us during such "extended reporting period" and are the result of a "wrongful act" which



occurred prior to the end of the "policy period" and subsequent to the "retroactive date" and otherwise are covered under this Coverage Part.

G. "Insured" means:

- (1) You;
- (2) Any "subsidiary" of yours;
- (3) If you are a corporation or an organization other than a partnership or a joint venture, any past, present or future directors and officers of yours or any "subsidiary" of yours, but only for acts within the scope of their capacity as your director or officer or your "subsidiary's" director or officer;
- (4) If you are a partnership or joint venture, any general or limited partner of yours, but only for acts within the scope of your partnership or joint venture;
- (5) If you are a limited liability company, any member or manager of yours, but only for acts within the scope of their capacity as your member or managers;
- (6) Any past, present or future employee, whether such employee was or is in a supervisory, co-worker, subordinate, part-time, seasonal and/or temporary position, of yours or any "subsidiary" of yours, but only for acts within the scope of their employment by you or your "subsidiary"; however independent contractors are not employees and are not "insureds";
- (7) Any individual who is a leased or loaned employee to you or any "subsidiary" of yours, provided that you or your "subsidiary" provides indemnification for such individual for services rendered in the same manner as if those services were rendered by an employee of yours or your "subsidiary";
- (8) Any individual who is contracted to perform work for you or any "subsidiary" of yours, provided that you or any "subsidiary" of yours provides indemnification for such individual services rendered in the same manner as if those services were rendered by an employee of yours or any "subsidiary" of yours; and
- (9) The heirs, executors, administrators, assigns or legal representatives of each of the above "insureds" in the event of their death, incapacity or bankruptcy.

However, no person or organization is an "insured" with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a "named insured" in the Declarations.

- H. "Interrelated wrongful acts" means "wrongful acts" which have as a common nexus any fact, circumstance, situation, event, transaction, cause or series of causally connected facts, circumstances, situations, events, transactions or causes.**
- I. "Named insured" means the individual, partnership or corporation designated in the Declarations.**
- J. "Policy period" means the period from the Effective Date stated in the Declarations to the Expiration stated in the Declarations or the date of "termination of coverage".**
- K. "Retroactive date" means the date specified in the Declarations, or if none is specified, the effective date of the Coverage Part, on or after which the "wrongful act" must have occurred in order for any "claim" or any notification given to us in accordance with **SECTION VIII - DUTIES IN THE EVENT OF A CLAIM** arising from such "wrongful act" to be covered by this Coverage Part.**
- L. "Subsidiary" means any entity in which, and only for the period of time that, more than fifty percent (50%) of the outstanding securities or voting rights representing the present right to vote for the election of directors of such entity are owned by you directly or through one or more of your "subsidiaries", if such entity:**
- (1) Was so owned at the Effective Date; or
 - (2) Becomes so owned after the Effective Date provided the provisions of the Changes in Exposures Condition (**SECTION IX - CONDITIONS**) are fulfilled.
- M. "Termination of coverage" means whether made by us or the "named insured" at any time:**
- (1) Cancellation or nonrenewal of a Coverage Part; or
 - (2) Decrease in limits, reduction in coverage, except when such decrease or reduction results from the payment of "claim expenses" or "damages"; or any other change less favorable to the "named insured";



- N. "Wrongful act" means any error, misstatement, misleading statement, act, omission, neglect, or breach of duty actually or allegedly committed or attempted by any "insured" in connection with any:
- (1) Wrongful dismissal, discharge or termination in employment, whether actual or constructive;
 - (2) Wrongful failure to hire or promote;
 - (3) Wrongful discipline or demotion;
 - (4) Wrongful failure to create, apply or enforce any employment-related policy or procedure;
 - (5) Wrongful failure to grant tenure;
 - (6) Employment-related misrepresentation or defamation;
 - (7) Employment-related invasion of privacy;
 - (8) Employment-related infliction of emotional distress;
 - (9) Employment-related unlawful discrimination, including, but not limited to, discrimination based upon age, gender, sex, pregnancy, race, color, national origin, religion, sexual orientation, sexual preference, marital status, disability or any other class of persons protected under any federal, state, municipal or local law, only if such discrimination arises from disparate impact and/or vicarious liability;
 - (10) Employment-related unlawful sexual harassment or other form of workplace harassment, including hostile work environment and quid pro quo harassment, prohibited by any federal, state, municipal or local law, but only if such harassment arises from vicarious liability. This coverage will not be provided to any person who allegedly or actually:
 - (a) Participates in;
 - (b) Directs; or
 - (c) Knowingly allows any act of harassment;
 - (11) Employment-related unlawful retaliation against a past, present or future employee of yours or any "subsidiary" of yours, prohibited by any federal, state, municipal or local law, but only if such retaliation arises from vicarious liability;
 - (12) Violation of the Family and Medical Leave Act, as amended;
 - (13) Negligent hiring, evaluation, retention or supervision related to any of the above actual or alleged acts only; or
 - (14) Breach of an oral or written contract creating or continuing an employer- employee relationship among the parties to the contract; provided that the actual or alleged "wrongful act" is directed against a past, present or future employee (whether supervisory, co-worker, subordinate, part-time, seasonal and/or temporary, leased or loaned) of yours or any "subsidiary" of yours, or an applicant for employment with you or your "subsidiary".

III. EXCLUSIONS

This Coverage Part shall not apply to any "claim" based upon, arising out of, directly or indirectly resulting from or in consequence of, or in any way involving:

- A. Any intentional discrimination (including disparate treatment discrimination) or dishonest, fraudulent, criminal, or malicious act or omission committed by or at the direction of the "insured"; provided, however, for the purposes of determining the applicability of this exclusion, the intentional discrimination or dishonest, fraudulent, criminal, or malicious act or omission of one "insured" shall not be imputed to any other "insured" who may be vicariously liable for such discrimination or act;
- B. Any act, incident or omission which has been the subject of any notice of circumstance or notice of claim given under any policy or coverage of which this Coverage Part is a renewal or replacement, or any policy or coverage with an inception date which precedes the inception date stated in the Declarations;
- C. Any actual or alleged violation of the responsibilities, obligations or duties imposed by the Fair Labor Standards Act (other than the Equal Pay Act), the National Labor Relations Act, the Worker Adjustment and Retraining Notification Act, the Consolidated Omnibus Budget Reconciliation Act, the Occupational Safety and Health Act, the Immigration and Nationality Act, Title IX of the Education Amendments of 1972, the Immigration Reform and Control Act or any statute relating to the benefits, compensation or employment of veterans; or any amendment to



any of the foregoing statutes, any rules or regulations promulgated under the foregoing statutes or any other similar law, including but not limited to, any state and/or federal laws governing wage and hour, overtime wages or minimum wages;

D. The "insured's" activities and or capacity as:

- (1) An officer, director, partner, trustee or employee of a business enterprise not named in the Declarations;
- (2) An officer, director, partner, trustee or employee of a charitable organization or pension, welfare, profit sharing, mutual or investment fund or trust; or
- (3) A fiduciary under the Employment Retirement Income Security Act of 1974 and its amendments or any regulation or order issued pursuant thereto, or any other pension, welfare, retirement or other employee benefit plan or trust sponsored, established or maintained in whole or in part for the benefit of any of your employees or the employees of your "subsidiary";

whether or not such activities were at the request of any other "insured";

- E.** Bodily injury to or sickness, disease or death of any person, damage to or destruction of tangible property, including loss of use thereof, assault or battery; provided, that this exclusion shall not apply to employment-related infliction of emotional distress;
- F.** The failure of the "insured" to comply with any law governing worker's compensation, unemployment insurance, social security, disability benefits or any similar law;
- G.** A lockout, strike, picket line, replacement or any other action resulting from or related to organized labor disputes or labor negotiations;
- H.** Damages, costs or expenses incurred by an insured" in making physical changes, modifications, alterations or improvements as a part of an accommodation of any disabled person pursuant to the Americans With Disabilities Act of 1990 (ADA), the rules and regulations promulgated thereunder, or any similar federal, state or local law, as amended;
- I.** Any actual or alleged breach of contract, whether oral, written, express or implied; however, this exclusion does not apply to breach of an oral or written contract creating or continuing an employer-employee relationship among the parties to the contract;
- J.** Any injury or damage arising from:
 - (1) The actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of pollutants.
 - (2) Any loss, cost or expense arising out of any:
 - (a) Request, demand or order that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of pollutants; or
 - (b) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of pollutants.

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

IV. DISCOVERY CLAUSE

If during the "policy period" or the "extended reporting period", if purchased, any "insured" first becomes aware of a specific "wrongful act", and if the "insured" during the "policy period" or the "extended reporting period", if purchased, gives written notice to us of the :

- A.** Specific "wrongful act";
 - B.** "Damages" which have or may result from such "wrongful act"; and
 - C.** Circumstances by which the "insured" first became aware of such "wrongful act",
- then any "claim" made subsequently arising out of such "wrongful act" shall be deemed for the purposes of this Coverage Part to have been made on the date on which written notice was given to us.

**V. EXTENDED REPORTING PERIOD****A. Basic Extended Reporting Period**

1. Upon "termination of coverage", we will automatically provide a Basic Extended Reporting Period for any "claim" first made during the period of time starting with the end of the "policy period", and lasting for a period of sixty (60) days. The Basic Extended Reporting Period is provided at no charge.
2. The Basic Extended Reporting Period is excess over any other valid and collectible insurance, whether primary, excess, contingent or on any other basis, whose policy period begins or continues after the Basic Extended Reporting Period begins.
3. The Basic Extended Reporting Period does not reinstate or increase the Limits of Liability. The Limits of Liability for such period shall be a part of, and not in addition to, the Limits of Liability listed on the Declarations. This applies regardless of the number of involved "insureds" or any other factor;

B. Optional Extended Reporting Period

1. Upon "termination of coverage", you shall have the right to purchase an Optional Extended Reporting Period of one (1) year. Such endorsement, when issued, extends the period of time during which the "insured" may report "claims" to us.
2. The Optional Extended Reporting Period shall be effective only upon the payment of an additional premium. The additional premium will be ninety percent (90%) of the annual expiring premium for this Coverage Part. At the commencement of the Optional Extended Reporting Period, the entire premium therefore shall be deemed fully earned and non-refundable.
3. The quotation of a different premium for renewal is not a cancellation or refusal to renew for the purposes of this provision.
4. You shall have no right to purchase the Optional Extended Reporting Period, unless you have satisfied all conditions of the Coverage Part and all premiums and Deductibles outstanding have been paid.
5. Your right to purchase the Optional Extended Reporting Period shall terminate unless written notice of acceptance, together with full payment of the premium is received no later than within thirty (30) days from our date of mailing you the notice on the availability of an Extended Reporting Period or within sixty (60) days following the effective date of "termination of coverage", whichever is greater.
6. Where a "claims-made relationship" has continued for at least three (3) years, and this Coverage Part contains an Aggregate Limit, the Aggregate Limit, if any, for the Optional Extended Reporting Period coverage shall be at least equal to one hundred percent (100%) of this Coverage Part's Aggregate Limit.
7. Where the "claims-made relationship" has continued for less than three (3) years, and this "coverage part" contains an Aggregate Limit, the Aggregate Limit, if any, for the Optional Extended Reporting Period shall at least be equal to the greater of:
 - a. The amount of coverage remaining in this Coverage Part's Aggregate Limit; or
 - b. Fifty percent (50%) of this Coverage Part's Aggregate Limit specified in the Declarations.
8. Only one Aggregate Limit will apply and this is the most "we" will pay for any combination of "claim expenses" and "damages" for the total of all "claims" made during the Optional Extended Reporting Period regardless of the number of:
 - a. "Insureds" this Coverage Part insures;
 - b. Persons or entities that are making "claims"; and
 - c. "Wrongful acts" that are committed.
9. If you have been placed in liquidation or bankruptcy or permanently cease operations; and the "named insured" or the "named insured's" designated trustee does not purchase an Optional Extended Reporting Period, any insured under this Coverage Part may purchase an Optional Extended Reporting Period Endorsement for their own interest within one hundred and twenty (120) days of such event. Such person, who purchases the Optional Extended Reporting Period, shall pay the additional premium.

C. Terms applicable to both the Basic Extended Reporting Period and the Optional Extended Reporting Period:



1. Only apply to any "wrongful act" which takes place on or after the "retroactive date" and prior to the end of the "policy period";
2. Do not extend the "policy period" or change the scope of coverage provided.
3. Where "termination of coverage" is due only to a decrease in this Coverage Part's Aggregate Limit, the Aggregate Limit, if any, for any "extended reporting period" shall be no greater than the amount of such decrease.
4. Are not renewable;
5. Cannot, once in effect, be canceled;
6. Within thirty (30) days after "termination of coverage", we will advise you in writing of the availability of, the premium for, and the importance of "extended reporting period" coverage;
7. During a "claims-made" relationship and any "extended reporting period", a person employed or otherwise affiliated with the "named insured" and covered by the "named insured's" claims-made policy during such affiliation, will continue to be covered under such policy and any "extended reporting period" after such affiliation has ceased for such person's "wrongful act"; and
8. Where a "claims-made relationship" has continued for less than one (1) year, upon "termination of coverage" for nonpayment of premium or fraud, we are not required to:
 - a. Advise the "named insured" of "extended reporting period" coverage and the availability of, the premium for, and importance of purchasing an Optional Extended Reporting Period Endorsement; or
 - b. Offer the "named insured" an Optional Extended Reporting Period Endorsement.

VI. COVERAGE TERRITORY

The insurance afforded by this Coverage Part applies worldwide, provided that the "claim" is made and any legal action is pursued within the United States of America, its territories, possessions or commonwealths, or Canada.

VII. LIMIT OF LIABILITY AND DEDUCTIBLE

- A. We will pay all "damages" and "claim expenses" resulting from each "claim" in excess of the Deductible stated in the Declarations, subject to B. through H.
- B. The maximum we will pay for each "claim" is the Each Claim Limit of Liability stated in the Declarations, subject to the Annual Aggregate Limit of Liability the Declarations.
- C. Subject to **Section V - Extended Reporting Periods**, paragraph B.7. and B.8., The maximum we will pay for all "claims" under this Coverage Form is the Annual Aggregate Limit of Liability stated in the Declarations, regardless of the number of "claims".
- D. "Claim expenses" shall be part of and not in addition to the Limit of Liability and payments of "claim expenses" and "damages" shall reduce the Limit of Liability.
- E. If the applicable Limit of Liability is exhausted by:
 - (1) Payment of "damages";
 - (2) Payment of "claim expenses", or
 - (3) Any combination of the above,
 all of our obligations under the this Coverage Part with respect to any "claim", including the duty to defend, shall terminate immediately.
- F. Deductible
 - (1) The Deductible stated in the Declarations shall be paid by you, shall apply to each "claim" and shall include "damages" and "claim expenses".
 - (2) We may from time to time advance payments for "damages" and "claim expenses" within the Deductible. Any amounts within the Deductible shall, upon written demand by us, be paid by you within thirty (30) days.
- G. The Limits of Liability of this Coverage Part apply separately to each consecutive annual period and to any remaining period of less than twelve (12) months, starting with the beginning of the "policy period" shown in the Declarations, unless the "policy period" is extended after issuance for an additional period of less than twelve (12)



months. For this additional period, the Annual Aggregate Limit of the expiring Coverage Part shall be increased in proportion to the policy extension.

H. Multiple Insureds, Claims and Claimants

- (1) Two or more "claims" arising out of the same "wrongful act" or "interrelated wrongful acts" shall be treated as a single "claim" and shall be considered first made at the earlier of the following times:
 - (a) The time at which the earliest "claim" involving the same "wrongful act" or "interrelated wrongful acts" is first made, or
 - (b) The time at which the "claim" involving the same "wrongful act" or "interrelated wrongful acts" is deemed to have been first made pursuant to Section IV.
- (2) The inclusion of more than one "insured" in the making of a single "claim", the bringing of more than one "claim" regarding the same "wrongful act" or "interrelated wrongful acts" or the making of a "claim" by more than one person or organization shall not increase the Limit of Liability.

VIII. DUTIES IN THE EVENT OF CLAIM

As a condition precedent to any coverage provided by this Coverage Part and any obligations of ours under this Coverage Part, the "insured" must comply with each of the following Duties in the Event of a "Claim".

A. Notice of Claim

- (1) The "insured" shall provide us with written notice of any "claim" as soon as practicable. However, failure to give any notice required to be given within the time prescribed above shall not invalidate any "claim" made by the "insured", injured person or any other claimant, if it shall be shown not to have been reasonably possible to give such notice within the prescribed time and that notice was given as soon as was reasonably possible thereafter.
- (2) Failure to give any notice required to be given within the time prescribed shall not invalidate any "claim" made by the "insured", injured person or any other claimant, unless the failure to provide timely notice has prejudiced us, except as provided in Paragraph (1) above.
- (3) Notice given by the "insured" or on the "insured's" behalf, or written notice by or on behalf of the injured person or any other claimant, to any of our licensed agents in New York State with particulars sufficient to identify the "first named insured", shall be considered to be notice to us.
- (4) The "insured" must include with any notice of "claim" a description of the "claim", the nature of the alleged "wrongful act", a summary of the facts upon which the "claim" is based, the nature of the alleged damage, the names of the claimants, the names of the "insureds" against whom the "claim" has been made, the manner in which the "insured" first became aware of the "claim" and any documents received directly by the "insured" or by the "insured's" representatives in connection with the making and handling of the "claim", such as any letters, demands, or summonses.
- (5) With respect to a "claim" arising out of death or personal injury of any person, if we disclaim liability or deny coverage based upon the failure to provide timely notice, then the injured person or other claimant may maintain an action directly against us, on the sole question of late notice, unless the "insured" or the insurer, within sixty (60) days following the disclaimer or denial, initiates an action to declare the rights of the parties under this Coverage Part, and names the injured person or other claimant as a party to the action.

B. Assistance and Cooperation of the Insured

- (1) The "insured" shall fully assist and cooperate with us in the investigation, settlement and defense of all "claims" and upon our request shall authorize the release of records and other information, secure and give evidence, attend hearings and trials and obtain the location of and cooperation of witnesses.
- (2) The "insured" shall not, except at the "insured's" own cost, voluntarily make any payment, assume any obligation, incur any expenses, or admit any liability in connection with any "claim", incur any "claim expenses", or settle any "claim" without our written consent. The "insured" further agrees not to take any action which may increase our exposure under this Coverage Part.

**C. Subrogation**

- (1) In the event of any payment under this Coverage Part, we shall be subrogated to all the "insured's" rights of recovery therefore against any person or organization and the "insured" shall execute and deliver all instruments and papers required and do whatever else is necessary to secure and preserve such rights and to enable us to effectively bring suit in our name. The "insured" shall do nothing to prejudice such rights and shall provide all assistance and cooperation which we may reasonably require.
- (2) We shall not exercise any such right against any persons, firms or corporations included in the definition of "insured". Notwithstanding the foregoing, we reserve the right to exercise any rights of subrogation against an "insured" with respect to any "claim" brought about or contributed to by any intentional discrimination or by the dishonest, fraudulent, criminal or malicious act or omission of such "insured".

D. False or Fraudulent Claims

If any "insured" commits any false or fraudulent act in connection with the submission of a "claim" under this Coverage Part, this Coverage part shall be rendered null and void as to that "insured" from the date such fraudulent "claim" is received by us.

IX. CONDITIONS**A. Application**

In granting coverage under this Coverage Part, we have relied on the representations in the "application". All such representations are the basis of coverage under this Coverage Part. By acceptance of this Coverage Part, the "insured" agrees that with respect to the statements in the "application":

- (1) That the statements in the "application" are the true and correct representations of the "insured", each shall be deemed material to the acceptance of the risk or the hazard assumed by us under this insurance, and this coverage form is issued in reliance upon the truth and accuracy of such representations;
- (2) That in the event the "application" contains misrepresentations or fails to state facts which materially affect either the acceptance of the risk or the hazard assumed by us under this Coverage Part, this Coverage Part in its entirety shall be void and of no effect whatsoever, and
- (3) That this Coverage Part shall be deemed to be a single unitary contract and not a severable contract of insurance or a series of individual insurance contracts with each "insured".

B. Other Insurance

This Coverage Part shall apply in excess of the amount of the Deductible and any other valid and collectible insurance available to the "insured", whether such other insurance is stated to be primary, pro rata, contributory, excess, contingent or otherwise, unless such other insurance specifically applies as excess insurance over the Limit of Liability provided herein.

C. Changes in Exposure

- (1) If after the Effective Date of this Coverage Part:

- (a) You merge into or consolidate with another organization such that the other organization is the surviving organization;
- (b) Another organization or person or group of organizations and/or persons acting in concert acquires all or substantially all of your assets;
- (c) Another organization or person or group of organizations and/or persons acting in concert acquires securities or voting rights which result in ownership or voting control by such other organization or person or group of organizations or persons of more than 50% of the outstanding securities representing the present right to vote for the election of your directors; or
- (d) You experience a cumulative change of 50% or more of the persons occupying positions on your Board of Directors,

then coverage under this Coverage Part shall continue to apply to the "insured", but only with respect to any "claims" first made during the "policy period" or the "extended reporting period", if purchased, for "wrongful acts" committed or allegedly committed prior to the effective date of such merger, consolidation, acquisition or change in positions and only if the following conditions are met:



- (i) The "insured" provides written notice of such event or transaction to us within 30 days of the effective date of such event or transaction;
 - (ii) The "insured" provides us with such information in connection therewith as we may deem necessary; and
 - (iii) The "insured" accepts any special terms, conditions, or exclusions or pays additional premium charge as may be required.
- (2) If after the Effective Date of this Coverage Part, the "insured" merges or consolidates with another entity such that the "insured" is the surviving entity, acquires another entity or substantially all of the assets of another entity or creates or acquires a "subsidiary" as defined in **SECTION II - DEFINITIONS**, no coverage shall be afforded under this coverage form for any "claim" involving the assets acquired, the entity which is merged or consolidated with or acquired, the "subsidiary", or any of the assets, liabilities, directors, officers or employees of such entity or such "subsidiary" unless:
- (a) The "insured" provides written notice of such merger, consolidation, creation or acquisition to us within thirty (30) days after the effective date of such merger, consolidation, creation or acquisition;
 - (b) The "insured" provides us with such information in connection therewith as we may deem necessary;
 - (c) The "insured" accepts any special terms, conditions, or exclusions or pays additional premium charge as may be required; and
 - (d) We, at our sole discretion, agree to provide such coverage.
- (3) In the event of sale or dissolution of any "subsidiary" of yours after the Effective Date of this Coverage Part, the Coverage Part shall continue to apply to such "subsidiary" and to the partners, executive officers, directors, stockholders and employees of such "subsidiary", but only with respect to any "claim" first made during the "policy period" or the "extended reporting period", if purchased, for "wrongful acts" committed or allegedly committed prior to the effective date of sale or dissolution.

D. Legal Action Against Us

No action shall lie against us unless, as a condition precedent thereto, the "insured" has fully complied with all the terms of this insurance and both the "insured's" liability and the amount of the "insured's" obligation to pay have been fully and finally determined either by judgment against the "insured" or by written agreement between the "insured", the claimant and us. Any person or organization or the legal representative thereof who has secured such judgment or written agreement shall thereafter be entitled to recover under this coverage form to the extent of the insurance afforded by this Coverage Part. Nothing contained in this Coverage Part shall give any person or organization any right to join us as a party to any "claim". The "insured" or any of its legal representatives shall not implead us in any "claim".

E. Bankruptcy or Insolvency

Bankruptcy or insolvency of the "insured" or the "insured's" estate shall not relieve us of any of our obligations under this Coverage Part.

F. Authorization

By acceptance of this Coverage Part, the "insureds" agree that you shall act on behalf of all "insureds" with respect to the purchase and negotiation of this Coverage Part, the giving and receiving of all notices as provided herein, the cancellation of this Coverage Part, the payment of premiums and Deductibles, the receiving of any return premiums that may become due and the purchase of the "extended reporting period".

G. When We Do Not Renew

1. If we decide not to renew this coverage, we will mail or deliver to the first "named insured" shown in the Declarations written notice of the nonrenewal not less than thirty (30) days before the expiration date.
2. If notice is mailed, proof of mailing will be sufficient proof of notice.
3. Any state amendatory endorsement changing Nonrenewal Conditions for any part of this policy shall also apply to this Coverage Part.

H. Transfer Of Duties When A Limit Of Liability Is Used Up

- (1) If we conclude that, based on "wrongful acts" or "claims" which have been reported to us and to which this Coverage Part may apply, the:



(a) Annual Aggregate Limit of Liability; or

(b) Each Claim Limit of Liability

is likely to be used up in the payment of judgments or settlements, we will notify the "insured" in writing, to that effect.

(2) When a limit of liability described in (1) above has actually been used up in the payment of judgments or settlements:

(a) We will notify the "insured" in writing, as soon as practicable, that:

(i) Such a limit has actually been used up; and

(ii) Our duty to defend the "insured" against any "claim" has also ended.

(b) We will initiate, and cooperate in, the transfer of control, to any appropriate "insured", of all "claims" seeking "damages" which are subject to that limit and which are reported to us before that limit is used up. That "insured" must cooperate in the transfer of control of said "claims".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "claims" until such transfer is completed, provided the appropriate "insured" is cooperating in completing such transfer.

We will take no action whatsoever with respect to any "claim" seeking "damages" that would have been subject to that limit, had it not been used up, if the "claim" is reported to us after that limit of liability has been used up.

(c) The "named insured" and any other "insured" involved in a "claim" seeking "damages" subject to that limit, must arrange for the defense of such "claim" within such time period as agreed to between the appropriate "insured" and us. Absent any such agreement, arrangements for the defense of such "claim" must be made as soon as practicable.

(3) The "named insured" will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with (2)(b) above. The duty of the "named insured" to reimburse us will begin on:

(a) The date on which the applicable limit of liability is used up, if we sent notice in accordance with (1) above; or

(b) The date on which we sent notice in accordance with (2)(a) above, if we did not send notice in accordance with paragraph (1) above.

(4) The exhaustion of any limit of liability by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

I. Right to Claim and Incident Information

Upon written request by the "named insured" or the authorized agent or broker, we will mail the following loss information covering a period of years specified by regulation by the Superintendent of Insurance, or the period of time coverage has been provided by us, whichever is less, within ten (10) days of such request:

1. Information on closed "claims", including date and description of each "wrongful act", and amounts of any payments.
2. Information on open "claims", including date and description of each "wrongful act", and amounts of any payments.
3. Information on notice of any "wrongful act" including date and description. We may charge a reasonable fee as determined by the Superintendent of Insurance for such loss information provided upon request, but not for such information required to be provided.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.



IMPORTANT NOTICE TO POLICYHOLDERS – EMPLOYMENT PRACTICES LIABILITY RISK MANAGEMENT WEB SITE

Thank you for choosing The Hartford for your Employment Practices Liability ("EPL") coverage. This coverage is part of your Spectrum policy.

As a Hartford insured, you now have free and exclusive access to a service designed to help you better protect your company from employment-related litigation. Go to our website, www.hartfordhelp.com and register your company today.

Your registration Code is: HFP2-07

This site provides you with timely information on employment litigation trends, laws and best practices. As a Hartford Employment Practices Liability policyholder, you have access to enhanced services such as:

- o Online Sexual Harassment training for your employees
- o Anti-Discrimination training
- o Sample policies and procedures

We hope you take advantage of these valuable services offered free of charge exclusively to Hartford Employment Practices Liability customers.

Thank you again for choosing The Hartford.

Insurance Policy Billing Information

Thank you for selecting The Hartford for your business insurance needs.

Shortly, you will receive your first bill from us. You are receiving this Notice so you know what to expect as a valued customer of The Hartford. Should you have any questions after reviewing this information, please contact us at 866-467-8730, and we will be happy to assist you.

- o Your total policy premium will appear on your policy's Declarations Page. You will be billed based on the payment plan you selected.
- o You may pay the "minimum due" as it appears on your insurance bill or pay the policy balance in full.
- o An installment service fee is added to each installment. A late fee will also be applied if the "minimum due" is not **received** by the due date shown on your bill. Service and late payment fees do not apply in all states.
- o If you selected installment billing, any credit or additional premium due as the result of a change made to your policy, will be spread over the remaining billing installments. Additional premium due as a result of an **audit** will be billed in full on your next bill date following the completion of the audit.
- o If you elected Electronic Funds Transfer (EFT), policy changes may result in changes to the amount automatically withdrawn from your bank account. The invoice you receive following a policy change will include future withdrawal amounts. If you need to adjust or stop your next scheduled EFT withdrawal, please contact us **at least 3 days prior** to the scheduled withdrawal date at the telephone number shown below.
- o If you selected installment billing and pay the premiums for your first policy term on time, at renewal, your account may qualify for our "Equal Installment" feature. This means that the percentage due for each installment, including the initial renewal installment, will be the same throughout the policy term – helping you better manage cash flow. Equal installments will continue as long as you pay your premiums on time and no cancellation notices are issued for any policy on your account. If you no longer qualify for Equal Installments, future renewals will be billed based on the payment plan you selected, which includes a higher initial installment amount.
- o If your policy is eligible for renewal, your bill for the upcoming policy term will be sent to you approximately 30 days prior to your policy's renewal date. If your insurance needs change, please contact us at least 60 days prior to your renewal date so we can properly address any adjustments needed.
- o **One bill convenience** -- you have the option of combining all eligible Hartford policies on one single bill allowing you to make one payment for all policies on your account as payments are due.

You're In Control

In addition to selecting a bill plan option that best meets your budget, you have the flexibility to decide **how** your payments are made ...

- o **Repetitive EFT:** Sign up for Repetitive EFT payments and have payments automatically withdrawn from your bank account. This option saves you money by reducing the amount of the installment service fee.
- o **Pay Online:** Register at www.thehartford.com/servicecenter. Online Bill Pay is Quick, Easy and Secure!
- o **Pay by Check:** Send a check with your remittance stub in the envelope provided with your bill.
- o **Pay by Phone:** Call toll-free 1-866-467-8730.

Should you have any questions about your bill, please call Customer Service toll-free number:
1-866-467-8730 - 7AM – 7PM CST. We look forward to being of service to you.



COMMON POLICY CONDITIONS

DECLARATIONS AND COMMON POLICY CONDITIONS

I. DECLARATIONS

Named Insured and Mailing Address
Policy Period
Description and Business Location
Coverages and Limits of Insurance

II. COMMON POLICY CONDITIONS

QUICK REFERENCE - SPECTRUM POLICY

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COMMON POLICY CONDITIONS

All coverages of this Policy are subject to the following conditions:

A. CANCELLATION

1. The first Named Insured shown in the Declarations may cancel this Policy by mailing or delivering to us advance written notice of cancellation.
2. We may cancel this Policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - a. 5 days before the effective date of cancellation if any one of the following conditions exists at any building that is Covered Property in this Policy:
 - (1) The building has been vacant or unoccupied 60 or more consecutive days. This does not apply to:
 - (a) Seasonal unoccupancy; or
 - (b) Buildings in the course of construction, renovation or addition.
Buildings with 65% or more of the rental units or floor area vacant or unoccupied are considered unoccupied under this provision.
 - (2) After damage by a Covered Cause of Loss, permanent repairs to the building:
 - (a) Have not started; and
 - (b) Have not been contracted for,
within 30 days of initial payment of loss.
 - (3) The building has:
 - (a) An outstanding order to vacate;
 - (b) An outstanding demolition order; or
 - (c) Been declared unsafe by governmental authority.
 - (4) Fixed and salvageable items have been or are being removed from the building and are not being replaced. This does not apply to such removal that is necessary or incidental to any renovation or remodeling.
 - (5) Failure to:
 - (a) Furnish necessary heat, water, sewer service or electricity for 30 consecutive days or more, except during a period of seasonal unoccupancy; or
 - (b) Pay property taxes that are owed and have been outstanding for more than one year following the date due. This provision will not apply where you are in a bona fide dispute with the taxing authority regarding payment of such taxes.
 - b. 10 days before the effective date of cancellation if we cancel for nonpayment of premium.
 - c. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this Policy is canceled, we will send the first Named Insured any premium refund due. Such refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.



B. CHANGES

This Policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this Policy with our consent. This Policy's terms can be amended or waived only by endorsement issued by us and made a part of this Policy.

C. CONCEALMENT, MISREPRESENTATION OR FRAUD

This Policy is void in any case of fraud by you as it relates to this Policy at any time. It is also void if you or any other insured, at any time, intentionally conceal or misrepresent a material fact concerning:

1. This Policy;
2. The Covered Property;
3. Your interest in the Covered Property; or
4. A claim under this Policy.

D. EXAMINATION OF YOUR BOOKS AND RECORDS

We may examine and audit your books and records as they relate to the Policy at any time during the policy period and up to three years afterward.

E. INSPECTIONS AND SURVEYS

1. We have the right but are not obligated to:
 - a. Make inspections and surveys at any time;
 - b. Give you reports on the conditions we find; and
 - c. Recommend changes.
2. Any inspections, surveys, reports or recommendations will relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of any person. We do not represent or warrant that conditions:
 - a. Are safe or healthful; or
 - b. Comply with laws, regulations, codes or standards.
3. This condition applies not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations on our behalf.

F. INSURANCE UNDER TWO OR MORE COVERAGES

If two or more of this Policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

G. LIBERALIZATION

If we adopt any revision that would broaden the coverage under this Policy without additional premium within 45 days prior to, or at any time during, the policy period, the broadened coverage will immediately apply to this Policy.

H. PREMIUMS

1. The first Named Insured shown in the Declarations:
 - a. Is responsible for the payment of all premiums; and
 - b. Will be the payee for any return premiums we pay.
2. The premium shown in the Declarations was computed based on rates in effect at the time the Policy was issued. If applicable, on each renewal, continuation or anniversary of the effective date of this Policy, we will compute the premium in accordance with our rates and rules then in effect.
3. With our consent, you may continue this Policy in force by paying a continuation premium for each successive policy period. The premium must be:



- a. Paid to us prior to the anniversary date; and
- b. Determined in accordance with Paragraph 2. above.

Our forms then in effect will apply. If you do not pay the continuation premium, this Policy will expire on the first anniversary date that we have not received the premium.

- 4. Changes in exposures or changes in your business operation, acquisition or use of locations that are not shown in the Declarations may occur during the policy period. If so, we may require an additional premium. That premium will be determined in accordance with our rates and rules then in effect.

I. TRANSFER OF YOUR RIGHTS AND DUTIES UNDER THIS POLICY

- 1. Your rights and duties under this Policy may not be transferred without our written consent except in the case of death of an individual Named Insured.
- 2. If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

J. PREMIUM AUDIT

- 1. We will compute all premiums for this Policy in accordance with our rules and rates.
- 2. The premium amount shown in the Declarations is a deposit premium only. At the close of each policy period, we may do an audit to compute the earned premium for that period. Any additional premium found to be due as a result of the audit are due and payable on notice to the first Named Insured. If the deposit premium paid for the policy term is greater than the earned premium, we will return the excess to the first Named Insured.
- 3. The first Named Insured must maintain all records related to the coverage provided by this Policy and necessary to finalize the premium audit, and send us copies of the same upon our request.

K. PAYMENT OF PREMIUMS

If your initial premium payment is by check draft, electronic funds transfer, credit card, debit card, or any other form of remittance, coverage under the Policy is conditioned on payment to us by the financial institution. If the financial institution does not honor such remittance upon presentment, this policy may, at our option, be deemed void from its inception.

Our President and Secretary have signed this Policy. Where required by law, the Declarations page has also been countersigned by our duly authorized representative.

Kevin Barnett, Secretary

A. Morris Tooker, President



NEW YORK CHANGES – COMMON POLICY CONDITIONS

This endorsement modifies insurance provided under the following and supersedes any conflicting provisions found in any other part of the Policy:

COMMON POLICY CONDITIONS

Except as otherwise stated in this endorsement, the terms and conditions of the Policy apply.

A. The following provisions modify Section A., **CANCELLATION**:

1. Paragraph 1. is deleted and replaced by the following:

The first Named Insured shown in the Declarations may cancel this entire Policy by mailing or delivering to us advance written notice of cancellation.

2. Paragraph 2. is deleted and replaced with the following:

Cancellation Of Policies In Effect

a. 60 Days Or Less

We may cancel this Policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

- (1) 30 days before the effective date of cancellation if we cancel for any reason not included in paragraph (2) below.
- (2) 15 days before the effective date of cancellation if we cancel for any of the following reasons:
 - (a) Nonpayment of premium, provided, however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due;
 - (b) Conviction of a crime arising out of acts increasing the hazard insured against;
 - (c) Discovery of fraud or material misrepresentation in the obtaining of the Policy or in the presentation of a claim;
 - (d) After issuance of the Policy or after the last renewal date, discovery of an act or omission, or a violation of any Policy condition, that substantially and materially increases the hazard insured against, and which occurred subsequent to inception of the current policy period;
 - (e) Material physical change in the property insured, occurring after issuance or last annual renewal anniversary date of the Policy, which results in the property becoming uninsurable in accordance with our objective, uniformly applied underwriting standards in effect at the time the policy was issued or last renewed; or material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the Policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the Policy was issued or last renewed;
 - (f) Required pursuant to a determination by the Superintendent that the continuation of our present premium volume would jeopardize our solvency or be hazardous to the interest of our policyholders, our creditors or the public;
 - (g) A determination by the Superintendent that the continuation of the Policy would violate, or would place us in violation of, any provision of the Insurance Code; or
 - (h) Where we have reason to believe, in good faith and with sufficient cause, that there is a probable risk of danger that the insured will destroy or permit to be destroyed, the insured property for the purpose of collecting the insurance proceeds. If we cancel for this reason, you may make a written request to the Insurance Department, within 10 days of receipt of this notice, to review our cancellation decision. Also, we will simultaneously send a copy of this cancellation notice to the Insurance Department.

b. For More Than 60 Days

If this Policy has been in effect for more than 60 days, or if this Policy is a renewal or continuation of a Policy we issued, we may cancel only for any of the reasons listed in Paragraph 2.a.(2) above, provided:



(1) We mail the first Named Insured written notice at least 15 days before the effective date of cancellation; and

(2) If we cancel for nonpayment of premium, our notice of cancellation informs the first Named Insured of the amount due.

3. Paragraph 3. is deleted and replaced with the following:

We will mail or deliver our notice, including the reason for cancellation, to the first Named Insured at the address shown in the Policy and the authorized agent or broker.

4. Paragraph 5. is deleted and replaced with the following:

If this Policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata.

However, when the premium is advanced under a premium finance agreement, the cancellation refund will be pro rata. Under such financed policies, we will be entitled to retain a minimum earned premium of 10% of the total policy premium or \$60, whichever is greater. The cancellation will be effective even if we have not made or offered a refund.

5. The following provision is added:

Condition Applicable to New York Policies

If one of the reasons for cancellation in Paragraph 2.a.(2) above or C.1.b. of this endorsement exists, we may cancel this entire Policy, even if the reason for cancellation pertains only to a new coverage or endorsement initially effective subsequent to the original issuance of this Policy.

B. The following provision is added:

ADDITIONAL CONDITIONS

1. Nonrenewal

If we decide not to renew this Policy, we will send notice as provided in Paragraph 3. below.

2. Conditional Renewal

If we condition renewal of this Policy upon:

- a. A change of limits;
- b. A change in type of coverage;
- c. A reduction of coverage;
- d. An increased deductible;
- e. An addition of exclusion; or
- f. Increased premiums in excess of 10%, exclusive of any premium increase due to and commensurate with insured value added; or increased exposure units; or as a result of experience rating, loss rating, retrospective rating or audit;

we will send notice as provided in Paragraph 3. below.

3. Notices of Nonrenewal and Conditional Renewal

a. If we decide not to renew this Policy or to conditionally renew this Policy as provided in Paragraphs 1., **Nonrenewal**, and 2., **Conditional Renewal**, above, we will mail or deliver written notice to the first Named Insured shown in the Declarations at least 60 but not more than 120 days before:

- (1) The expiration date; or
- (2) The anniversary date if this is a continuous Policy.

b. Notice will be mailed or delivered to the first Named Insured at the address shown in the Policy and the authorized agent or broker. If notice is mailed, proof of mailing will be sufficient proof of notice.

c. Notice will include the specific reason(s) for nonrenewal or conditional renewal, including the amount of any premium increase for conditional renewal and description of any other changes.

d. If we violate any of the provisions of Paragraph a., b. or c. above by sending the first Named Insured an incomplete or late conditional renewal or a late nonrenewal notice and if notice is provided:



- (1) Prior to the expiration date of this Policy, coverage will remain in effect at the same terms and conditions of this Policy at the lower of the current rates or the prior period's rates until 60 days after such notice is mailed or delivered, unless the first Named Insured has replaced the coverage or elects to cancel during this 60 day period.
 - (2) On or after the expiration date of this Policy, coverage will remain in effect at the same terms and conditions of this Policy for another policy period, at the lower of the current rates or the prior period's rates, unless the first Named Insured has replaced the coverage or elects to cancel during this additional policy period.
 - e. If you elect to renew on the basis of a late conditional renewal notice, the terms, conditions and rates set forth in such notice shall apply:
 - (1) Upon expiration of the 60-day period unless Paragraph (2), below applies; or
 - (2) Notwithstanding the provisions in Paragraph d.(1) and d.(2) above, as of the renewal date of the Policy, if the conditional renewal notice was sent at least 30 days prior to the expiration or anniversary date of the Policy.
 - f. We will not send you notice of nonrenewal or conditional renewal if you, your authorized agent or broker or another insurer of yours mails or delivers notice that the Policy has been replaced or is no longer desired.
- C. If this policy covers buildings or structures containing 1 to 4 dwelling units, the following provisions will apply in lieu of Section A. above:
1. Paragraph 2. of Section A., **CANCELLATION** is deleted and replaced by the following:

Procedure and Reasons For Cancellation

 - a. We may cancel this entire Policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - (1) 15 days before the effective date of cancellation if we cancel for nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due; or
 - (2) 30 days before the effective date of cancellation if we cancel for any other reason.
 - b. But if this Policy has been in effect for more than 60 days; or is a renewal of a Policy we issued; we may cancel this Policy only for one or more of the following reasons, or as permitted under applicable New York Law:
 - (1) Nonpayment of premium, provided, however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due;
 - (2) Conviction of a crime arising out of acts increasing the risk of loss;
 - (3) Discovery of fraud or material misrepresentation in obtaining the policy or in making a claim;
 - (4) Discovery of willful or reckless acts or omissions increasing the risk of loss;
 - (5) Physical changes in the covered property that make that property uninsurable in accordance with our objective and uniformly applied underwriting standards in effect when we:
 - (a) Issued the policy; or
 - (b) Last voluntarily renewed the Policy.
 - (6) The Superintendent of Insurance's determination that continuing the Policy would violate Chapter 28 of the Insurance Law; or
 - (7) Required pursuant to a determination by the Superintendent of Insurance that the continuation of our present premium volume would be hazardous to the interests of our policyholders, our creditors or the public.
- D. If this Policy covers buildings or structures containing 1 to 4 dwelling units, the following provision will apply in lieu of Section B. above:

ADDITIONAL CONDITIONS



1. Conditional Continuation

Instead of cancelling this Policy, we may continue it on the condition that:

- a. The Policy limits be changed; or
- b. Any coverage not required by law be eliminated.

If this Policy is conditionally continued, we will mail or deliver to the first Named Insured written notice at least 20 days before the effective date of the change or elimination.

We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

2. Nonrenewal

If, as allowed by the laws of New York State, we:

- a. Do not renew this Policy; or
- b. Condition policy renewal upon :
 - (1) Change of limits; or
 - (2) Elimination of coverage;

We will mail or deliver written notice of nonrenewal or conditional renewal at least 45 days, but not more than 60 days, before the expiration date of the Policy.

We will mail or deliver notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

- E. If this Policy covers buildings or structures containing 1 to 4 dwelling units, Paragraph **3.** of Section **H., PREMIUMS**, is deleted and replaced with the following:

3. With our consent, you may continue this Policy in force by paying a continuation premium for each successive one-year period. The premium must be:

- a. Paid to us prior to the anniversary date; and
- b. Determined in accordance with Paragraph **2.** above.

Our forms then in effect will apply. If you do not pay the continuation premiums, this Policy will be cancelled in accordance with the cancellation procedures for nonpayment of premium as amended in Section **A.** of this endorsement.

- F. When the property is subject to the Anti-Arson Application in accordance with New York Insurance Department Regulation No. 96, the following provisions are added:

CONDITION APPLICABLE TO NEW YORK POLICIES

Unless you return the completed, signed and affirmed anti-arson application to us:

- 1. Or our broker or agent within 45 days of the effective date of the Policy, we will cancel this entire Policy by giving 20 days written notice to you and to the mortgage holder shown in the Declarations.
- 2. Before the expiration date of the Policy, we will cancel the Policy by giving written notice to you and to the mortgageholder shown in the Declarations at least 15 days before the effective date of cancellation.

If the notice in **1.** or **2.** above is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

The provisions of this Section regarding notice of cancellation supersede all other provisions of this Policy, including this endorsement.

- G. Section **C., CONCEALMENT, MISREPRESENTATION OR FRAUD**, is deleted and replaced by the following:
CONCEALMENT, MISREPRESENTATION OR FRAUD

We do not provide coverage for any insured who has made fraudulent statements or engaged in fraudulent conduct in connection with any loss or damage for which coverage is sought under this Policy.



H. Paragraph 3. of Section H., PREMIUMS is deleted and replaced by the following:

- 3.** With our consent, you may continue this Policy in force by paying a continuation premium for each successive one-year period. The premium must be:
 - a.** Paid to us prior to the anniversary date; and
 - b.** Determined in accordance with Paragraph 2.

Our forms then in effect will apply. If you do not pay the continuation premiums, this Policy will be cancelled in accordance with the cancellation procedures for nonpayment of premium as amended in Paragraph A. of this endorsement.

I. Section L., PREMIUM AUDIT, is amended as follows:

- 1.** Paragraph 2. is deleted and replaced by the following:

The premium amount shown in the Declarations is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. An audit to determine the final premium due or to be refunded will be completed within 180 days after the expiration date of the Policy. But the audit may be waived if the total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1500. If the sum of the advance and audit premiums paid for the policy term is greater than the earned premium, we will return the excess to the first Named Insured.

- 2.** The following is added:

Except as provided in Paragraph 1. of this Section, Section D., **EXAMINATION OF YOUR BOOKS AND RECORDS**, continues to apply.



PRODUCER COMPENSATION NOTICE

You can review and obtain information on The Hartford's producer compensation practices at www.TheHartford.com or at 1-800-592-5717.



DISCLOSURE/CAP ON LOSSES - TERRORISM RISK INSURANCE ACT

THIS ENDORSEMENT IS ATTACHED TO AND MADE PART OF YOUR POLICY IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT.

POLICY NUMBER: 16 SBA AV70DV

SCHEDULE

Terrorism Premium:

\$32

A. Disclosure Of Premium

In accordance with the federal Terrorism Risk Insurance Act, as amended (TRIA), we are required to provide you with a notice disclosing the portion of your premium, if any, attributable to coverage for "certified acts of terrorism" under TRIA. The portion of your premium attributable to terrorism coverage is shown in the above Schedule of this endorsement.

B. The following definition is added with respect to the provisions of this endorsement:

1. A "certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of TRIA, to be an act of terrorism under TRIA. The criteria contained in TRIA for a "certified act of terrorism" include the following:
 - a. The act results in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to TRIA; and
 - b. The act results in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of an United States mission; and
 - c. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

C. Disclosure Of Federal Share Of Terrorism Losses

The United States Department of the Treasury will reimburse insurers for 80% of insured losses attributable to "certified acts of terrorism" under TRIA that exceeds the applicable insurer deductible.

However, if aggregate industry insured losses attributable to "certified acts of terrorism" under TRIA, exceed \$100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds \$100 billion. The United States government has not charged any premium for their participation in covering terrorism losses.

D. Cap On Insurer Liability for Terrorism Losses

If aggregate industry insured losses attributable to "certified acts of terrorism" under TRIA exceed \$100 billion in a calendar year and we have met, or will meet, our insurer deductible under TRIA, we shall not be liable for the payment of any portion of the amount of such losses that exceed \$100 billion. In such case, your coverage for terrorism losses may be reduced on a pro-rata basis in accordance with procedures established by the Treasury, based on its

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estimates of aggregate industry losses and our estimate that we will exceed our insurer deductible. In accordance with the Treasury's procedures, amounts paid for losses may be subject to further adjustments based on differences between actual losses and estimates.

E. Application of Other Exclusions

The terms and limitations of any terrorism exclusion, the inapplicability or omission of a terrorism exclusion, or the inclusion of terrorism coverage, do not serve to create coverage for any loss which would otherwise be excluded under this Coverage Form, Coverage Part or Policy, such as losses excluded by any pollution, pathogenic, nuclear hazard or war exclusions.

F. All other terms and conditions remain the same.



U.S. DEPARTMENT OF THE TREASURY, OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by the United States. **Please read this Notice carefully.**

The Office of Foreign Assets Control ("OFAC") of the U.S. Department of the Treasury administers and enforces economic and trade sanctions based on U.S. foreign policy and national security goals against targeted foreign countries and regimes, terrorists, international narcotics traffickers, those engaged in activities related to the proliferation of weapons of mass destruction, and other threats to the national security, foreign policy or economy of the United States. OFAC acts under Presidential national emergency powers, as well as authority granted by specific legislation, to impose controls on transactions and freeze assets under U.S. jurisdiction. OFAC publishes a list of individuals and companies owned or controlled by, or acting for or on behalf of, targeted countries. It also lists individuals, groups, and entities, such as terrorists and narcotics traffickers designated under programs that are not country-specific. Collectively, such individuals and companies are called "Specially Designated Nationals and Blocked Persons" or "SDNs". Their assets are blocked and U.S. persons are generally prohibited from dealing with them. This list can be located on OFAC's web site at – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is an SDN, as identified by OFAC, the policy is a blocked contract and all dealings with it must involve OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC.

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TRADE OR ECONOMIC SANCTIONS ENDORSEMENT

POLICY NUMBER: 16 SBA AV70DV

NAMED INSURED: Foxglove Works Corp

COMPANY NAME: Hartford Underwriters Insurance Company

EFFECTIVE DATE: 07/27/2025

EXPIRATION DATE: 07/27/2026

This insurance does not apply to the extent that trade or economic sanctions or other laws or regulations prohibit us from providing insurance, including, but not limited to, the payment of claims.

All other terms and conditions remain unchanged.



FRAUD NOTICE

The following statement is added to the policy:

CALIFORNIA NOTICE: For your protection California law requires the following to appear on this form: Any person who knowingly presents false or fraudulent information to obtain or amend insurance coverage or to make a claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.

COLORADO NOTICE: It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policy holder or claimant for the purpose of defrauding or attempting to defraud the policy holder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado division of insurance within the department of regulatory agencies.

NEW YORK NOTICE: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading, information concerning any fact material thereto, and any person who, in connection with such application or claim, knowingly makes or knowingly assists, abets, solicits or conspires with another to make a false report of the theft, destruction, damage or conversion of any motor vehicle to a law enforcement agency, the department of motor vehicles or an insurance company, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed five thousand dollars and the value of the subject motor vehicle or the stated value of the claim for each such violation.

PENNSYLVANIA NOTICE: Any person who knowingly and with intent to injure or defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false, incomplete, or misleading information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties, including imprisonment for up to seven years and payment of a fine of up to \$15,000.